Bill Number: H.B. 2999

Mesnard Floor Amendment

Reference to: FINANCE Committee Amendment

Amendment drafted by: Leg Council

FLOOR AMENDMENT EXPLANATION

1. Modifies the definition of *maximum authorized tax rate*, for the purposes of state affordability infrastructure districts (districts), to reduce the maximum rate to $5 per $100 of net assessed limited property valuation, rather than $10 of $100 of net assessed limited property valuation.

2. Requires a district board to provide a certification to the Arizona Finance Authority that the secondary property tax rate levied to pay the debt service on general obligation bonds in the current and immediately preceding fiscal year is not in excess of the maximum authorized tax rate:

3. Stipulates that, if the maximum authorized tax rate together with monies from other authorized sources is insufficient to pay debt service on general obligation bonds in the fiscal year, the district must levy additional secondary property taxes necessary to pay the debt service when due, up to a maximum of $7.50 per $100 of net assessed limited property valuation.

4. Limits a district's authority to assume an annual limited property value growth rate to no more than 5 percent for purposes of pricing and sizing general obligation bonds.

5. Modifies the definition of *public infrastructure* to:
   a) remove certain energy and gas infrastructure and improvements infrastructure; and
   b) require a district to obtain written authorization from a public service corporation before financing, constructing or operating any water, wastewater, sewer or related facilities located within the public service corporation's certificated service territory.

6. Requires a construction contract for district public infrastructure to include provisions requiring financial assurances prior to commencing construction and prior to commencing work based on a construction change order.

7. Allows a district formation petition, if the district proposes to issue assessment bonds, to contain an opinion of value prepared by a licensed real estate broker, in lieu of an appraisal, to demonstrate the current and projected property value in the district.

8. Specifies that the statutes governing districts do not impose any additional regulation or requirements on or alter the service territory, including certificates of convenience and necessity, of any county, irrigation district, electrical district, agricultural improvement district, municipality or public service corporation.

9. Makes technical and conforming changes.

Amendment explanation prepared by Molly Graver
4/13/26

Fifty-seventh Legislature Mesnard
Second Regular Session H.B. 2999

MESNARD FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2999
(Reference to FINANCE Committee amendment)

Amendment instruction key:

[GREEN UPPERCASE UNDERLINING IN BRACKETS] indicates that the amendment is adding text to statute
or previously enacted session law.

[Green lowercase underlining in brackets] indicates that the amendment is adding text to new session law or is restoring previously stricken text to existing statute.

[~~GREEN UPPERCASE STRIKEOUT IN BRACKETS~~] indicates that the amendment is removing new text from statute or previously enacted session law.

[~~Green lowercase strikeout in brackets~~] indicates that the amendment is removing text from existing statute, previously enacted session law or new session law.

<<Double green carets enclosing an entire section>> indicates that the amendment is adding the section to the bill.

<<~~Green strikeout with double green carets enclosing an entire section~~>> indicates that the amendment is removing the section to the bill.

{{ORANGE UPPERCASE UNDERLINING IN DOUBLE CURLY BRACKETS}} indicates that the amendment to an amendment is adding text to statute or previously enacted session law.

{{Orange lowercase underlining in double curly brackets}} indicates that the amendment to an amendment is adding text to new session law or is restoring previously stricken text to existing statute.

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The bill as proposed to be amended is reprinted as follows:

Section 1. Section 9-463.05, Arizona Revised Statutes, is amended to read:

9-463.05. Development fees; imposition by cities and towns; infrastructure improvements plan; annual report; advisory committee; limitation on actions; definitions

A. A municipality may assess development fees to offset costs to the municipality associated with providing necessary public services to a development, including the costs of infrastructure, improvements, real property, engineering and architectural services, financing and professional services required for the preparation or revision of a development fee pursuant to this section, including the relevant portion of the infrastructure improvements plan.

B. Development fees assessed by a municipality under this section are subject to the following requirements:

1. Development fees shall result in a beneficial use to the development.

2. The municipality shall calculate the development fee based on the infrastructure improvements plan adopted pursuant to this section.

3. The development fee shall not exceed a proportionate share of the cost of necessary public services, based on service units, needed to provide necessary public services to the development.

4. Costs for necessary public services made necessary by new development shall be based on the same level of service provided to existing development in the service area.

5. Development fees may not be used for any of the following:

(a) Construction, acquisition or expansion of public facilities or assets other than necessary public services or facility expansions identified in the infrastructure improvements plan.

(b) Repair, operation or maintenance of existing or new necessary public services or facility expansions.

(c) Upgrading, updating, expanding, correcting or replacing existing necessary public services to serve existing development in order to meet stricter safety, efficiency, environmental or regulatory standards.

(d) Upgrading, updating, expanding, correcting or replacing existing necessary public services to provide a higher level of service to existing development.

(e) Administrative, maintenance or operating costs of the municipality.

6. Any development for which a development fee has been paid is entitled to the use and benefit of the services for which the fee was imposed and is entitled to receive immediate service from any existing facility with available capacity to serve the new service units if the available capacity has not been reserved or pledged in connection with the construction or financing of the facility.

7. Development fees may be collected if any of the following occurs:

(a) The collection is made to pay for a necessary public service or facility expansion that is identified in the infrastructure improvements plan and the municipality plans to complete construction and to have the service available within the time period established in the infrastructure ~~improvement~~ IMPROVEMENTS plan, but in no event longer than the time period provided in subsection H, paragraph 3 of this section.

(b) The municipality reserves in the infrastructure improvements plan adopted pursuant to this section or otherwise agrees to reserve capacity to serve future development.

(c) The municipality requires or agrees to allow the owner of a development to construct or finance the necessary public service or facility expansion and any of the following ~~apply~~ APPLIES:

(i) The costs incurred or money advanced are credited against or reimbursed from the development fees otherwise due from a development.

(ii) The municipality reimburses the owner for those costs from the development fees paid from all developments that will use those necessary public services or facility expansions.

(iii) For those costs incurred the municipality allows the owner to assign the credits or reimbursement rights from the development fees otherwise due from a development to other developments for the same category of necessary public services in the same service area.

8. Projected interest charges and other finance costs may be included in determining the amount of development fees only if the monies are used for the payment of principal and interest on the portion of the bonds, notes or other obligations issued to finance construction of necessary public services or facility expansions identified in the infrastructure improvements plan.

9. Monies received from development fees assessed pursuant to this section shall be placed in a separate fund and accounted for separately and may only be used for the purposes authorized by this section. Monies received from a development fee identified in an infrastructure improvements plan adopted or updated pursuant to subsection D of this section shall be used to provide the same category of necessary public services or facility expansions for which the development fee was assessed and for the benefit of the same service area, as defined in the infrastructure improvements plan, in which the development fee was assessed. Interest earned on monies in the separate fund shall be credited to the fund.

10. The schedule for payment of fees shall be provided by the municipality. Based on the cost identified in the infrastructure improvements plan, the municipality shall provide a credit toward the payment of a development fee for the required or agreed to dedication of public sites, improvements and other necessary public services or facility expansions included in the infrastructure improvements plan and for which a development fee is assessed, to the extent the public sites, improvements and necessary public services or facility expansions are provided by the developer, A COMMUNITY FACILITIES DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER 4, ARTICLE 6 OR A STATE AFFORDABILITY INFRASTRUCTURE DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER 40. The developer of residential dwelling units shall be required to pay development fees when construction permits for the dwelling units are issued, or at a later time if specified in a development agreement pursuant to section 9-500.05. If a development agreement provides for fees to be paid at a time later than the issuance of construction permits, the deferred fees shall be paid ~~no~~ NOT later than fifteen days after the issuance of a certificate of occupancy. The development agreement shall provide for the value of any deferred fees to be supported by appropriate security, including a surety bond, letter of credit or cash bond.

11. If a municipality requires as a condition of development approval the construction or improvement of, contributions to or dedication of any facilities that were not included in a previously adopted infrastructure improvements plan, the municipality shall cause the infrastructure improvements plan to be amended to include the facilities

and shall provide a credit toward the payment of a development fee for the construction, improvement, contribution or dedication of the facilities to the extent that the facilities will substitute for or otherwise reduce the need for other similar facilities in the infrastructure improvements plan for which development fees were assessed.

12. The municipality shall forecast the contribution to be made in the future in cash or by taxes, fees, assessments or other sources of revenue derived from the property owner towards the capital costs of the necessary public service covered by the development fee and shall include these contributions in determining the extent of the burden imposed by the development. Beginning August 1, 2014, for purposes of calculating the required offset to development fees pursuant to this subsection, if a municipality imposes a construction contracting or similar excise tax rate in excess of the percentage amount of the transaction privilege tax rate imposed on the majority of other transaction privilege tax classifications, the entire excess portion of the construction contracting or similar excise tax shall be treated as a contribution to the capital costs of necessary public services provided to development for which development fees are assessed, unless the excess portion was already taken into account for such purpose pursuant to this subsection.

13. If development fees are assessed by a municipality, the fees shall be assessed against commercial, residential and industrial development, except that the municipality may distinguish between different categories of residential, commercial and industrial development in assessing the costs to the municipality of providing necessary public services to new development and in determining the amount of the development fee applicable to the category of development. If a municipality agrees to waive any of the development fees assessed on a development, the municipality shall reimburse the appropriate development fee accounts for the amount that was waived. The municipality shall provide notice of any such waiver to the advisory committee established pursuant to subsection G of this section within thirty days.

14. In determining and assessing a development fee applying to land in a community facilities district established under title 48, chapter 4, article 6 OR A STATE AFFORDABILITY INFRASTRUCTURE DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER 40, the municipality shall take into account all public infrastructure provided by the district and capital costs paid by the district for necessary public services and shall not assess a portion of the development fee based on the infrastructure or costs.

C. A municipality shall give at least thirty days' advance notice of intention to assess a development fee and shall release to the public and post on its website or the website of an association of cities and towns if a municipality does not have a website a written report of the land use assumptions and infrastructure improvements plan adopted pursuant to subsection D of this section. The municipality shall conduct a public hearing on the proposed development fee at any time after the expiration of the ~~thirty day~~ THIRTY-DAY notice of intention to assess a development fee and at least thirty days before the scheduled date of adoption of the fee by the governing body. Within sixty days after the date of the public hearing on the proposed development fee, a municipality shall approve or disapprove the imposition of the development fee. A municipality shall not adopt an ordinance, order or resolution approving a development fee as an emergency measure. A development fee assessed pursuant to this section shall not be effective until seventy-five days after its formal adoption by the governing body of the municipality. Nothing in this subsection shall affect any development fee adopted before July 24, 1982.

D. Before the adoption or amendment of a development fee, the governing body of the municipality shall adopt or update the land use assumptions and infrastructure improvements plan for the designated service area. The municipality shall conduct a public hearing on the land use assumptions and infrastructure improvements plan at least thirty days before the adoption or update of the plan. The municipality shall release the plan to the public, post the plan on its website or the website of an association of cities and towns if the municipality does not have a website, including in the posting its land use assumptions, the time period of the projections, a description of the necessary public services included in the infrastructure improvements plan and a map of the service area to which the land use assumptions apply, make available to the public the documents used to prepare the assumptions and plan and provide public notice at least sixty days before the public hearing, subject to the following:

1. The land use assumptions and infrastructure improvements plan shall be approved or disapproved within sixty days after the public hearing on the land use assumptions and infrastructure improvements plan and at least thirty days before the public hearing on the report required by subsection C of this section. A municipality shall not adopt an ordinance, order or resolution approving the land use assumptions or infrastructure improvements plan as an emergency measure.

2. An infrastructure improvements plan shall be developed by qualified professionals using generally accepted engineering and planning practices pursuant to subsection E of this section.

3. A municipality shall update the land use assumptions and infrastructure improvements plan at least every five years. The initial ~~five year~~ FIVE-YEAR period begins on the day the infrastructure improvements plan is adopted. The municipality shall review and evaluate its current land use assumptions and shall cause an update of the infrastructure improvements plan to be prepared pursuant to this section.

4. Within sixty days after completion of the updated land use assumptions and infrastructure improvements plan, the municipality shall schedule and provide notice of a public hearing to discuss and review the update and shall determine whether to amend the assumptions and plan.

5. A municipality shall hold a public hearing to discuss the proposed amendments to the land use assumptions, the infrastructure improvements plan or the development fee. The land use assumptions and the infrastructure improvements plan, including the amount of any proposed changes to the development fee per service unit, shall be made available to the public on or before the date of the first publication of the notice of the hearing on the amendments.

6. The notice and hearing procedures prescribed in paragraph 1 of this subsection apply to a hearing on the amendment of land use assumptions, an infrastructure improvements plan or a development fee. Within sixty days after the date of the public hearing on the amendments, a municipality shall approve or disapprove the amendments to the land use assumptions, infrastructure improvements plan or development fee. A municipality shall not adopt an ordinance, order or resolution approving the amended land use assumptions, infrastructure improvements plan or development fee as an emergency measure.

7. The advisory committee established under subsection G of this section shall file its written comments on any proposed or updated land use assumptions, infrastructure improvements plan and development fees before the fifth business day before the date of the public hearing on the proposed or updated assumptions, plan and fees.

8. If, at the time an update as prescribed in paragraph 3 of this subsection is required, the municipality determines that no changes to the land use assumptions, infrastructure improvements plan or development fees are needed, the municipality may as an alternative to the updating requirements of this subsection publish notice of its determination on its website and include the following:

(a) A statement that the municipality has determined that no change to the land use assumptions, infrastructure improvements plan or development fee is necessary.

(b) A description and map of the service area in which an update has been determined to be unnecessary.

(c) A statement that by a specified date, which shall be at least sixty days after the date of publication of the first notice, a person may make a written request to the municipality requesting that the land use assumptions, infrastructure improvements plan or development fee be updated.

(d) A statement identifying the person or entity to whom the written request for an update should be sent.

9. If, by the date specified pursuant to paragraph 8 of this subsection, a person requests in writing that the land use assumptions, infrastructure improvements plan or development fee be updated, the municipality shall cause, accept or reject an update of the assumptions and plan to be prepared pursuant to this subsection.

10. Notwithstanding the notice and hearing requirements for adoption of an infrastructure improvements plan, a municipality may amend an infrastructure improvements plan adopted pursuant to this section without a public hearing if the amendment addresses only elements of necessary public services in the existing infrastructure improvements plan and the changes to the plan will not, individually or cumulatively with other amendments adopted pursuant to this subsection, increase the level of service in the service area or cause a development fee increase of greater than five ~~per cent~~ PERCENT when a new or modified development fee is assessed pursuant to this section. The municipality shall provide notice of any such amendment at least thirty days before adoption, shall post the amendment on its website or on the website of an association of cities and

towns if the municipality does not have a website and shall provide notice to the advisory committee established pursuant to subsection G of this section that the amendment complies with this subsection.

E. For each necessary public service that is the subject of a development fee, the infrastructure improvements plan shall include:

1. A description of the existing necessary public services in the service area and the costs to upgrade, update, improve, expand, correct or replace those necessary public services to meet existing needs and usage and stricter safety, efficiency, environmental or regulatory standards, which shall be prepared by qualified professionals licensed in this state, as applicable.

2. An analysis of the total capacity, the level of current usage and commitments for usage of capacity of the existing necessary public services, which shall be prepared by qualified professionals licensed in this state, as applicable.

3. A description of all or the parts of the necessary public services or facility expansions and their costs necessitated by and attributable to development in the service area based on the approved land use assumptions, including a forecast of the costs of infrastructure, improvements, real property, financing, engineering and architectural services, which shall be prepared by qualified professionals licensed in this state, as applicable.

4. A table establishing the specific level or quantity of use, consumption, generation or discharge of a service unit for each category of necessary public services or facility expansions and an equivalency or conversion table establishing the ratio of a service unit to various types of land uses, including residential, commercial and industrial.

5. The total number of projected service units necessitated by and attributable to new development in the service area based on the approved land use assumptions and calculated pursuant to generally accepted engineering and planning criteria.

6. The projected demand for necessary public services or facility expansions required by new service units for a period not to exceed ten years.

7. A forecast of revenues generated by new service units other than development fees, which shall include estimated state-shared revenue, highway ~~users~~ USER revenue, federal revenue, ad valorem property taxes, construction contracting or similar excise taxes and the capital recovery portion of utility fees attributable to development based on the approved land use assumptions, and a plan to include these contributions in determining the extent of the burden imposed by the development as required in subsection B, paragraph 12 of this section.

F. A municipality's development fee ordinance shall provide that a new development fee or an increased portion of a modified development fee shall not be assessed against a development for twenty-four months after the date that the municipality issues the final approval for a commercial, industrial or multifamily development or the date that the first building permit is issued for a residential development pursuant to an approved site plan or subdivision plat, provided that no subsequent changes are made to the approved site plan or subdivision plat that would increase the number of service units. If the number of service units increases, the new or increased portion of a modified development fee shall be limited to the amount attributable to the additional service units. The twenty-four month period shall not be extended by a renewal or amendment of the site plan or the final subdivision plat that was the subject of the final approval. The municipality shall issue, on request, a written statement of the development fee schedule applicable to the development. If, after the date of the municipality's final approval of a development, the municipality reduces the development fee assessed on development, the reduced fee shall apply to the development.

G. A municipality shall do one of the following:

1. Before the adoption of proposed or updated land use assumptions, infrastructure improvements plan and development fees as prescribed in subsection D of this section, the municipality shall appoint an infrastructure improvements advisory committee, subject to the following requirements:

(a) The advisory committee shall be composed of at least five members who are appointed by the governing body of the municipality. At least fifty ~~per cent~~ PERCENT of the members of the advisory committee must be representatives of the real estate, development or building industries, of which at least one member of the committee must be from the home building industry. Members shall not be employees or officials of the municipality.

(b) The advisory committee shall serve in an advisory capacity and shall:

(i) Advise the municipality in adopting land use assumptions and in determining whether the assumptions are in conformance with the general plan of the municipality.

(ii) Review the infrastructure improvements plan and file written comments.

(iii) Monitor and evaluate implementation of the infrastructure improvements plan.

(iv) Every year file reports with respect to the progress of the infrastructure improvements plan and the collection and expenditures of development fees and report to the municipality any perceived inequities in implementing the plan or imposing the development fee.

(v) Advise the municipality of the need to update or revise the land use assumptions, infrastructure improvements plan and development fee.

(c) The municipality shall make available to the advisory committee any professional reports with respect to developing and implementing the infrastructure improvements plan.

(d) The municipality shall adopt procedural rules for the advisory committee to follow in carrying out the committee's duties.

2. In lieu of creating an advisory committee pursuant to paragraph 1 of this subsection, provide for a biennial certified audit of the municipality's land use assumptions, infrastructure improvements plan and development fees. An audit pursuant to this paragraph shall be conducted

by one or more qualified professionals who are not employees or officials of the municipality and who did not prepare the infrastructure improvements plan. The audit shall review the progress of the infrastructure improvements plan, including the collection and expenditures of development fees for each project in the plan, and evaluate any inequities in implementing the plan or imposing the development fee. The municipality shall post the findings of the audit on the municipality's website or the website of an association of cities and towns if the municipality does not have a website and shall conduct a public hearing on the audit within sixty days of the release of the audit to the public.

H. On written request, an owner of real property for which a development fee has been paid after July 31, 2014 is entitled to a refund of a development fee or any part of a development fee if:

1. Pursuant to subsection B, paragraph 6 of this section, existing facilities are available and service is not provided.

2. The municipality has, after collecting the fee to construct a facility when service is not available, failed to complete construction within the time period identified in the infrastructure improvements plan, but in no event later than the time period specified in paragraph 3 of this subsection.

3. For a development fee other than a development fee for water or wastewater facilities, any part of the development fee is not spent as authorized by this section within ten years after the fee has been paid or, for a development fee for water or wastewater facilities, any part of the development fee is not spent as authorized by this section within fifteen years after the fee has been paid.

I. If the development fee was collected for the construction of all or a portion of a specific item of infrastructure, and on completion of the infrastructure the municipality determines that the actual cost of construction was less than the forecasted cost of construction on which the development fee was based and the difference between the actual and estimated cost is greater than ten per cent, the current owner may receive a refund of the portion of the development fee equal to the difference between the development fee paid and the development fee that would have been due if the development fee had been calculated at the actual construction cost.

J. A refund shall include any interest earned by the municipality from the date of collection to the date of refund on the amount of the refunded fee. All refunds shall be made to the record owner of the property at the time the refund is paid. If the development fee is paid by a governmental entity, the refund shall be paid to the governmental entity.

K. A development fee that was adopted before January 1, 2012 may continue to be assessed only to the extent that it will be used to provide a necessary public service for which development fees can be assessed pursuant to this section and shall be replaced by a development fee imposed under this section on or before August 1, 2014. Any municipality having a development fee that has not been replaced under this section on or before August 1, 2014 shall not collect development fees until the development fee has been replaced with a fee that complies with this section. Any development fee monies collected before January 1, 2012 remaining in a development fee account:

1. Shall be used towards the same category of necessary public services as authorized by this section.

2. If development fees were collected for a purpose not authorized by this section, shall be used for the purpose for which they were collected on or before January 1, 2020, and after which, if not spent, shall be distributed equally among the categories of necessary public services authorized by this section.

L. A moratorium shall not be placed on development for the sole purpose of awaiting completion of all or any part of the process necessary to develop, adopt or update development fees.

M. In any judicial action interpreting this section, all powers conferred on municipal governments in this section shall be narrowly construed to ensure that development fees are not used to impose on new residents a burden all taxpayers of a municipality should bear equally.

N. Each municipality that assesses development fees shall submit an annual report accounting for the collection and use of the fees for each service area. The annual report shall include the following:

1. The amount assessed by the municipality for each type of development fee.

2. The balance of each fund maintained for each type of development fee assessed as of the beginning and end of the fiscal year.

3. The amount of interest or other earnings on the monies in each fund as of the end of the fiscal year.

4. The amount of development fee monies used to repay:

(a) Bonds issued by the municipality to pay the cost of a capital improvement project that is the subject of a development fee assessment, including the amount needed to repay the debt service obligations on each facility for which development fees have been identified as the source of funding and the time frames in which the debt service will be repaid.

(b) Monies advanced by the municipality from funds other than the funds established for development fees in order to pay the cost of a capital improvement project that is the subject of a development fee assessment, the total amount advanced by the municipality for each facility, the source of the monies advanced and the terms under which the monies will be repaid to the municipality.

5. The amount of development fee monies spent on each capital improvement project that is the subject of a development fee assessment and the physical location of each capital improvement project.

6. The amount of development fee monies spent for each purpose other than a capital improvement project that is the subject of a development fee assessment.

O. Within ninety days following the end of each fiscal year, each municipality shall submit a copy of the annual report to the city clerk and post the report on the municipality's website or the website of an association of cities and towns if the municipality does not have a website. Copies shall be made available to the public on request. The annual report may contain financial information that has not been audited.

P. A municipality that fails to file the report and post the report on the municipality's website or the website of an association of cities and towns if the municipality does not have a website as required by this section shall not collect development fees until the report is filed and posted.

Q. Any action to collect a development fee shall be commenced within two years after the obligation to pay the fee accrues.

R. A municipality may continue to assess a development fee adopted before January 1, 2012 for any facility that was financed before June 1, 2011 if:

1. Development fees were pledged to repay debt service obligations related to the construction of the facility.

2. After August 1, 2014, any development fees collected under this subsection are used solely for the payment of principal and interest on the portion of the bonds, notes or other debt service obligations issued before June 1, 2011 to finance construction of the facility.

S. Through August 1, 2014, a development fee adopted before January 1, 2012 may be used to finance construction of a facility and may be pledged to repay debt service obligations if:

1. The facility that is being financed is a facility that is described under subsection T, paragraph 7, subdivisions (a) through (g) of this section.

2. The facility was included in an infrastructure improvements plan adopted before June 1, 2011.

3. The development fees are used for the payment of principal and interest on the portion of the bonds, notes or other debt service obligations issued to finance construction of the necessary public services or facility expansions identified in the infrastructure ~~improvement~~ IMPROVEMENTS plan.

T. For the purposes of this section:

1. "Dedication" means the actual conveyance date or the date an improvement, facility or real or personal property is placed into service, whichever occurs first.

2. "Development" means:

(a) The subdivision of land.

(b) The construction, reconstruction, conversion, structural alteration, relocation or enlargement of any structure that adds or increases the number of service units.

(c) Any use or extension of the use of land that increases the number of service units.

3. "Facility expansion" means the expansion of the capacity of an existing facility that serves the same function as an otherwise new necessary public service in order that the existing facility may serve new development. Facility expansion does not include the repair, maintenance, modernization or expansion of an existing facility to better serve existing development.

4. "Final approval" means:

(a) For a nonresidential or multifamily development, the approval of a site plan or, if no site plan is submitted for the development, the approval of a final subdivision plat.

(b) For a single family residential development, the approval of a final subdivision plat.

5. "Infrastructure improvements plan" means a written plan that identifies each necessary public service or facility expansion that is proposed to be the subject of a development fee and otherwise complies with the requirements of this section, and may be the municipality's capital improvements plan.

6. "Land use assumptions" means projections of changes in land uses, densities, intensities and population for a specified service area over a period of at least ten years and pursuant to the general plan of the municipality.

7. "Necessary public service" means any of the following facilities that have a life expectancy of three or more years and that are owned and operated by or on behalf of the municipality:

(a) Water facilities, including the supply, transportation, treatment, purification and distribution of water, and any appurtenances for those facilities.

(b) Wastewater facilities, including collection, interception, transportation, treatment and disposal of wastewater, and any appurtenances for those facilities.

(c) Storm water, drainage and flood control facilities, including any appurtenances for those facilities.

(d) Library facilities of up to ten thousand square feet that provide a direct benefit to development, not including equipment, vehicles or appurtenances.

(e) Street facilities located in the service area, including arterial or collector streets or roads that have been designated on an officially adopted plan of the municipality, traffic signals and rights-of-way and improvements thereon.

(f) Fire and police facilities, including all appurtenances, equipment and vehicles. Fire and police facilities do not include a facility or portion of a facility that is used to replace services that were once provided elsewhere in the municipality, vehicles and equipment used to provide administrative services, helicopters or airplanes or a facility that is used for training firefighters or officers from more than one station or substation.

(g) Neighborhood parks and recreational facilities on real property up to thirty acres in area, or parks and recreational facilities larger than thirty acres if the facilities provide a direct benefit to the development. Park and recreational facilities do not include vehicles, equipment or that portion of any facility that is used for amusement parks, aquariums, aquatic centers, auditoriums, arenas, arts and cultural facilities, bandstand and orchestra facilities, bathhouses, boathouses, clubhouses, community centers greater than three thousand square feet in floor area, environmental education centers, equestrian facilities, golf course facilities, greenhouses, lakes, museums, theme parks, water reclamation or riparian areas, wetlands, zoo facilities or similar recreational facilities, but may include swimming pools.

(h) Any facility that was financed and that meets all of the requirements prescribed in subsection R of this section.

8. "Qualified professional" means a professional engineer, surveyor, financial analyst or planner providing services within the scope of the person's license, education or experience.

9. "Service area" means any specified area within the boundaries of a municipality in which development will be served by necessary public services or facility expansions and within which a substantial nexus exists between the necessary public services or facility expansions and the development being served as prescribed in the infrastructure improvements plan.

10. "Service unit" means a standardized measure of consumption, use, generation or discharge attributable to an individual unit of development calculated pursuant to generally accepted engineering or planning standards for a particular category of necessary public services or facility expansions.

Sec. 2. Section 11-495, Arizona Revised Statutes, is amended to read:

11-495. Taxpayers' information fund

A. A taxpayers' information fund is established in each county treasury consisting of monies collected from the public records copy surcharge imposed pursuant to section 11-496, the tax lien processing fee imposed pursuant to section 42-18116, subsection C, {{~~fifteen dollars~~}} {{$15}} of each judgment deed fee collected pursuant to section 42-18205, subsection A, interest earned from the elderly assistance fund pursuant to section 42-17401, the community facilities district special assessment fee imposed pursuant to section 48-721, THE STATE AFFORDABILITY INFRASTRUCTURE DISTRICT SPECIAL ASSESSMENT FEE IMPOSED PURSUANT TO SECTION 48-7023 and the fees authorized for collecting municipal fire and emergency services fees in certain areas of the county as prescribed in section 9-500.23.

B. The county treasurer shall administer the fund and spend monies in the fund only to defray the cost of converting or upgrading an automated public information system as follows:

1. Purchasing computer hardware and software.

2. Training employees to operate the system.

3. Maintaining the system, including purchasing equipment maintenance agreements.

4. Updating the system hardware and software.

5. In counties with a population of more than two million persons, notifying property owners of the tax and ownership status of a taxpayer's parcel prior to the taxpayer's parcel being sold at a deed sale and the tax and ownership status of any parcels being sold at a deed sale that are adjacent to a taxpayer's parcel, prior to the deed sale.

C. The county treasurer shall annually submit to the board of supervisors the amount of anticipated revenues under this section. If the projected revenues are considered to be insufficient to establish and maintain the fund at an adequate level, the monies may accumulate until sufficient monies are available in the fund.

Sec. 3. Section 11-496, Arizona Revised Statutes, is amended to read:

11-496. Public records copy; proceeds of sale; agent duties; surcharge; special district assessments; deposit

A. In addition to the fee prescribed by section 39-121.01, subsection D, paragraph 1 or section 39-121.03, subsection A, the county treasurer may impose a surcharge of not more than twenty-five ~~per cent~~ PERCENT of the fee charged for furnishing a copy, printout or photograph.

B. A county treasurer who is designated as a registrar pursuant to section 35-491 may impose a surcharge of not more than twenty-five ~~per cent~~ PERCENT of the average fee charged by commercial bank trust departments during the previous calendar year for discharging registrar, transfer and paying agent duties.

C. The county treasurer may impose and collect a fee for expenses directly related to the collection of special assessments for a community facilities district pursuant to section 48-721, A STATE AFFORDABILITY INFRASTRUCTURE DISTRICT PURSUANT TO SECTION 48-7023 and a revitalization district pursuant to section 48-6815 and for collecting municipal fire and emergency services fees from owners of record in certain areas of the county as prescribed in section 9-500.23.

D. The county treasurer shall deposit monies collected pursuant to this section in the taxpayers' information fund established by section 11-495.

Sec. 4. Section 11-1102, Arizona Revised Statutes, is amended to read:

11-1102. County development fees; imposition by counties; infrastructure improvements plan; advisory committee; annual report; limitation on actions; definitions

A. A county may assess development fees to offset costs to the county associated with providing necessary public services to a development, including the costs of infrastructure, improvements, real property, engineering and architectural services, financing and professional services required for the preparation or revision of ~~a~~ development ~~fee~~ FEES pursuant to this section, including the relevant portion of the infrastructure improvements plan.

B. Development fees assessed under this section are subject to the following requirements:

1. Development fees shall result in a beneficial use to the development.

2. The county shall calculate the development ~~fee~~ FEES based on the infrastructure improvements plan adopted pursuant to this section.

3. The development fees may not exceed a proportionate share of the cost of necessary public services, based on service units, needed to provide necessary public services to the development.

4. Costs for necessary public services made necessary by new development shall be based on the same level of service provided to

existing development in the service area at the time the infrastructure improvements plan is adopted.

5. Development fees may not be used for any of the following:

(a) Funding a level of service that is higher than the current level of service provided to existing development at the time the infrastructure improvements plan is adopted.

(b) Construction, acquisition or expansion of public facilities or assets other than necessary public services or facility expansions identified in the infrastructure improvements plan.

(c) Repair, operation or maintenance of existing or new necessary public services or facility expansions.

(d) Upgrading, updating, expanding, correcting or replacing existing necessary public services to serve existing development in order to meet stricter safety, efficiency, environmental or regulatory standards.

(e) Upgrading, updating, expanding, correcting or replacing existing necessary public services to provide a higher level of service to existing development.

(f) Administrative, maintenance or operating costs of the county.

6. Any development for which development fees have been paid is entitled to the use and benefit of the services for which the development fees were imposed and is entitled to receive immediate service from any existing facility with available capacity to serve the new service units if the available capacity has not been reserved or pledged in connection with the construction or financing of the facility.

7. Development fees may be collected if any of the following occurs:

(a) The collection is made to pay for a necessary public service or facility expansion that is identified in the infrastructure improvements plan and the county plans to complete construction and have the service available within the time period established in the infrastructure improvements plan, but not longer than the time period provided in subsection J, paragraph 3 of this section.

(b) The county reserves capacity in the infrastructure improvements plan adopted pursuant to this section or otherwise agrees to reserve capacity to serve future development.

(c) The county requires or agrees to allow the owner of a development to construct or finance the necessary public service or facility expansion and any of the following applies:

(i) The costs incurred or monies advanced are credited against or reimbursed from the development fees otherwise due from a development. The amount of credits issued shall equal the costs identified by the county in the infrastructure improvements plan associated with the construction of the necessary public services or facility expansions. The county shall allow the owner to assign the credits from the development fees otherwise due from a development and any excess credits to other developments for the same category of necessary public services in the same service area.

(ii) The county reimburses the owner for those costs from the development fees paid from all developments that will use those necessary public services or facility expansions. The county shall allow the owner to assign the reimbursement rights to other developments for the same category of necessary public services in the same service area.

8. Projected interest charges and other finance costs may be included in determining the amount of development fees only if the monies are used for the payment of principal and interest on the portion of the bonds, notes or other obligations issued to finance construction of necessary public services or facility expansions identified in the infrastructure improvements plan.

9. Monies received from development fees shall be placed in a separate fund and accounted for separately and may only be used for the purposes authorized by this section. Monies received from development fees identified in an infrastructure improvements plan adopted or updated pursuant to subsection E of this section shall be used to provide the same category of necessary public services or facilities expansions for which the development fee was assessed and for the benefit of the same service area as defined in the infrastructure improvements plan in which the development fees were assessed. Interest earned on monies in the separate fund shall be credited to the fund.

10. The county shall prescribe the schedule for paying the development fees. Based on the costs identified in the infrastructure improvements plan, the county shall provide a credit toward the payment of the development fees for the required or agreed to dedication of public sites, improvements and other necessary public services or facility expansions included in the infrastructure improvements plan and for which development fees are assessed, to the extent the public sites, improvements and necessary public services or facility expansions are provided by the developer, A COMMUNITY FACILITIES DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER 4, ARTICLE 6 OR A STATE AFFORDABILITY INFRASTRUCTURE DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER 40. On request of the developer, instead of providing a credit toward the payment of development fees, the county shall provide for reimbursement from the development fees paid from all development that will use those public sites, improvements or necessary public services or facility expansions of the actual costs of the required or agreed to dedication of public sites, improvements or other necessary public services or facility expansions included in the infrastructure improvements plan and for which development fees are assessed, to the extent the public sites, improvements and necessary public services or facility expansions are provided by the developer, A COMMUNITY FACILITIES DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER 4, ARTICLE 6 OR A STATE AFFORDABILITY INFRASTRUCTURE DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER 40. The developer of residential dwelling units shall be required to pay the fees when construction permits for the dwelling units are issued, or at a later time if specified in the development agreement pursuant to section 11-1101. If a development agreement provides for development fees to be paid at a time later than the issuance of construction permits, the deferred development fees shall

be paid not later than fifteen days after the issuance of a certificate of occupancy. The development agreement shall provide for the value of any deferred development fees to be supported by an appropriate security, including a surety bond, letter of credit or cash bond.

11. If a county requires as a condition of development approval the construction or improvement of, contributions to or dedication of any facilities that were not included in a previously adopted infrastructure improvements plan, the county shall cause the infrastructure improvements plan to be amended to include the facilities and shall provide a credit toward the payment of development fees for the construction, improvement, contribution or dedication of the facilities to the extent that the facilities will substitute for or otherwise reduce the need for other similar facilities in the infrastructure improvements plan for which development fees were assessed. If a county requires as a condition of development approval the set aside of active or passive open space, the county shall issue a credit toward any development fees identified in the infrastructure improvements plan to fund any park facilities or facility expansion. On request of the individual or entity seeking development approval, instead of issuing a credit toward the payment of development fees, the county shall provide for reimbursement from the development fees paid from all development that will use those facilities or facility expansions of the actual costs of the construction or improvement of, contributions to or dedication of the public facilities required as a condition of development approval.

12. The county shall forecast the contribution to be made in the future in cash, taxes, fees, assessments and all other sources of revenue derived from the property owner towards the capital costs of the necessary public service covered by the development fees.

13. If development fees are assessed against residential development, the county shall also assess development fees against commercial and industrial development. The county may distinguish between different categories of residential, commercial and industrial development in assessing the costs to the county of providing necessary public services to new development and in determining the amount of the development fees applicable to the category, except that the county may not distinguish residential developments on the basis of the size of the dwelling unit or number of bedrooms. If a county agrees to waive any of the development fees assessed on a development, the county shall reimburse the appropriate development fees accounts for the amount that was waived. The county shall provide notice of any such waiver to the advisory committee established pursuant to subsection I of this section.

14. In determining and assessing development fees applying to land in a community facilities district established under title 48, chapter 4, article 6, the county shall take into account all public infrastructure provided by the district and capital costs paid by the district for necessary public services and shall not assess a portion of the development fees based on the infrastructure or costs.

15. The county shall not assess or collect development fees from a school district or charter school, other than fees assessed or collected for streets and water and wastewater utility functions.

C. Before assessing development fees, the county shall:

1. Give at least thirty days' advance notice of intention to assess new or increased development fees.

2. Release to the public and post on the county's website a written report of the land use assumptions and infrastructure improvements plan adopted pursuant to subsection E of this section.

3. Conduct a public hearing on the proposed development fees at any time after the expiration of the thirty-day notice of intention to assess development fees and at least thirty days before the scheduled date of adoption of the development fees. Within sixty days after the date of the public hearing on the proposed development fees, the county shall approve or disapprove the imposition of the development fees. A county may not adopt an ordinance, order or resolution approving development fees as an emergency measure.

D. Development fees assessed pursuant to this section are not effective for at least ninety days after formal adoption by the board of supervisors.

E. Before the adoption or amendment of development fees or amendment of the boundaries of a service area, the board of supervisors shall adopt or update the land use assumptions and infrastructure improvements plan for the designated service area. The county shall conduct a public hearing on the land use assumptions and infrastructure improvements plan at least thirty days before the adoption or update of the infrastructure improvements plan. The county shall release the infrastructure improvements plan to the public, post the infrastructure improvements plan on the county's website, including in the posting the land use assumptions, the time period of the projections, a description of the necessary public services included in the infrastructure improvements plan and a map of the service area to which the land use assumptions apply, make available to the public the documents used to prepare the land use assumptions and infrastructure improvements plan and provide public notice at least sixty days before the public hearing, subject to the following:

1. The land use assumptions and infrastructure improvements plan shall be approved or disapproved within sixty days after the public hearing on the land use assumptions and infrastructure improvements plan and at least thirty days before the public hearing on the report required by subsection C of this section. A county may not adopt an ordinance, order or resolution approving the land use assumptions or infrastructure improvements plan as an emergency measure.

2. An infrastructure improvements plan shall be developed by qualified professionals using generally accepted engineering and planning practices pursuant to subsection F of this section.

3. A county shall update the land use assumptions and infrastructure improvements plan at least every five years. The initial five-year period begins on the day the infrastructure improvements plan is

adopted. The county shall review and evaluate the current land use assumptions and shall cause an update of the infrastructure improvements plan to be prepared pursuant to this section.

4. Within sixty days after completion of the updated land use assumptions and infrastructure improvements plan, the county shall schedule and provide notice of a public hearing to discuss and review the update and shall determine whether to amend the land use assumptions and infrastructure improvements plan.

5. A county shall hold a public hearing to discuss the proposed amendments to the land use assumptions, the infrastructure improvements plan or the development fees. The land use assumptions and the infrastructure improvements plan, including the amount of any proposed changes to the development fees per service unit, shall be made available to the public on or before the date of the first publication of the notice of the hearing on the amendments.

6. The hearing procedures prescribed in paragraph 1 of this subsection apply to a hearing on the amendment of land use assumptions, an infrastructure improvements plan or development fees. Within sixty days after the date of the public hearing on the amendments, a county shall approve or disapprove the amendments to the land use assumptions, infrastructure improvements plan or development fees. A county may not adopt an ordinance, order or resolution approving the amended land use assumptions, infrastructure improvements plan or development fees as an emergency measure.

7. The advisory committee established under subsection I of this section shall file its written comments on any proposed or updated land use assumptions, infrastructure improvements plan and development fees before the fifth business day before the date of the public hearing on the proposed or updated land use assumptions, infrastructure improvements plan and development fees.

8. If, at the time an update as prescribed in paragraph 3 of this subsection is required, the county determines that no changes to the land use assumptions, infrastructure improvements plan or development fees are needed, the county, as an alternative to the updating requirements of this subsection, may publish notice of the determination on the county's website that includes the following:

(a) A statement that the county has determined that no change to the land use assumptions, infrastructure improvements plan or development fees is necessary.

(b) A description and map of the service area in which an update has been determined to be unnecessary.

(c) A statement that by a specified date, which shall be at least sixty days after the date of publication of the first notice, a person may request to the county in writing that the county update the land use assumptions, infrastructure improvements plan or development fees.

(d) A statement identifying the person or entity to whom the written request for an update should be sent.

9. If, by the date specified pursuant to paragraph 8 of this subsection, a person requests in writing that the county update the land

use assumptions, infrastructure improvements plan or development fees, the county shall cause, accept or reject an update of the land use assumptions, infrastructure improvements plan or development fees to be prepared pursuant to this section.

10. Notwithstanding the notice and hearing requirements for adoption of an infrastructure improvements plan, the county may amend an infrastructure improvements plan without a public hearing if the amendment addresses only elements of necessary public services in the existing infrastructure improvements plan and the changes to the plan will not, individually or cumulatively with other amendments adopted pursuant to this subsection, increase the level of service in the service area or cause an increase in development fees that is greater than five percent when new or modified development fees are assessed pursuant to this section. The county shall provide notice of the amendment at least thirty days before adoption, shall post the amendment on the county's website and shall provide notice to the advisory committee established pursuant to subsection I of this section that the amendment complies with this subsection.

F. For each necessary public service that is the subject of development fees, the infrastructure improvements plan shall include:

1. A description of the existing necessary public services in the service area and the costs to upgrade, update, improve, expand, correct or replace those necessary public services to meet existing needs and usage and stricter safety, efficiency, environmental or regulatory standards. The description shall be prepared by qualified professionals who are licensed in this state, as applicable.

2. An analysis of the total capacity, the level of current usage and commitments for usage of capacity of the existing necessary public services. The analysis shall be prepared by qualified professionals who are licensed in this state, as applicable.

3. A description of all or the parts of the necessary public services or facility expansions and their costs necessitated by and attributable to new development in the service area based on the approved land use assumptions, including a forecast of the cost of infrastructure, improvements, real property, financing, engineering and architectural services. The description shall be prepared by qualified professionals who are licensed in this state, as applicable.

4. A table that establishes the specific level or quantity of use, consumption, generation or discharge of a service unit for each category of necessary public services or facility expansions and an equivalency or conversion table that establishes the ratio of a service unit to various types of land uses, including residential, commercial and industrial.

5. A description of all the costs necessitated by ongoing maintenance and operations of the necessary public services once construction is completed and a description of the source of revenue to be used to fund the maintenance and operations.

6. The total number of projected service units necessitated by and attributable to new development in the service area based on the approved

land use assumptions and calculated pursuant to generally accepted engineering and planning criteria.

7. The projected demand for necessary public services or facility expansions required by new service units for a period of not more than ten years.

8. A forecast of revenues generated by new service units other than development fees, including estimated state shared revenue, highway user revenue, federal revenue, ad valorem property taxes, construction contracting or similar excise taxes and the capital recovery portion of utility fees attributable to development based on the approved land use assumptions, and a plan to include these contributions in determining the extent of the burden imposed by the development as required in subsection B, paragraph 12 of this section.

G. A county's infrastructure improvements plan may identify necessary public services or facility expansions that the county plans to construct beyond the time period provided for in subsection J, paragraph 3 of this section but may not include the costs of those necessary public services or facility expansions in the calculation of development fees.

H. A county's development fees ordinance shall provide:

1. That new development fees or an increased portion of modified development fees may not be assessed against a development for twenty-four months after the date that the county issues the final approval for a commercial, industrial or multifamily development or the date that the first building permit is issued for a residential development pursuant to an approved site plan or subdivision plat, only if subsequent changes are not made to the approved site plan or subdivision plat that would increase the number of service units. If the number of service units increases, the new or increased portion of modified development fees shall be limited to the amount attributable to the additional service units. The period is not extended by a renewal or amendment of the site plan or the final subdivision plat that was the subject of the final approval. The county shall issue, on request, a written statement of the development fees schedule applicable to the development. If, after the date of the county's final approval of a development, the county reduces the development fees assessed on development, the reduced fees shall apply to the development.

2. A process for a development to request an alternative development fee calculation or change in category of development that appears on an adopted development fee schedule based on a projection that the actual burdens and costs associated with the county's provision of necessary public services or facility expansions to the development that are to be paid by development fees will differ substantially from those costs projected by the county or will be substantially less than the amount projected to be paid by development fees. The county manager or the county manager's designee shall review the request and make a determination as to the development fee to be assessed. The assessed development fee shall have a substantial nexus to the actual burdens and costs associated with providing the necessary public services or facility expansions to that development that are to be funded by development fees.

The determination of the county manager is appealable to the board of supervisors.

I. A county shall do one of the following:

1. Before the adoption of the proposed or updated land use assumptions, infrastructure improvements plan and development fees as prescribed in subsection E of this section, appoint an infrastructure improvements advisory committee, subject to the following requirements:

(a) The advisory committee shall be composed of at least five members who are appointed by the board of supervisors. At least fifty percent of the members of the advisory committee must be representatives of the real estate, development or building industries, of which at least one member of the committee must be from the home building industry. Members may not be employees or officials of the county.

(b) The advisory committee shall serve in an advisory capacity and shall:

(i) Advise the county in adopting land use assumptions and in determining whether the assumptions are in conformance with the general plan of the county.

(ii) Review the infrastructure improvements plan and file written comments.

(iii) Monitor and evaluate implementation of the infrastructure improvements plan.

(iv) Every year file reports with respect to the progress of the infrastructure improvements plan and the collection and expenditures of development fees and report to the county any perceived inequities in implementing the infrastructure improvements plan or assessing the development fees.

(v) Advise the county of the need to update or revise the land use assumptions, infrastructure improvements plan and development fees.

(c) The county shall make available to the advisory committee any professional reports with respect to developing and implementing the infrastructure improvements plan.

(d) The county shall adopt procedural rules for the advisory committee to follow in carrying out the advisory committee's duties.

2. Provide for a biennial certified audit of the county's land use assumptions, infrastructure improvements plan and development fees. An audit pursuant to this paragraph shall be conducted by one or more qualified professionals who are not employees or officials of the county and who did not prepare the infrastructure improvements plan. The audit shall review the progress of the infrastructure improvements plan, including the collection and expenditures of development fees for each project in the infrastructure improvements plan, and evaluate any inequities in implementing the infrastructure improvements plan or imposing the development fees. The county shall post the findings of the audit on the county's website and shall conduct a public hearing on the audit within sixty days after the release of the audit to the public.

J. On written request, an owner of real property for which development fees have been paid after December 31, 2020 is entitled to a refund of the development fees or any part of the development fees if:

1. Pursuant to subsection B, paragraph 6 of this section, existing facilities are available and service is not provided.

2. The county, after collecting the fees to construct a facility when service is not available, has failed to complete construction within the time period identified in the infrastructure improvements plan, but in no event later than the time period specified in paragraph 3 of this subsection.

3. For development fees other than development fees for water or wastewater facilities, any part of the development fees is not spent as authorized by this section within ten years after the fees have been paid or, for development fees for water or wastewater facilities, any part of the development fees is not spent as authorized by this section within fifteen years after the development fees have been paid.

K. If the development fees were collected for the construction of all or a portion of a specific item of infrastructure, and on completion of the infrastructure the county determines that the actual cost of construction was less than the forecasted cost of construction on which the development fees were based and the difference between the actual and estimated cost is greater than ten percent, the current owner may receive a refund of the portion of the development fees equal to the difference between the development fees paid and the development fees that would have been due if the development fees had been calculated at the actual construction cost.

L. A refund shall include any interest earned by the county from the date of collection to the date of refund on the amount of the refunded fees. All refunds shall be paid to the owner of record of the property at the time the refund is paid. If the development fees are paid by a governmental entity, the refund shall be paid to the governmental entity.

M. Development fees that were adopted before January 1, 2017 may continue to be assessed only to the extent that the development fees will be used to provide a necessary public service for which development fees can be assessed pursuant to this section and shall be replaced by development fees imposed under this section on or before January 1, 2021. Any county having development fees that have not been replaced under this section on or before January 1, 2021 may not collect development fees until the development fees have been replaced with fees that comply with this section. Development fees adopted or amended by a county after January 1, 2017 shall comply with this section. Any development fees monies collected before January 1, 2017 remaining in a development fees account:

1. Shall be used ~~towards~~ TOWARD the same category of necessary public services as authorized by this section.

2. ~~And~~ THAT WERE collected for a purpose not authorized by this section shall be used for the purpose for which the development fees were collected on or before January 1, 2024, and after which, if not spent, shall be distributed equally among the categories of necessary public services authorized by this section.

N. A moratorium may not be placed on development for the sole purpose of awaiting completion of all or any part of the process necessary to develop, adopt or update development fees.

O. In any judicial action interpreting this section all powers conferred on a county by this section shall be narrowly construed to ensure that development fees are not used to impose on new residents a burden all taxpayers of a county should bear equally.

P. Each county that assesses development fees shall submit an annual report accounting for the collection and use of the fees for each service area. The annual report shall include the following:

1. The amount assessed by the county for each type of development fee.

2. The balance of each fund maintained for each type of development fee assessed as of the beginning and end of the fiscal year.

3. The amount of interest or other earnings on the monies in each fund as of the end of the fiscal year.

4. The amount of development fee monies used to repay:

(a) Bonds issued by the county to pay the cost of a necessary public service that is the subject of a development fees assessment, including the amount needed to repay the debt service obligations on each facility for which development fees have been identified as the source of funding and the time frames in which the debt service will be repaid.

(b) Monies advanced by the county from funds other than the funds established for development fees in order to pay the cost of a necessary public service that is the subject of a development fees assessment, the total amount advanced by the county for each facility, the source of the monies advanced and the terms under which the monies will be repaid to the county.

5. The amount of development fees monies spent on each necessary public service or facility expansion that is the subject of a development fees assessment and the physical location of each capital improvement project.

6. The amount of development fees monies spent for each purpose other than a necessary public service or facility expansion that is the subject of a development fees assessment.

Q. Within ninety days following the end of each fiscal year, each county shall submit a copy of the annual report to the clerk of the board of supervisors and post the annual report on the county's website. Copies shall be made available to the public on request. The annual report may contain financial information that has not been audited.

R. A county that fails to file the report and post the annual report on the county's website as required by this section shall not collect development fees until the report is filed and posted.

S. Any action to collect development fees shall be commenced within two years after the obligation to pay the development fees accrues.

T. A county may continue to assess development fees adopted before January 1, 2017 for any facility that was financed before June 1, 2016 if:

1. Development fees were pledged to repay debt service obligations related to the construction of the facility.

2. After January 1, 2018, any development fees collected under this subsection are used solely for the payment of principal and interest on the portion of the bonds, notes or other debt service obligations issued before June 1, 2016 to finance construction of the facility.

U. Through January 1, 2018, development fees adopted before January 1, 2017 may be used to finance construction of a facility and may be pledged to repay debt service obligations if:

1. The facility that is being financed is a facility that is described under subsection V, paragraph 7, subdivision (a), (b), (c), (d) or (e) of this section.

2. The facility was included in an infrastructure improvements plan adopted before June 1, 2016.

3. The development fees are used for the payment of principal and interest on the portion of the bonds, notes or other debt service obligations issued to finance construction of the necessary public services or facility expansions identified in the infrastructure improvements plan.

V. For the purposes of this section:

1. "Dedication" means the actual conveyance date or the date an improvement, facility or real or personal property is placed into service, whichever occurs first.

2. "Development" means:

(a) The subdivision of land.

(b) The construction, reconstruction, conversion, structural alteration, relocation or enlargement of any structure that adds or increases the number of service units.

(c) Any use or extension of the use of land that increases the number of service units.

3. "Facility expansion" means the expansion of the capacity of an existing facility that serves the same function as an otherwise new necessary public service in order that the existing facility may serve new development. Facility expansion does not include the repair, maintenance, modernization or expansion of an existing facility to better serve existing development.

4. "Final approval" means, for nonresidential or multifamily development, the approval of a site plan or, if no site plan is submitted for the development, the approval of a final subdivision plat.

5. "Infrastructure improvements plan" means a written plan that identifies each necessary public service or facility expansion that is proposed to be the subject of development fees and otherwise complies with the requirements of this section and may be the county's capital improvements plan.

6. "Land use assumptions" means projections of changes in land uses, densities, intensities and population for a specified service area over a period of at least ten years and pursuant to the general plan of the county.

7. "Necessary public service" means any of the following facilities that have a life expectancy of three or more years and that are owned and operated by or on behalf of the county:

(a) Water facilities, including the supply, transportation, treatment, purification and distribution of water, and any appurtenances for those facilities.

(b) Wastewater facilities, including collection, interception, transportation, treatment and disposal of wastewater, and any appurtenances for those facilities.

(c) Street facilities located in the service area, including arterial or collector streets or roads that have been designated on an officially adopted plan of the county, traffic signals and rights-of-way and improvements thereon. Improvements to rights-of-way do not include streetcars, railways or other forms of transportation and their corresponding tracks.

(d) Public safety facilities, including all appurtenances, equipment and vehicles. Public safety facilities do not include a facility or portion of a facility that is used to replace services that were once provided elsewhere in the county, vehicles and equipment used to provide administrative services, helicopters or airplanes, paramilitary vehicles, court and judicial facilities, facilities that are used for training firefighters or officers from more than one station or substation or jail, correctional or detention facilities.

(e) Neighborhood parks and recreational facilities on real property up to thirty acres in area, or parks and recreational facilities larger than thirty acres if the facilities provide a direct benefit to the development. Parks and recreational facilities do not include vehicles, equipment of that portion of any facility that is used for amusement parks, aquariums, aquatic centers, auditoriums, arenas, arts and cultural facilities, bandstand and orchestra facilities, bathhouses, boathouses, clubhouses, community centers greater than three thousand square feet in floor area, environmental education centers, equestrian facilities, trails, golf course facilities, greenhouses, lakes, museums, theme parks, water reclamation or riparian areas, wetlands, zoo facilities or similar recreational facilities, but may include swimming pools and equipment or improvements constituting accessory or incidental amenities to a park or recreational facility allowed under this section.

(f) Any facility that was financed and that meets all of the requirements prescribed in subsection T of this section.

8. "Qualified professional" means a professional engineer, surveyor, financial analyst or planner providing services within the scope of the person's license, education or experience.

9. "Service area" means any specified area within the boundaries of a county in which development will be served by necessary public services or facility expansions and within which a substantial nexus exists between the necessary public services or facility expansions and the development being served as prescribed in the infrastructure improvements plan.

10. "Service unit" means a standardized measure of consumption, use, generation or discharge attributable to an individual unit of development calculated using data specific to the service area in which the facility will be located and pursuant to generally accepted

engineering or planning standards for a particular category of necessary public services or facility expansions.

Sec. 5. Title 48, Arizona Revised Statutes, is amended by adding chapter 40, to read:

CHAPTER 40

STATE AFFORDABILITY INFRASTRUCTURE DISTRICTS

ARTICLE 1. GENERAL PROVISIONS

48-7001. Definitions

IN THIS CHAPTER, UNLESS THE CONTEXT OTHERWISE REQUIRES:

1. "AD VALOREM TAX" MEANS THE SECONDARY PROPERTY TAXES LEVIED BY A DISTRICT AGAINST THE NET ASSESSED LIMITED PROPERTY VALUATION OF REAL AND PERSONAL PROPERTY IN THE DISTRICT.

2. "ASSESSMENT" MEANS A CHARGE FOR THE COSTS OF ANY PUBLIC INFRASTRUCTURE PURPOSE LEVIED BY THE DISTRICT AGAINST SPECIFIC REAL PROPERTY WITHIN THE DISTRICT FOR THE COSTS OF ANY PUBLIC INFRASTRUCTURE PURPOSE BASED ON THE BENEFIT DETERMINED BY THE BOARD TO BE RECEIVED BY THE SPECIFIC REAL PROPERTY AGAINST WHICH THE ASSESSMENT IS LEVIED.

3. "AUTHORITY" MEANS THE ARIZONA FINANCE AUTHORITY ESTABLISHED BY SECTION 41-5352.

4. "BOARD" MEANS THE BOARD OF DIRECTORS OF A DISTRICT CREATED PURSUANT TO THIS CHAPTER.

5. "BONDS":

(a) MEANS ANY BOND PRESCRIBED BY THIS CHAPTER AND ISSUED BY A DISTRICT.

(b) INCLUDES GENERAL OBLIGATION BONDS, ASSESSMENT BONDS, REVENUE BONDS AND REFUNDING BONDS.

6. "CLERK" MEANS THE PERSON APPOINTED BY THE BOARD TO BE THE DISTRICT CLERK.

7. "COUNTY" MEANS THE COUNTY IN WHICH A DISTRICT IS FORMED PURSUANT TO THIS CHAPTER.

8. "DEBT SERVICE" MEANS THE PRINCIPAL OF, INTEREST ON AND PREMIUM, IF ANY, ON THE BONDS, WHEN DUE, WHETHER AT MATURITY OR PRIOR REDEMPTION AND FEES AND COSTS OF REGISTRARS, TRUSTEES, PAYING AGENTS OR OTHER AGENTS NECESSARY TO HANDLE THE BONDS AND THE COSTS OF CREDIT ENHANCEMENT OR LIQUIDITY SUPPORT.

9. "DISTRICT" MEANS A STATE AFFORDABILITY INFRASTRUCTURE DISTRICT FORMED PURSUANT TO THIS CHAPTER.

10. "EXECUTIVE DIRECTOR" MEANS THE EXECUTIVE DIRECTOR OF THE AUTHORITY OR THE EXECUTIVE DIRECTOR'S DESIGNEE.

11. "FINANCING PLAN" MEANS THE DISTRICT'S CAPITAL PLAN CONTAINING FINANCIAL PROJECTIONS, ENGINEERING STUDIES, COST ALLOCATION, SEQUENCING AND MARKET-VALUE ANALYSES.

12. "FORMATION ORDER" MEANS THE WRITTEN ORDER ISSUED BY THE AUTHORITY EVIDENCING ITS FINAL APPROVAL OF THE FORMATION OF A DISTRICT PURSUANT TO THIS CHAPTER.

13. "GENERAL PLAN" MEANS THE GENERAL PLAN DESCRIBED IN SECTION 48-7002, SUBSECTION B, AS THE PLAN MAY BE AMENDED.

14. "MARKET VALUE" HAS THE SAME MEANING {{~~AS~~}} PRESCRIBED IN SECTION 28-7091, AS INDICATED BY AN APPRAISAL OF THE REAL PROPERTY BY AN APPRAISER WHO IS LICENSED OR CERTIFIED PURSUANT TO TITLE 32, CHAPTER 36.

15. "MAXIMUM AUTHORIZED TAX RATE" MEANS THE MAXIMUM TAX RATE FOR AD VALOREM TAXES PLEDGED TO SECURE GENERAL OBLIGATION BONDS APPROVED AT AN ELECTION AUTHORIZING THE LEVY OF AD VALOREM TAXES AND THE ISSUANCE OF GENERAL OBLIGATION BONDS AND INDICATED IN THE PETITION, PROVIDED THAT THE MAXIMUM AUTHORIZED TAX RATE SHALL NOT EXCEED {{~~$10~~}} {{$5}} PER $100 OF NET {{ASSESSED}} LIMITED {{~~ASSESSED~~}} PROPERTY VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE DISTRICT, {{~~AND PROVIDED FURTHER THAT IF, AS OF THE DATE THE PETITION TO FORM THE DISTRICT IS SUBMITTED, THE TOTAL COUNTYWIDE PRIMARY AND SECONDARY TAX RATE PER $100 OF NET LIMITED ASSESSED PROPERTY VALUATION IN THE COUNTY IN WHICH THE DISTRICT IS LOCATED EXCEEDS ONE HUNDRED TWENTY-FIVE PERCENT OF THE STATEWIDE AVERAGE TOTAL COUNTYWIDE PRIMARY AND SECONDARY RATE, AS SHOWN IN THE MOST RECENT ABSTRACT OF THE ASSESSMENT ROLL OR SIMILAR REPORT PUBLISHED BY THE DEPARTMENT OF REVENUE, THEN THE MAXIMUM AUTHORIZED TAX RATE SHALL NOT EXCEED $6 PER $100 OF NET LIMITED ASSESSED PROPERTY VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE DISTRICT, UNLESS THE GOVERNING BODY OF THE MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED, OR IF THE DISTRICT IS LOCATED IN AN UNINCORPORATED AREA, THE COUNTY IN WHICH THE DISTRICT IS LOCATED, APPROVES A HIGHER MAXIMUM AUTHORIZED TAX RATE BY WRITTEN CONSENT OR BY RESOLUTION~~}} {{EXCEPT AS PRESCRIBED IN SECTION 48-7021, SUBSECTION B}}.

16. "MUNICIPALITY" MEANS A CITY OR TOWN IN WHICH A DISTRICT IS FORMED PURSUANT TO THIS CHAPTER.

17. "NET PREMIUM" MEANS THE DIFFERENCE BETWEEN THE PAR AMOUNT OF THE GENERAL OBLIGATION BOND ISSUE AND THE GENERAL OBLIGATION BOND ISSUE PRICE THAT IS DETERMINED PURSUANT TO UNITED STATES DEPARTMENT OF THE TREASURY REGULATIONS.

18. "O/M TAX" MEANS A SECONDARY PROPERTY TAX LEVIED TO PAY THE EXPENSES OF OPERATING, MAINTAINING AND ADMINISTERING THE DISTRICT AND THE PUBLIC INFRASTRUCTURE FINANCED BY THE DISTRICT, INCLUDING LEGAL EXPENSES AND EXPENSES ASSOCIATED WITH INSURANCE COVERAGE, AS APPROVED BY THE DISTRICT IN ITS BUDGET.

19. "OWNER" MEANS THE PERSON OR ENTITY THAT, ON THE DAY THE ACTION, ELECTION OR PROCEEDING IS BEGUN OR HELD, APPEARS TO BE THE FEE-TITLE OWNER OF REAL PROPERTY AS SHOWN ON THE PROPERTY TAX ASSESSMENT ROLL.

20. "PETITION" MEANS A PETITION SUBMITTED TO THE AUTHORITY TO INITIATE FORMATION OF A DISTRICT PURSUANT TO THIS CHAPTER.

21. "PETITIONER" MEANS THE PERSON OR ENTITY THAT INITIATES THE FORMATION OF A DISTRICT BY SUBMITTING A PETITION TO THE AUTHORITY PURSUANT TO THIS CHAPTER AND INCLUDES ANY SUCCESSOR OR ASSIGNEE OF THAT PERSON OR ENTITY THAT THE AUTHORITY RECOGNIZES AS THE PETITIONER FOR THE PURPOSES OF THE PETITION AND FORMATION ORDER.

22. "PUBLIC INFRASTRUCTURE" MEANS ALL IMPROVEMENTS LISTED IN THIS PARAGRAPH THAT WILL RESULT IN A BENEFICIAL USE PRINCIPALLY TO LAND WITHIN THE GEOGRAPHICAL LIMITS OF THE DISTRICT AND MAY INCLUDE A DISTRICT'S SHARE OF ANY IMPROVEMENTS LISTED IN THIS PARAGRAPH IF THE DISTRICT BOARD DETERMINES SUCH SHARE IS PROPORTIONATE TO THE BENEFICIAL USE OF SUCH

IMPROVEMENTS TO LAND WITHIN THE GEOGRAPHICAL LIMITS OF THE DISTRICT, IMPROVEMENTS WITHIN OR OUTSIDE THE GEOGRAPHICAL LIMITS OF THE DISTRICT, NECESSARY OR INCIDENTAL WORK, INCLUDING LAND CLEARANCE AND ENVIRONMENTAL REMEDIATION ACTIVITIES, WHETHER NEWLY CONSTRUCTED, RENOVATED OR EXISTING, AND ALL NECESSARY OR DESIRABLE APPURTENANCES. FOR THE PURPOSES OF THIS PARAGRAPH, ADOPTION BY THE DISTRICT BOARD OF A RESOLUTION OF INTENT PURSUANT TO SECTION 48-7008 SHALL CONCLUSIVELY ESTABLISH THAT THE IMPROVEMENTS OR, IF APPLICABLE, SHARE OF THE IMPROVEMENTS THAT ARE THE SUBJECT OF THE RESOLUTION WILL RESULT IN A BENEFICIAL USE PRINCIPALLY TO LAND WITHIN THE GEOGRAPHICAL LIMITS OF THE DISTRICT. PUBLIC INFRASTRUCTURE IMPROVEMENTS ARE:

(a) WATER, WASTEWATER, SEWER, STORMWATER AND FLOOD CONTROL FACILITIES AND APPURTENANCES USED FOR THE DEVELOPMENT, TREATMENT, STORAGE, CONVEYANCE, CONTROL, REUSE, DISTRIBUTION, CONNECTION AND LAWFUL DISPOSITION OF POTABLE AND NONPOTABLE WATER, WASTEWATER, STORMWATER AND FLOODWATERS FOR RESIDENTIAL, COMMERCIAL, GOVERNMENTAL, IRRIGATION AND FIRE-SUPPRESSION USES, EXCLUDING INFRASTRUCTURE DEDICATED PRIMARILY TO AGRICULTURAL IRRIGATION FACILITIES IMPACTED BY OTHER IMPROVEMENTS AUTHORIZED BY THIS CHAPTER {{~~AND ENERGY AND UTILITY FACILITIES AND APPURTENANCES USED FOR THE~~}} [~~GENERATION,~~] {{~~INTERCONNECTION, TRANSMISSION, DISTRIBUTION, STORAGE AND CONTROL OF ELECTRIC POWER AND OTHER ENERGY RESOURCES AND NATURAL GAS AND ALTERNATIVE FUEL PIPELINE AND DISTRIBUTION FACILITIES~~}}, ALL TO THE EXTENT LOCATED WITHIN OR NECESSARY TO SERVE THE DISTRICT. {{NOTWITHSTANDING ANY OTHER PROVISION OF THIS CHAPTER, A DISTRICT SHALL NOT FINANCE, CONSTRUCT, ACQUIRE, INSTALL, OWN OR OPERATE ANY WATER, WASTEWATER, SEWER OR RELATED FACILITIES DESCRIBED IN THIS CHAPTER IF THOSE FACILITIES ARE LOCATED OR WILL BE LOCATED WITHIN THE CERTIFICATED SERVICE TERRITORY OF ANY PUBLIC SERVICE CORPORATION THAT HOLDS A CERTIFICATE OF CONVENIENCE AND NECESSITY ISSUED PURSUANT TO TITLE 40, CHAPTER 2, ARTICLE 4, UNLESS THE AFFECTED PUBLIC SERVICE CORPORATION HAS PROVIDED PRIOR WRITTEN AUTHORIZATION TO THE DISTRICT. IF THE AFFECTED PUBLIC SERVICE CORPORATION PROVIDES THAT WRITTEN AUTHORIZATION, THE DISTRICT MUST PLAN, DESIGN, ENGINEER, CONSTRUCT AND INSTALL THE WATER, WASTEWATER, SEWER OR RELATED FACILITIES IN COORDINATION WITH AND TO THE STANDARDS OF THE AFFECTED PUBLIC SERVICE CORPORATION AND SHALL CONVEY OWNERSHIP OF THESE FACILITIES TO THE PUBLIC SERVICE CORPORATION ON COMPLETION.}}

(b) TRANSPORTATION AND MOBILITY FACILITIES, IMPROVEMENTS AND APPURTENANCES USED TO PROVIDE VEHICULAR AND {{~~NON-VEHICULAR~~}} {{NONVEHICULAR}} CIRCULATION, ACCESS, EGRESS AND PARKING, INCLUDING STREETS, ROADS, HIGHWAYS, BRIDGES, ALLEYS, PARKING FACILITIES, SIDEWALKS, TRAILS, PATHWAYS, BICYCLE FACILITIES, EQUESTRIAN ROUTES AND OTHER AREAS AND IMPROVEMENTS INTENDED FOR MOTORIZED AND NONMOTORIZED TRAVEL AND PARKING, AND, IF LOCATED WITHIN OR NECESSARY TO SERVE THE DISTRICT, RAILWAY CORRIDORS, RAIL CROSSINGS, GRADE SEPARATIONS, SIDINGS, SIGNALIZATION AND RELATED RAIL TRANSPORTATION FACILITIES AND TRAFFIC MANAGEMENT AND CONTROL FACILITIES AND DEVICES, INCLUDING SIGNALS, INTELLIGENT TRANSPORTATION SYSTEMS, CONTROLS, PAVEMENT MARKINGS, WAYFINDING, SIGNAGE AND LIGHTING AND ILLUMINATIONS SYSTEMS, INCLUDING

STREET LIGHTING, PATHWAY LIGHTING, AREA LIGHTING AND RELATED ELECTRICAL AND CONTROL FACILITIES.

(c) PUBLIC REALM AND OPEN SPACE AMENITIES, INCLUDING PEDESTRIAN MALLS, PARKS, PLAZAS, RECREATIONAL FACILITIES OTHER THAN STADIUMS, AND OTHER AREAS AND IMPROVEMENTS INTENDED FOR PUBLIC ENTERTAINMENT, ASSEMBLY, AND RECREATION, TOGETHER WITH LANDSCAPING, GRADING, EARTHWORKS, STRUCTURES, PLANTINGS, TREES, IRRIGATION AND WATER DELIVERY SYSTEMS AND RELATED SITE IMPROVEMENTS. CONSTRUCTION OR MAINTENANCE OF WATER PARKS OR DECORATIVE WATER FEATURES, INCLUDING LAKES, PONDS OR LAGOONS, IS PROHIBITED, EXCEPT AS PROVIDED IN SECTION 45-132, SUBSECTION B, PARAGRAPH 4.

(d) PUBLIC BUILDINGS AND PUBLIC SAFETY FACILITIES, INCLUDING POLICE, FIRE AND EMERGENCY SERVICES FACILITIES AND RELATED IMPROVEMENTS.

(e) COMMUNICATIONS AND DIGITAL INFRASTRUCTURE, INCLUDING FIBEROPTIC, WIRELESS AND BROADBAND FACILITIES, CONDUITS, TOWERS, ANTENNAS, DATA TRANSMISSION SYSTEMS, NETWORK EQUIPMENT, PUBLIC SAFETY COMMUNICATIONS FACILITIES, AND RELATED APPURTENANCES AND RIGHTS-OF-WAY.

(f) EQUIPMENT, VEHICLES, FURNISHINGS, TECHNOLOGY AND OTHER PERSONAL PROPERTY AND APPURTENANCES RELATED TO OR NECESSARY FOR THE OPERATION OF ANY PUBLIC INFRASTRUCTURE AUTHORIZED BY THIS CHAPTER.

(g) REFINANCING ANY MATURED OR UNMATURED BONDS WITH NEW BONDS.

23. "PUBLIC INFRASTRUCTURE PURPOSE" MEANS:

(a) PLANNING, DESIGNING, ENGINEERING, CONSTRUCTING, ACQUIRING OR INSTALLING {{~~OF~~}} PUBLIC INFRASTRUCTURE.

(b) ACQUIRING, CONVERTING, RENOVATING OR IMPROVING EXISTING FACILITIES FOR PUBLIC INFRASTRUCTURE.

(c) ACQUIRING INTERESTS IN REAL PROPERTY FOR PUBLIC INFRASTRUCTURE.

(d) ESTABLISHING, MAINTAINING AND REPLENISHING RESERVES IN ORDER TO SECURE PAYMENT OF DEBT SERVICE ON BONDS.

(e) FUNDING AND PAYING FROM BOND PROCEEDS INTEREST ACCRUING ON BONDS FOR A PERIOD OF NOT TO EXCEED THREE YEARS AFTER THEIR DATE OF ISSUANCE AND COSTS OF ISSUANCE OF THE BONDS AND UNDERWRITER AND PLACEMENT AGENT FEES.

(f) PROVIDING FOR THE TIMELY PAYMENT OF DEBT SERVICE ON INDEBTEDNESS OF THE DISTRICT OR OF DEVELOPMENT FEES OR SIMILAR EXACTIONS IMPOSED BY A MUNICIPALITY OR OTHER PUBLIC ENTITY, TO THE EXTENT THOSE CHARGES ARE IMPOSED TO FUND PUBLIC INFRASTRUCTURE THAT IS LOCATED WITHIN, PRIMARILY SERVES OR IS NECESSITATED BY DEVELOPMENT WITHIN THE DISTRICT.

(g) REFINANCING ANY MATURED OR UNMATURED BONDS WITH NEW BONDS.

(h) INCURRING EXPENSES OF THE DISTRICT THAT ARE INCIDENTAL TO AND REASONABLY NECESSARY TO CARRY OUT THE PURPOSES SPECIFIED IN THIS PARAGRAPH.

24. "QUALIFIED ELECTOR" MEANS A PERSON WHO IS A QUALIFIED ELECTOR PURSUANT TO TITLE 16 AND WHO RESIDES WITHIN THE BOUNDARIES OF A DISTRICT.

25. "TREASURER" MEANS THE PERSON APPOINTED BY THE BOARD TO BE THE DISTRICT TREASURER.

48-7002. Petition to form district; contents of petition; filings; limitation of liability

A. A STATE AFFORDABILITY INFRASTRUCTURE DISTRICT MAY BE FORMED PURSUANT TO THIS CHAPTER BY PETITION OF ALL INDIVIDUALS AND ENTITIES HAVING FEE-TITLE OWNERSHIP OF ALL REAL PROPERTY IN THE PROPOSED DISTRICT. THE PETITION SHALL BE SUBMITTED TO THE AUTHORITY. THE DISTRICT MAY INCLUDE CONTIGUOUS OR NONCONTIGUOUS PROPERTY, PROVIDED THAT ALL NONCONTIGUOUS PROPERTY SHALL BE LOCATED IN THE SAME COUNTY AND SHALL LIE WITHIN FIVE MILES OF THE BOUNDARY OF OTHER PROPERTY WITHIN THE DISTRICT, MEASURED IN A STRAIGHT LINE BETWEEN SUCH PARCEL BOUNDARIES. IF ANY PORTION OF A DISTRICT IS LOCATED WITHIN THE CORPORATE LIMITS OF A MUNICIPALITY, THE ENTIRE DISTRICT SHALL AT ALL TIMES BE LOCATED WITHIN THE CORPORATE LIMITS OR WITHIN THE ADOPTED PLANNING AREA OF THAT MUNICIPALITY, AS SUCH LIMITS OR PLANNING AREA MAY BE AMENDED FROM TIME TO TIME.

B. THE PETITION SHALL CONTAIN ALL OF THE FOLLOWING:

1. A METES AND BOUNDS DESCRIPTION AND A MAP OF THE DISTRICT BOUNDARIES.

2. THE PROPOSED NAME OF THE DISTRICT.

3. A GENERAL PLAN SETTING OUT A GENERAL DESCRIPTION OF THE PUBLIC INFRASTRUCTURE FOR WHICH THE DISTRICT IS PROPOSED TO BE FORMED AND FOR WHICH BONDS MAY BE ISSUED, THE GENERAL AREAS TO BE IMPROVED AND THE ESTIMATED COSTS OF CONSTRUCTING OR ACQUIRING THE PUBLIC INFRASTRUCTURE TO BE FINANCED, CONSTRUCTED OR ACQUIRED BY THE DISTRICT.

4. A GENERAL DESCRIPTION OF THE ESTIMATED COST OF ENGINEERING SERVICES, LEGAL SERVICES, ADMINISTRATIVE SERVICES AND OTHER MAJOR EXPENSES THAT ARE RELATED TO ORGANIZING AND INITIALLY OPERATING THE DISTRICT.

5. AN ENGINEER'S ESTIMATE OF THE COSTS OF THE PUBLIC INFRASTRUCTURE FOR WHICH THE DISTRICT IS PROPOSED TO BE FORMED AND FOR WHICH BONDS MAY BE ISSUED.

6. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS AND THE MAXIMUM AGGREGATE ASSESSMENT AMOUNT, IF ANY.

7. THE MAXIMUM O/M TAX RATE, IF ANY.

8. A PRELIMINARY FINANCING PLAN THAT INCLUDES THE ANTICIPATED SOURCES AND USES OF MONIES FOR THE PUBLIC INFRASTRUCTURE.

9. IF THE DISTRICT PROPOSES TO ISSUE ASSESSMENT BONDS, AN APPRAISAL {{OR AN OPINION OF VALUE PREPARED BY A LICENSED REAL ESTATE BROKER}} INDICATING THE AGGREGATE AS-IS {{~~MARKET~~}} VALUE OF REAL PROPERTY IN THE DISTRICT AND THE PROJECTED {{~~MARKET~~}} VALUE OF THE REAL PROPERTY AND IMPROVEMENTS IN THE DISTRICT AFTER COMPLETION OF THE PUBLIC INFRASTRUCTURE PROPOSED TO BE FINANCED WITH SUCH ASSESSMENT BONDS.

10. IF THE DISTRICT PROPOSES TO ISSUE GENERAL OBLIGATION BONDS, A THIRD-PARTY MARKET STUDY THAT INCLUDES PROJECTIONS OF THE LIMITED PROPERTY VALUE OF REAL PROPERTY IN THE DISTRICT FOR EACH YEAR IN WHICH GENERAL OBLIGATION BONDS ARE PROPOSED TO BE OUTSTANDING{{,}} TOGETHER WITH INFORMATION DEMONSTRATING THAT DEBT SERVICE ON SUCH BONDS CAN BE SUPPORTED WITHIN THE MAXIMUM AUTHORIZED TAX RATE.

11. A STATEMENT OF ALL HOLDERS OF FEE TITLE TO ALL REAL PROPERTY IN THE DISTRICT, THE INITIAL BOARD MEMBERS, THE INITIAL TERMS OF OFFICE OF

THE INITIAL BOARD MEMBERS AND THE DISTRICT CLERK AND THE DISTRICT TREASURER.

12. A STATEMENT OF BOND COUNSEL INDICATING THAT THE PETITION COMPLIES WITH THE PROCEDURAL REQUIREMENTS OF THIS SECTION.

13. A COPY OF ANY EXISTING AND APPLICABLE DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH THE MUNICIPALITY OR THE COUNTY THAT RELATES TO PUBLIC INFRASTRUCTURE AND THAT IS RECORDED AGAINST THE LAND INCLUDED WITHIN THE BOUNDARIES OF THE DISTRICT{{,}} AND A CERTIFICATION BY THE PETITIONER THAT THE FORMATION OF THE DISTRICT WILL NOT VIOLATE ANY SUCH AGREEMENT.

14. A WRITTEN STATEMENT, SIGNED BY AN ENGINEER, CERTIFYING THAT THE ESTIMATED COST OF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED IN THE PROPOSED DISTRICT EXCEEDS $5,000,000.

15. A SUMMARY OF THE ANTICIPATED COMMUNITY BENEFITS OF FORMING THE DISTRICT, INCLUDING EXPECTED IMPACTS ON PUBLIC INFRASTRUCTURE TIMING, HOUSING ATTAINABILITY AND ECONOMIC DEVELOPMENT, TOGETHER WITH A DESCRIPTION OF ANY MATERIAL RISKS ASSOCIATED WITH DISTRICT FORMATION AND IMPLEMENTATION OF THE GENERAL PLAN, INCLUDING POTENTIAL TAX, ASSESSMENT AND FISCAL IMPACTS ON OWNERS OF REAL PROPERTY IN THE DISTRICT.

16. A FORMATION ORDER IN SUBSTANTIALLY FINAL AND RECORDABLE FORM.

17. A DESCRIPTION OF THE PETITIONER, INCLUDING:

(a) THE LEGAL NAME OF EACH ENTITY OR INDIVIDUAL HAVING FEE-TITLE OWNERSHIP OF ANY REAL PROPERTY IN THE PROPOSED DISTRICT.

(b) THE NAME, ADDRESS AND TELEPHONE NUMBER OF THE PRIMARY CONTACT FOR THE PETITIONER.

(c) THE NAMES OF ANY LEGAL REPRESENTATIVES, ENGINEERS, ARCHITECTS, FINANCIAL CONSULTANTS OR OTHER CONSULTANTS THAT ARE SIGNIFICANTLY INVOLVED IN THE PETITION.

(d) A GENERAL DESCRIPTION OF THE PETITIONER'S EXPERIENCE WITH SIMILAR TYPES OF DEVELOPMENTS THAT THE DISTRICT WILL SUPPORT.

C. ANY FINANCIAL BURDEN OF A DISTRICT IS BORNE SOLELY BY THE DISTRICT AND IS NOT BORNE BY THE AUTHORITY, THIS STATE OR ANY MUNICIPALITY, COUNTY OR OTHER POLITICAL SUBDIVISION OF THIS STATE. ANY LIABILITY, JUDGMENT OR CLAIM AGAINST A DISTRICT IS THE SOLE RESPONSIBILITY OF THE DISTRICT AND DOES NOT CONSTITUTE A LIABILITY, JUDGMENT OR CLAIM AGAINST THE AUTHORITY, THIS STATE OR ANY MUNICIPALITY, COUNTY OR OTHER POLITICAL SUBDIVISION OF THIS STATE.

D. THE PETITION SHALL BE FILED WITH THE AUTHORITY. THE PETITIONER SHALL PROVIDE WRITTEN NOTICE OF THE FILING OF THE PETITION TO EACH AFFECTED MUNICIPALITY AND, IF THE DISTRICT IS LOCATED IN AN UNINCORPORATED AREA, TO THE COUNTY. THE NOTICE SHALL STATE THAT THE DISTRICT WILL BE FORMED NOT LESS THAN THIRTY DAYS AND NOT MORE THAN SIXTY DAYS AFTER SUBMITTING THE PETITION, SUBJECT TO APPROVAL BY THE AUTHORITY, AND THAT THE MUNICIPALITY OR THE COUNTY, AS APPLICABLE, MAY SUBMIT TO THE AUTHORITY WITHIN THIRTY DAYS AFTER THE FILING OF THE PETITION A WRITTEN NOTICE THAT IDENTIFIES A BASIS FOR DENIAL OF THE PETITION PURSUANT TO SECTION 48-7003, SUBSECTION D, PARAGRAPH 4.

E. IF THE AUTHORITY DETERMINES THAT THE PETITION IS INCOMPLETE OR DEFICIENT, THE PETITIONER SHALL HAVE A PERIOD OF SIXTY DAYS AFTER WRITTEN NOTICE OF THE DEFICIENCIES TO SUBMIT CORRECTIONS OF THE DEFICIENCIES. IF

THE CORRECTIONS OF THE DEFICIENCIES ARE NOT SUBMITTED TO THE AUTHORITY WITHIN SIXTY DAYS AFTER NOTICE OR DO NOT CORRECT THE DEFICIENCIES, THE AUTHORITY MAY REJECT THE PETITION PURSUANT TO SECTION 48-7003, SUBSECTION D.

F. FOR THE PURPOSES OF THIS CHAPTER, ALL CERTIFICATIONS, DETERMINATIONS, APPROVALS, FINDINGS AND ACTIONS REQUIRED TO BE MADE BY THE AUTHORITY SHALL BE MADE BY THE EXECUTIVE DIRECTOR. NO ACTION, APPROVAL, RESOLUTION OR VOTE OF THE BOARD OF DIRECTORS OF THE AUTHORITY IS REQUIRED FOR ANY CERTIFICATION, DETERMINATION OR ACTION TAKEN BY THE EXECUTIVE DIRECTOR PURSUANT TO THIS CHAPTER. ANY ACTION TAKEN BY THE EXECUTIVE DIRECTOR PURSUANT TO THIS CHAPTER IS DEEMED AN ACTION OF THE AUTHORITY.

48-7003. Authority; formation order; limitations on rejection; fees

A. A DISTRICT SHALL BE FORMED ONLY ON THE ISSUANCE OF A FORMATION ORDER BY THE AUTHORITY. THE AUTHORITY SHALL REVIEW THE PETITION SUBMITTED PURSUANT TO SECTION 48-7002 AND ACCOMPANYING MATERIALS TO EVALUATE, SOLELY ON THE BASIS OF THE INFORMATION INCLUDED WITH THE PETITION, THE FOLLOWING:

1. WHETHER ANY APPRAISAL{{,}} {{~~OR~~}} THIRD-PARTY MARKET STUDY {{OR OPINION OF VALUE THAT IS}} PROVIDED IN CONNECTION WITH THE PETITION IS COMPLETE.

2. WHETHER THE DESCRIPTION OF THE PROPOSED PUBLIC INFRASTRUCTURE IN THE GENERAL PLAN APPEARS COMPLETE ON ITS FACE AND DOES NOT CONTAIN OBVIOUS ERRORS, WITHOUT ANY INDEPENDENT ENGINEERING INVESTIGATION, ANALYSIS OR VERIFICATION.

3. WHETHER THE PRELIMINARY FINANCING PLAN INCLUDES THE ANTICIPATED SOURCES AND USES OF MONIES FOR THE PUBLIC INFRASTRUCTURE.

4. WHETHER THE DISTRICT IS REASONABLY EXPECTED TO HAVE THE FINANCIAL ABILITY TO DISCHARGE ITS PROPOSED INDEBTEDNESS WITHIN THE MAXIMUM AUTHORIZED TAX RATE AND MAXIMUM AGGREGATE ASSESSMENT AMOUNT, AS APPLICABLE.

5. WHETHER FORMATION OF THE DISTRICT WILL VIOLATE ANY EXISTING AND APPLICABLE DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH THE MUNICIPALITY OR THE COUNTY THAT RELATES TO THE LAND INCLUDED WITHIN THE BOUNDARIES OF THE DISTRICT THAT WAS SUBMITTED TO THE AUTHORITY IN CONNECTION WITH THE PETITION.

B. THE AUTHORITY SHALL APPROVE FORMATION OF THE DISTRICT AND ISSUE THE FORMATION ORDER FOR THE DISTRICT IF THE AUTHORITY FINDS THAT ALL OF THE FOLLOWING OCCURRED:

1. ALL REQUIRED DOCUMENTS HAVE BEEN SUBMITTED IN THE FORM PRESCRIBED BY THIS CHAPTER.

2. THE PROPOSED DISTRICT MEETS ALL STATUTORY ELIGIBILITY AND BOUNDARY REQUIREMENTS THAT ARE ESTABLISHED UNDER THIS CHAPTER.

3. THE NOTICE TO EACH AFFECTED MUNICIPALITY AND, IF THE DISTRICT IS LOCATED IN AN UNINCORPORATED AREA, TO THE COUNTY HAS BEEN PROVIDED AS PRESCRIBED BY SECTION 48-7002, SUBSECTION D.

4. SOLELY ON THE BASIS OF THE INFORMATION SUBMITTED IN CONNECTION WITH THE PETITION, INCLUDING ANY APPRAISAL{{,}} {{~~OR~~}} THIRD-PARTY MARKET STUDY {{OR OPINION OF VALUE}}, THE DISTRICT HAS, OR WILL HAVE, THE FINANCIAL ABILITY TO DISCHARGE ITS PROPOSED INDEBTEDNESS WITHIN THE

MAXIMUM AUTHORIZED TAX RATE AND MAXIMUM AGGREGATE ASSESSMENT AMOUNT, AS APPLICABLE.

C. IF THE REQUIREMENTS OF SUBSECTION B OF THIS SECTION ARE SATISFIED, THE AUTHORITY SHALL ISSUE A FORMATION ORDER WITHIN SIXTY DAYS AFTER THE SUBMISSION OF A COMPLETE PETITION. THE FORMATION ORDER SHALL INCLUDE ALL OF THE FOLLOWING:

1. THE NAME OF THE DISTRICT.

2. A METES AND BOUNDS DESCRIPTION AND A MAP OF THE DISTRICT'S BOUNDARIES.

3. A GENERAL DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THAT THE DISTRICT MAY FINANCE.

4. A STATEMENT THAT A GENERAL PLAN AND A PRELIMINARY FINANCING PLAN FOR THE DISTRICT WILL BE ON FILE WITH THE CLERK.

5. THE TYPES OF BONDS THAT THE DISTRICT IS AUTHORIZED TO ISSUE.

6. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AUTHORIZED AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, THE MAXIMUM AGGREGATE ASSESSMENT AMOUNT AND THE MAXIMUM O/M TAX RATE.

7. THE NAMES AND INITIAL TERMS OF THE INITIAL BOARD OF DIRECTORS AND THAT THE DISTRICT WILL BE GOVERNED BY DIRECTORS WHO ARE CHOSEN PURSUANT TO THIS CHAPTER.

8. A STATEMENT THAT:

(a) THE FORMATION OF THE DISTRICT MAY RESULT IN THE LEVY OF AD VALOREM TAXES OR ASSESSMENTS TO PAY THE COSTS OF AUTHORIZED PUBLIC INFRASTRUCTURE THAT IS CONSTRUCTED BY THE DISTRICT AND FOR OPERATING AND MAINTAINING THE AUTHORIZED PUBLIC INFRASTRUCTURE.

(b) ANY AD VALOREM TAX THAT IS LEVIED FOR THE PAYMENT OF GENERAL OBLIGATION BONDS MAY NOT BE LEVIED AT A RATE THAT EXCEEDS THE MAXIMUM AUTHORIZED TAX RATE THAT IS APPROVED AT THE ELECTION THAT AUTHORIZED THE LEVY AND THE ISSUANCE OF THE BONDS{{, EXCEPT AS PRESCRIBED IN SECTION 48-7021, SUBSECTION B}}.

(c) ANY BONDS OR OTHER OBLIGATIONS OF THE DISTRICT WILL NOT BE A DEBT, LEGAL OR MORAL, OF THIS STATE OR ANY MUNICIPALITY OR ANY COUNTY OF THIS STATE, ARE NOT OBLIGATIONS OF THIS STATE OR ANY MUNICIPALITY OR ANY COUNTY OF THIS STATE{{,}} {{~~AND~~}} ARE OBLIGATIONS OF THE DISTRICT AND ARE PAYABLE ONLY FROM THE SOURCES PLEDGED FOR THEIR PAYMENT.

D. THE AUTHORITY SHALL APPROVE FORMATION OF THE DISTRICT AND ISSUE THE FORMATION ORDER IF THE AUTHORITY DETERMINES THAT THE PETITION AND ACCOMPANYING MATERIALS MEET THE STATUTORY REQUIREMENTS OF THIS CHAPTER. THE AUTHORITY'S REVIEW IS LIMITED TO CONFIRMING THAT THE STATUTORY REQUIREMENTS OF THIS CHAPTER HAVE BEEN SATISFIED AND THE AUTHORITY MAY DENY A PETITION ONLY {{~~UPON~~}} {{ON}} A WRITTEN FINDING OF ONE OF THE FOLLOWING:

1. THE PETITION IS INCOMPLETE.

2. THE FINANCIAL INFORMATION SUBMITTED IN CONNECTION WITH THE PETITION, INCLUDING ANY APPRAISAL{{,}} {{~~OR~~}} THIRD-PARTY MARKET STUDY {{OR OPINION OF VALUE}}, IS INCOMPLETE OR ILLUSTRATES THAT THE DISTRICT WILL NOT HAVE THE FINANCIAL ABILITY TO DISCHARGE ITS PROPOSED INDEBTEDNESS WITHIN THE MAXIMUM AUTHORIZED TAX RATE AND MAXIMUM AGGREGATE ASSESSMENT AMOUNT, AS APPLICABLE.

3. THE PROPOSED DISTRICT VIOLATES A STATUTORY PROHIBITION OR BOUNDARY RULE UNDER THIS CHAPTER, AND IN EACH CASE THE PETITIONER FAILED TO SUBMIT PROPOSED CORRECTIONS OF THE DEFICIENCIES WITHIN SIXTY DAYS AFTER NOTICE.

4. THE FORMATION OF THE PROPOSED DISTRICT WILL MATERIALLY VIOLATE ANY EXISTING AND APPLICABLE DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH THE MUNICIPALITY OR THE COUNTY THAT RELATES TO PUBLIC INFRASTRUCTURE AND THAT IS RECORDED AGAINST THE LAND INCLUDED WITHIN THE BOUNDARIES OF THE DISTRICT WITH RESPECT TO THE DESIGN, CONSTRUCTION, CONVEYANCE, OPERATION OR MAINTENANCE OF THE PUBLIC INFRASTRUCTURE.

E. IF THE AUTHORITY DOES NOT ISSUE THE FORMATION ORDER WITHIN SIXTY DAYS AFTER SUBMISSION OF A COMPLETE PETITION, THE AUTHORITY SHALL PROVIDE A WRITTEN BASIS FOR NOT ADOPTING THE FORMATION ORDER AND SHALL IDENTIFY THE SPECIFIC CHANGES THAT ARE NEEDED FOR THE PETITION TO BE APPROVED AND FOR THE DISTRICT TO BE FORMED. SUCH ACTION WILL NOT CONSTITUTE A DENIAL OF THE PETITION AND THE PETITION MAY BE REVISED AND RESUBMITTED AT ANY TIME.

F. ON ISSUANCE OF THE FORMATION ORDER BY THE AUTHORITY, THE DISTRICT SHALL CAUSE THE FORMATION ORDER TO BE RECORDED IN THE REAL PROPERTY RECORDS OF THE COUNTY IN WHICH THE DISTRICT IS LOCATED AND SHALL CAUSE A COPY OF THE FORMATION ORDER TO BE DELIVERED TO THE COUNTY ASSESSOR AND THE BOARD OF SUPERVISORS OF THE COUNTY IN WHICH THE DISTRICT IS LOCATED, TO ANY MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED AND TO THE DEPARTMENT OF REVENUE. ON RECORDING THE FORMATION ORDER, THE DISTRICT IS ESTABLISHED AS A POLITICAL SUBDIVISION OF THIS STATE.

G. BEFORE RECORDING A FORMATION ORDER UNDER THIS SECTION, A GENERAL PLAN FOR THE DISTRICT SHALL BE RECORDED WITH THE COUNTY RECORDER OF THE COUNTY IN WHICH THE DISTRICT IS LOCATED THAT SETS OUT A GENERAL DESCRIPTION OF THE IMPROVEMENTS FOR WHICH THE DISTRICT IS PROPOSED TO BE FORMED AND THE AREAS TO BE IMPROVED.

H. ON FORMATION, THE DISTRICT IS A SPECIAL PURPOSE DISTRICT FOR THE PURPOSES OF ARTICLE IX, SECTION 19, CONSTITUTION OF ARIZONA, A TAX LEVYING PUBLIC IMPROVEMENT DISTRICT FOR THE PURPOSES OF ARTICLE XIII, SECTION 7, CONSTITUTION OF ARIZONA, AND A MUNICIPAL CORPORATION FOR ALL PURPOSES OF TITLE 35, CHAPTER 3, ARTICLES 3, 3.1, 3.2, 4 AND 5. A DISTRICT THAT DISTRIBUTES OR SELLS GROUNDWATER IS A PRIVATE WATER COMPANY ONLY FOR THE PURPOSES OF TITLE 45, CHAPTERS 2 AND 3.1. EXCEPT AS OTHERWISE PROVIDED IN THIS SECTION, A DISTRICT IS CONSIDERED TO BE A MUNICIPAL CORPORATION AND POLITICAL SUBDIVISION OF THIS STATE, SEPARATE AND APART FROM ANY MUNICIPALITY OR COUNTY IN WHICH THE DISTRICT IS LOCATED. NOTWITHSTANDING ANY OTHER LAW, A DISTRICT FORMED PURSUANT TO THIS CHAPTER DOES NOT HAVE THE POWER OF EMINENT DOMAIN AND DOES NOT HAVE THE POWER TO ENACT ZONING ORDINANCES. {{NOTWITHSTANDING ANY OTHER LAW, THIS CHAPTER DOES NOT IMPOSE ANY ADDITIONAL REGULATION OR REQUIREMENTS ON OR ALTER THE SERVICE TERRITORY, INCLUDING CERTIFICATES OF CONVENIENCE AND NECESSITY, OF ANY COUNTY, IRRIGATION DISTRICT, ELECTRICAL DISTRICT, AGRICULTURAL IMPROVEMENT DISTRICT, MUNICIPALITY OR PUBLIC SERVICE CORPORATION.}}

I. ON FORMATION OF THE DISTRICT, THE BOARD SHALL IMPLEMENT THE GENERAL PLAN FOR THE PUBLIC INFRASTRUCTURE OF THE DISTRICT.

J. FEES AND OTHER CHARGES ASSESSED BY THE AUTHORITY IN CONNECTION WITH THE SUBMISSION AND CONSIDERATION OF A PETITION TO FORM A DISTRICT MAY NOT EXCEED $15,000. IF A PETITION IS DENIED BY THE AUTHORITY, IT MAY NOT ASSESS A FEE OR OTHER CHARGE IN CONNECTION WITH SUBMITTING AND CONSIDERING A SUBSTANTIALLY SIMILAR PETITION THAT IS SUBMITTED WITHIN [~~ONE YEAR~~] [NINETY DAYS] AFTER THE DENIAL. FEES AND OTHER CHARGES ASSESSED BY A DISTRICT IN CONNECTION WITH ADMINISTERING THE DISTRICT, INCLUDING THE ISSUANCE AND SALE OF BONDS, MAY NOT EXCEED THE ACTUAL EXPENSE INCURRED BY THE DISTRICT FOR STAFF AND CONSULTANT SERVICES AND SUPPORT FACILITIES SUPPLIED BY THE DISTRICT OR THE FINANCIAL, LEGAL AND ADMINISTRATIVE COSTS OF THE DISTRICT THAT ARE NOT REIMBURSED FROM PROCEEDS OF THE BONDS OR OTHER DISTRICT REVENUE.

K. AFTER THE FORMATION ORDER IS ISSUED, THE OWNERS OF AT LEAST FIFTY PERCENT OF THE LAND IN THE DISTRICT MAY PETITION THE AUTHORITY TO AMEND THE FORMATION ORDER TO MODIFY THE POWERS OR FINANCIAL PARAMETERS OF THE DISTRICT, INCLUDING ANY MAXIMUM AUTHORIZED TAX RATE, MAXIMUM AUTHORIZED AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, MAXIMUM AGGREGATE ASSESSMENT AMOUNT OR MAXIMUM OPERATIONS AND MAINTENANCE TAX RATE. ANY SUCH PETITION FOR AMENDMENT SHALL:

1. DESCRIBE THE PROPOSED AMENDMENTS TO THE FORMATION ORDER AND GENERAL PLAN.

2. INCLUDE UPDATED FINANCIAL INFORMATION, INCLUDING AN UPDATED PRELIMINARY FINANCING PLAN, SUFFICIENT TO ALLOW THE AUTHORITY TO DETERMINE WHETHER THE DISTRICT IS REASONABLY EXPECTED TO HAVE THE FINANCIAL ABILITY TO DISCHARGE ITS PROPOSED INDEBTEDNESS WITHIN THE REVISED MAXIMUM AUTHORIZED TAX RATE AND MAXIMUM AGGREGATE ASSESSMENT AMOUNT, AS APPLICABLE.

3. DEMONSTRATE THAT THE PROPOSED AMENDMENTS DO NOT VIOLATE ANY APPLICABLE STATUTORY ELIGIBILITY OR BOUNDARY REQUIREMENTS OR ANY DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH THE MUNICIPALITY OR COUNTY RELATING TO THE LAND WITHIN THE DISTRICT.

L. THE AUTHORITY SHALL REVIEW AND ACT ON A PETITION FOR AMENDMENT UNDER THE STANDARDS AND WITHIN THE TIME PERIODS PRESCRIBED IN SUBSECTIONS A THROUGH E OF THIS SECTION, AND, IF APPROVED, SHALL ISSUE AND CAUSE TO BE RECORDED AN AMENDED FORMATION ORDER REFLECTING THE APPROVED CHANGES.

M. ANY PETITION TO AMEND THE FORMATION ORDER THAT INCREASES THE MAXIMUM AUTHORIZED TAX RATE OR MAXIMUM AGGREGATE ASSESSMENT AMOUNT SHALL BE SIGNED BY ALL OWNERS OF ALL REAL PROPERTY IN THE DISTRICT.

N. THE AUTHORITY'S ISSUANCE OF A FORMATION ORDER PURSUANT TO THIS CHAPTER IS A GOVERNMENTAL DETERMINATION OF STATEWIDE FINANCIAL COMPLIANCE AND DOES NOT CONSTITUTE ZONING, PLANNING OR LAND-USE APPROVAL. ANY ACTION OF THE AUTHORITY OR THE EXECUTIVE DIRECTOR PURSUANT TO THIS ARTICLE IS THE EXERCISE OF AN ADMINISTRATIVE FUNCTION INVOLVING THE DETERMINATION OF FUNDAMENTAL GOVERNMENTAL POLICY AS PRESCRIBED IN SECTION 12-820.01.

48-7004. District governance; board of directors; elections; powers and duties

A. ON ISSUANCE OF THE FORMATION ORDER, A DISTRICT SHALL BE GOVERNED BY A BOARD OF DIRECTORS THAT CONSISTS OF THREE DIRECTORS. THE INITIAL

DIRECTORS SHALL BE APPOINTED AS SET FORTH IN THE PETITION AND FORMATION ORDER.

B. SUBJECT TO SUBSECTION J OF THIS SECTION, EACH DIRECTOR SHALL EITHER HOLD A FEE TITLE TO REAL PROPERTY WITHIN THE DISTRICT OR BE AN INDIVIDUAL WHO IS DESIGNATED OR APPOINTED BY A HOLDER OF A FEE TITLE TO REAL PROPERTY WITHIN THE DISTRICT. A DIRECTOR WILL RESIGN FROM THE BOARD OF DIRECTORS IF AT ANY TIME DURING SUCH DIRECTOR'S TERM THE DIRECTOR IS NO LONGER AN OWNER OF REAL PROPERTY WITHIN THE DISTRICT OR, IF SUCH DIRECTOR WAS DESIGNATED OR APPOINTED BY AN OWNER OF REAL PROPERTY WITHIN THE DISTRICT, SUCH OWNER OF REAL PROPERTY WITHIN THE DISTRICT IS NO LONGER AN OWNER OF REAL PROPERTY WITHIN THE DISTRICT. SUCH DIRECTOR'S VACANCY WILL BE FILLED PURSUANT TO SUBSECTION H OF THIS SECTION.

C. THE TERM OF THE INITIAL DIRECTORS BEGINS ON THE DATE OF THE FORMATION ORDER. OF THE INITIAL DIRECTORS, ONE DIRECTOR SHALL SERVE A TERM OF THREE YEARS, ONE DIRECTOR SHALL SERVE A TERM OF FOUR YEARS AND ONE DIRECTOR SHALL SERVE A TERM OF FIVE YEARS, AS SPECIFIED IN THE PETITION. THEREAFTER, EACH SUBSEQUENTLY ELECTED DIRECTOR SHALL SERVE A TERM OF THREE YEARS. THESE SUBSEQUENTLY ELECTED DIRECTORS SHALL BE AN OWNER OF REAL PROPERTY IN THE DISTRICT WHO SHALL BE ELECTED AT LARGE BY THE OWNERS OF REAL PROPERTY IN THE DISTRICT, AS SHOWN ON THE PROPERTY TAX ASSESSMENT ROLL, WHO ARE QUALIFIED TO VOTE PURSUANT TO SECTION 48-7041. THE BOARD SHALL DEVELOP BYLAWS FOR THE OPERATION OF THE DISTRICT.

D. ONLY THE OWNERS THAT HOLD FEE TITLE TO REAL PROPERTY IN THE DISTRICT AND THEIR RESPECTIVE DESIGNEES AND APPOINTEES ARE ELIGIBLE TO VOTE IN:

1. AN ELECTION REGARDING AN AD VALOREM TAX OR AN ASSESSMENT TO BE LEVIED AGAINST THE REAL PROPERTY IN THE DISTRICT.

2. AN ELECTION FOR THE BOARD OF THE DISTRICT.

3. AN ELECTION FOR DISSOLUTION OF THE DISTRICT.

E. CORPORATIONS, PARTNERSHIPS AND OTHER BUSINESS ENTITIES ARE ELIGIBLE TO VOTE AS PROPERTY OWNERS, BUT ONLY ONE VOTE MAY BE CAST FOR EACH ONE-SEVENTH OF AN ACRE OF REAL PROPERTY IN THE DISTRICT, EXCEPT THAT ANY FRACTION OF OWNERSHIP OF REAL PROPERTY THAT IS LESS THAN ONE-SEVENTH OF AN ACRE ENTITLES THE OWNER TO CAST ONE VOTE. A MAJORITY OF THE ACREAGE, AS REPRESENTED BY THE VOTES CAST AT AN ELECTION THAT IS CONDUCTED SOLELY UNDER THIS ACREAGE SYSTEM, DETERMINES THE RESULT OF THE ELECTION.

F. AN ELECTION CONDUCTED UNDER THIS SECTION SHALL BE HELD AS A SPECIAL ELECTION OF THE DISTRICT AND SHALL BE NOTICED, CALLED, CONDUCTED AND CANVASSED BY THE BOARD IN THE MANNER PRESCRIBED BY THIS CHAPTER. THE BOARD MAY ENTER INTO INTERGOVERNMENTAL AGREEMENTS WITH THE COUNTY, A MUNICIPALITY OR ANOTHER PUBLIC ENTITY FOR ELECTION ADMINISTRATION, INCLUDING REIMBURSEMENT OF REASONABLE COSTS OF DISTRICT ELECTIONS.

G. THE BOARD SHALL:

1. ADOPT AND AMEND THE GENERAL PLAN FOR THE DISTRICT.

2. AUTHORIZE AND APPROVE THE ISSUANCE OF BONDS OF THE DISTRICT AS PROVIDED BY THIS CHAPTER.

3. LEVY AD VALOREM TAXES AND ASSESSMENTS, SUBJECT TO THE LIMITATIONS AND ELECTION REQUIREMENTS OF THIS CHAPTER, INCLUDING THE MAXIMUM AUTHORIZED TAX RATE.

4. MANAGE AND ADMINISTER THE AFFAIRS OF THE DISTRICT, INCLUDING OPERATING, MAINTAINING AND REPAIRING PUBLIC INFRASTRUCTURE THAT IS OWNED OR OPERATED BY THE DISTRICT.

5. ADOPT ANNUAL BUDGETS, STATEMENTS AND ESTIMATES FOR THE DISTRICT.

6. ADMINISTER DISTRICT ELECTIONS OR ENTER INTO INTERGOVERNMENTAL AGREEMENTS WITH THE COUNTY {{~~AND~~}}{{, A MUNICIPALITY OR}} OTHER QUALIFIED PUBLIC ENTITIES TO ADMINISTER DISTRICT ELECTIONS.

7. PERFORM ALL OTHER ACTS THAT ARE NECESSARY OR CONVENIENT TO CARRY OUT THE PURPOSES OF THIS CHAPTER.

H. IF A VACANCY OCCURS ON THE BOARD BECAUSE OF A DEATH, A RESIGNATION OR AN INABILITY OF THE DIRECTOR TO DISCHARGE THE DUTIES OF DIRECTOR, THE VACANCY SHALL BE FILLED BY APPOINTMENT MADE BY THE REMAINING DIRECTORS WITHIN THIRTY DAYS OF A VACANCY. THE BOARD SHALL PROVIDE WRITTEN NOTICE TO THE AUTHORITY THAT THE VACANCY HAS BEEN FILLED BY APPOINTMENT WITHIN THIRTY DAYS OF THE APPOINTMENT OR, IF THE REMAINING DIRECTORS HAVE NOT FILLED THE VACANCY BY APPOINTMENT, WRITTEN NOTICE TO THE AUTHORITY THAT THE VACANCY HAS NOT BEEN FILLED BY APPOINTMENT WITHIN THIRTY DAYS OF THE VACANCY. A DIRECTOR APPOINTED BY THE REMAINING DIRECTORS SHALL HOLD OFFICE FOR THE REMAINDER OF THE UNEXPIRED TERM UNTIL THE DIRECTOR'S SUCCESSOR IS ELECTED AS PROVIDED BY {{~~THIS~~}} ARTICLE {{3 OF THIS CHAPTER}}. A DIRECTOR SHALL NOT BE AN ELECTED OFFICIAL OF A MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED OR AN INDIAN TRIBE OR COMMUNITY OR AN EMPLOYEE OR AGENT OF A MUNICIPALITY OR INDIAN TRIBE OR COMMUNITY BUT MAY BE A DIRECTOR OF MORE THAN ONE DISTRICT.

I. THE MEMBERS OF THE BOARD ARE NOT ELIGIBLE TO RECEIVE COMPENSATION FOR THEIR SERVICES AS MEMBERS OF THE BOARD.

J. IF A VACANCY OCCURS ON THE BOARD BECAUSE OF DEATH, RESIGNATION OR INABILITY OF THE DIRECTOR TO DISCHARGE THE DUTIES OF DIRECTOR, AND THERE ARE NO OWNERS OF REAL PROPERTY WITHIN THE DISTRICT OR INDIVIDUALS DESIGNATED OR APPOINTED BY AN OWNER OF REAL PROPERTY WITHIN THE DISTRICT{{~~,~~}} WHO ARE WILLING TO FILL SUCH VACANCY, THE AUTHORITY SHALL APPOINT A DIRECTOR TO FILL THE VACANCY. THE DIRECTOR APPOINTED BY THE AUTHORITY IS NOT REQUIRED TO BE A FEE-TITLE OWNER OF REAL PROPERTY WITHIN THE DISTRICT OR AN INDIVIDUAL DESIGNATED OR APPOINTED BY A FEE-TITLE OWNER OF REAL PROPERTY WITHIN THE DISTRICT. THE DIRECTOR APPOINTED BY THE AUTHORITY SHALL HOLD OFFICE FOR THE REMAINDER OF THE UNEXPIRED TERM AND UNTIL THE DIRECTOR'S SUCCESSOR IS ELECTED, UNLESS A FEE-TITLE OWNER OF REAL PROPERTY WITHIN THE DISTRICT SUBMITS A WRITTEN REQUEST TO THE AUTHORITY AND THE BOARD TO REPLACE THE DIRECTOR APPOINTED BY THE AUTHORITY. IN THAT EVENT, THE AUTHORITY SHALL, AS SOON AS PRACTICABLE, APPOINT THAT FEE-TITLE OWNER OF REAL PROPERTY WITHIN THE DISTRICT TO REPLACE THE DIRECTOR APPOINTED BY THE AUTHORITY.

K. THE BOARD SHALL COMPLY WITH TITLE 38, CHAPTER 3, ARTICLE 3.1 AS A SEPARATE POLITICAL SUBDIVISION.

48-7005. Records; open meetings

A. A DISTRICT SHALL KEEP THE FOLLOWING RECORDS, WHICH SHALL BE MAINTAINED BY THE CLERK AND OPEN TO PUBLIC INSPECTION:

1. MINUTES OF ALL BOARD MEETINGS.

2. ALL RESOLUTIONS.

3. ACCOUNTS SHOWING ALL MONIES RECEIVED AND DISBURSED.

4. THE ANNUAL BUDGET.

5. ALL OTHER RECORDS REQUIRED TO BE MAINTAINED BY LAW.

B. THE BOARD SHALL COMPLY WITH THE REQUIREMENTS OF TITLE 38, CHAPTER 3, ARTICLE 3.1 AS A SEPARATE POLITICAL SUBDIVISION.

48-7006. District powers

A. IN ADDITION TO THE POWERS OTHERWISE GRANTED TO A DISTRICT PURSUANT TO THIS CHAPTER, A DISTRICT, TO FURTHER IMPLEMENT THE GENERAL PLAN, MAY:

1. ENTER INTO CONTRACTS AND EXPEND MONIES FOR ANY PUBLIC INFRASTRUCTURE PURPOSE WITH RESPECT TO THE DISTRICT, INCLUDING IN CONNECTION WITH THE ACQUISITION, CONSTRUCTION OR INSTALLATION OF PUBLIC INFRASTRUCTURE, PROVIDED THAT A DISTRICT MAY NOT BE THE CONTRACTING PARTY ON ANY CONSTRUCTION CONTRACT FOR PUBLIC INFRASTRUCTURE AND THE DISTRICT'S ROLE WITH RESPECT TO THE CONSTRUCTION OF SUCH PUBLIC INFRASTRUCTURE SHALL BE LIMITED TO ACQUIRING OR REIMBURSING THE COSTS OF SUCH PUBLIC INFRASTRUCTURE.

2. ENTER INTO INTERGOVERNMENTAL AGREEMENTS WITH THIS STATE, A COUNTY, A MUNICIPALITY OR ANY OTHER PUBLIC AGENCY THAT IS AUTHORIZED BY LAW TO ENTER INTO INTERGOVERNMENTAL AGREEMENTS FOR THE PLANNING, DESIGN, INSPECTION, OWNERSHIP, CONTROL, MAINTENANCE, OPERATION OR REPAIR OF PUBLIC INFRASTRUCTURE.

3. ENTER INTO INTERGOVERNMENTAL AGREEMENTS WITH THE COUNTY, A MUNICIPALITY OR ANOTHER QUALIFIED PUBLIC ENTITY FOR THE ADMINISTRATION OF DISTRICT ELECTIONS, INCLUDING AGREEMENTS TO REIMBURSE THE PUBLIC ENTITY FOR THE REASONABLE COSTS OF DISTRICT ELECTIONS.

4. SELL, LEASE OR OTHERWISE DISPOSE OF DISTRICT PROPERTY IF THE SALE, LEASE OR CONVEYANCE IS NOT A VIOLATION OF THE TERMS OF ANY CONTRACT, BOND RESOLUTION OR TRUST INDENTURE OF THE DISTRICT.

5. OPERATE, MAINTAIN AND REPAIR PUBLIC INFRASTRUCTURE THAT IS OWNED OR OPERATED BY THE DISTRICT.

6. ESTABLISH, CHARGE AND COLLECT USER FEES, RATES OR OTHER CHARGES FOR THE USE OF ANY SERVICE OR PUBLIC INFRASTRUCTURE OF THE DISTRICT OTHER THAN STREETS, ROADS OR HIGHWAYS.

7. EMPLOY OR CONTRACT FOR STAFF, COUNSEL AND CONSULTANTS, INCLUDING ENGINEERS, ATTORNEYS, ACCOUNTANTS, FINANCIAL ADVISORS, UNDERWRITERS, ADMINISTRATORS AND ELECTION OFFICIALS, TO ASSIST WITH DISTRICT AND BOARD ADMINISTRATION, FINANCING AND ELECTION MATTERS.

8. INCUR AND REPAY LOANS, ADVANCES OR OTHER OBLIGATIONS FOR ANY PUBLIC INFRASTRUCTURE PURPOSE, INCLUDING TO PROVIDE FOR THE PRESENT FINANCING OF COSTS TO BE REIMBURSED FROM FUTURE DISTRICT REVENUES OR REIMBURSEMENTS RELATED TO PUBLIC INFRASTRUCTURE.

9. ENTER INTO AGREEMENTS WITH LANDOWNERS AND WITH A MUNICIPALITY OR COUNTY FOR THE COLLECTION OF FEES AND CHARGES FROM LANDOWNERS FOR PUBLIC INFRASTRUCTURE PURPOSES, FOR THE ADVANCE OF MONIES BY LANDOWNERS FOR PUBLIC INFRASTRUCTURE PURPOSES OR FOR THE GRANTING OF REAL PROPERTY OR INTERESTS IN REAL PROPERTY BY A LANDOWNER FOR PUBLIC INFRASTRUCTURE PURPOSES, AND {{~~TO~~}} RECOGNIZE, ASSIGN, CONFIRM OR CONSENT TO THE ASSIGNMENT BY SUCH LANDOWNERS OF THEIR RIGHTS TO RECEIVE ANY

REIMBURSEMENTS OR PAYMENTS FROM THE DISTRICT FOR PUBLIC INFRASTRUCTURE COSTS, INCLUDING TO OR IN FAVOR OF LENDERS, TRUSTEES OR OTHER FINANCING PARTIES.

10. BY RESOLUTION, LEVY AND ASSESS THE COSTS OF ANY PUBLIC INFRASTRUCTURE PURPOSE ON ANY LAND THAT IS BENEFITED IN THE DISTRICT, SUBJECT TO THE LIMITATIONS AND ELECTION REQUIREMENTS OF THIS CHAPTER, INCLUDING THE MAXIMUM AUTHORIZED TAX RATE.

11. PAY THE FINANCIAL, LEGAL AND ADMINISTRATIVE COSTS OF THE DISTRICT.

12. ENTER INTO CONTRACTS, AGREEMENTS AND TRUST INDENTURES TO OBTAIN CREDIT ENHANCEMENT OR LIQUIDITY SUPPORT FOR ITS BONDS AND TO PROVIDE FOR THE ISSUANCE, REGISTRATION, TRANSFER AND PAYMENT OF ITS BONDS AND FOR THE DISBURSEMENT AND INVESTMENT OF BOND PROCEEDS.

13. ENTER INTO AGREEMENTS WITH PERSONS OUTSIDE OF THE DISTRICT TO PROVIDE SERVICES TO PERSONS AND PROPERTY OUTSIDE OF THE DISTRICT AND TO RECEIVE COMPENSATION FOR THOSE SERVICES.

14. USE PUBLIC EASEMENTS AND RIGHTS-OF-WAY IN OR ACROSS PUBLIC PROPERTY, ROADWAYS, HIGHWAYS, STREETS OR OTHER THOROUGHFARES AND OTHER PUBLIC EASEMENTS AND RIGHTS-OF-WAY, WHETHER IN OR OUT OF THE GEOGRAPHICAL LIMITS OF THE DISTRICT, A MUNICIPALITY OR A COUNTY, SUBJECT TO APPLICABLE LAW, PERMITTING RESTRICTIONS AND THE RIGHTS OF THE PUBLIC.

B. IN CONNECTION WITH ANY POWER AUTHORIZED BY STATUTE, THE DISTRICT MAY:

1. CONTRACT.

2. ENTER INTO INTERGOVERNMENTAL AGREEMENTS PURSUANT TO TITLE 11, CHAPTER 7, ARTICLE 3.

3. ADOPT AND CHANGE A SEAL.

4. SUE AND BE SUED.

5. ENTER INTO DEVELOPMENT AGREEMENTS AS DEFINED IN SECTION 9-500.05.

C. A DISTRICT IS NOT EMPOWERED TO EXERCISE LAND USE OR ZONING AUTHORITY AND MAY NOT ADOPT, AMEND OR ENFORCE ZONING ORDINANCES OR SIMILAR LAND USE REGULATIONS.

D. PUBLIC INFRASTRUCTURE OTHER THAN PERSONALTY MAY BE LOCATED ONLY IN OR ON LANDS OWNED BY THIS STATE, A COUNTY, A MUNICIPALITY OR THE DISTRICT OR DEDICATED OR OTHERWISE DESIGNATED AS PUBLIC ROADWAYS, HIGHWAYS, STREETS, THOROUGHFARES, EASEMENTS OR RIGHTS-OF-WAY, WHETHER IN OR OUT OF THE DISTRICT OR A MUNICIPALITY. PERSONALTY MAY BE USED ONLY FOR PURPOSES AUTHORIZED BY THE BOARD.

E. AN AGREEMENT PURSUANT TO SUBSECTION A, PARAGRAPH 9 OF THIS SECTION MAY INCLUDE AGREEMENTS TO REPAY ALL OR PART OF SUCH ADVANCES, FEES AND CHARGES FROM THE PROCEEDS OF BONDS IF ISSUED OR FROM ADVANCES, FEES AND CHARGES COLLECTED FROM OTHER LANDOWNERS OR USERS OR THOSE HAVING A RIGHT TO USE ANY INFRASTRUCTURE. A PERSON DOES NOT HAVE AUTHORITY TO COMPEL THE ISSUANCE OR SALE OF THE BONDS OF THE DISTRICT OR THE EXERCISE OF ANY TAXING POWER OF THE DISTRICT TO MAKE REPAYMENT UNDER ANY AGREEMENT.

[F. A CONSTRUCTION CONTRACT FOR PUBLIC INFRASTRUCTURE UNDER THIS CHAPTER IS A PRIVATE CONSTRUCTION CONTRACT BETWEEN AN OWNER AND THE CONTRACTOR FOR PURPOSES OF TITLE 32, CHAPTER 10, ARTICLE 5, AND ANY PERSON

FURNISHING LABOR, PROFESSIONAL SERVICES, MATERIALS, MACHINERY, FIXTURES OR TOOLS FOR THAT PUBLIC INFRASTRUCTURE SHALL HAVE SUCH MECHANICS' AND MATERIALMEN'S LIEN RIGHTS THAT WOULD OTHERWISE APPLY TO THE CONSTRUCTION CONTRACT AND THE PUBLIC INFRASTRUCTURE SUBJECT THERETO UNDER TITLE 33, CHAPTER 7, ARTICLE 6, AND IS SUBJECT TO ALL REQUIREMENTS AND LIMITATIONS OF THAT ARTICLE.

G. {{~~IN CONNECTION WITH~~}} A CONSTRUCTION CONTRACT FOR PUBLIC INFRASTRUCTURE UNDER THIS CHAPTER{{~~, SUCH CONTRACTING~~}} {{SHALL INCLUDE THE FOLLOWING PROVISIONS:

1. BEFORE COMMENCING CONSTRUCTION, THE}} OWNER SHALL PROVIDE {{~~FINANCIAL ASSURANCES ACCEPTABLE TO THE CONTRACTOR AS AGREED IN THE~~}} {{A PAYMENT BOND, LETTER OF CREDIT, GUARANTY, PROOF OF FUNDS OR OTHER COMPARABLE FINANCIAL ASSURANCE THAT THE OWNER CAN PAY THE FULL CONTRACT PRICE AS OF THE DATE OF EXECUTION.

2. BEFORE COMMENCING ANY WORK THAT IS SUBJECT TO OWNER-APPROVED CHANGE ORDERS THAT INDIVIDUALLY OR COLLECTIVELY INCREASE THE AGGREGATE}} CONSTRUCTION CONTRACT{{~~, WHICH MAY INCLUDE~~}} {{PRICE BY MORE THAN TEN PERCENT, THE OWNER SHALL PROVIDE}} A PAYMENT BOND {{OR PAYMENT BOND RIDER}}, {{~~GUARANTY,~~}} LETTER OF CREDIT, {{~~DEED OF TRUST~~}} {{GUARANTY}}, PROOF OF {{~~MONIES~~}} {{FUNDS}} OR OTHER COMPARABLE {{~~SECURITY~~}} {{FINANCIAL ASSURANCE THAT THE OWNER CAN PAY THE FULL AMOUNT OF THOSE CHANGE ORDERS AS OF THE DATE OF APPROVAL}}.]

48-7007. District finances; revenue

THE PROJECTS TO BE CONSTRUCTED OR ACQUIRED AS SHOWN IN THE GENERAL PLAN MAY BE FINANCED FROM THE FOLLOWING SOURCES OF REVENUE:

1. PROCEEDS RECEIVED FROM THE SALE OF BONDS OF THE DISTRICT.

2. MONIES OF A MUNICIPALITY OR INDIAN TRIBE OR COMMUNITY THAT ARE CONTRIBUTED TO THE DISTRICT.

3. ASSESSMENTS.

4. AD VALOREM TAXES.

5. PRIVATE CONTRIBUTIONS.

6. USER, LANDOWNER AND OTHER FEES AND CHARGES.

7. PROCEEDS OF LOANS OR ADVANCES.

8. ANY OTHER MONIES AVAILABLE TO THE DISTRICT BY LAW.

48-7008. Project review by authority; hearing; notice; fees

A. BEFORE CONSTRUCTING OR ACQUIRING ANY PUBLIC INFRASTRUCTURE, THE BOARD SHALL CAUSE A STUDY OF THE FEASIBILITY AND BENEFITS OF THE PROJECT THAT SHALL BE PREPARED BY ENGINEERS AND OTHER QUALIFIED PERSONS AND THAT SHALL INCLUDE A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED AND ALL OTHER INFORMATION USEFUL TO UNDERSTAND THE PROJECT, A MAP SHOWING, IN GENERAL, THE LOCATION OF THE PROJECT, AN ESTIMATE OF THE COST TO CONSTRUCT, ACQUIRE, OPERATE AND MAINTAIN THE PROJECT, AN ESTIMATED SCHEDULE FOR COMPLETION OF THE PROJECT, A MAP OR DESCRIPTION OF THE AREA TO BE BENEFITED BY THE PROJECT AND THE FINANCING PLAN FOR THE PROJECT. WITHIN SIXTY DAYS AFTER RECEIVING THE REPORT, THE BOARD SHALL HOLD A PUBLIC HEARING ON THE REPORT AND PROVIDE NOTICE OF THE HEARING BY PUBLICATION NOT LESS THAN TEN DAYS IN ADVANCE IN THE OFFICIAL NEWSPAPER OF THE MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED OR, IF NONE IN THE MUNICIPALITY OR IF THE DISTRICT IS LOCATED IN AN UNINCORPORATED AREA, A

NEWSPAPER OF GENERAL CIRCULATION IN THE COUNTY AND BY MAIL TO THE GOVERNING BODY OF THE MUNICIPALITY. WITHIN SIXTY DAYS AFTER THE HEARING, THE BOARD MAY REJECT, AMEND OR APPROVE THE REPORT. IF THE REPORT IS AMENDED SUBSTANTIALLY, A NEW HEARING SHALL BE HELD WITHIN SIXTY DAYS AFTER THE DATE THE AMENDED REPORT IS RECEIVED AND BEFORE APPROVAL. IF THE REPORT IS APPROVED, THE BOARD SHALL ADOPT A RESOLUTION THAT IDENTIFIES THE PUBLIC INFRASTRUCTURE OF THE PROJECT, THE AREAS BENEFITED, THE EXPECTED METHOD OF FINANCING, INCLUDING THE NATURE AND TIMING OF THE ISSUANCE OF BONDS, IF ANY, AND AN APPROPRIATE SYSTEM OF PROVIDING REVENUES TO OPERATE AND MAINTAIN THE PROJECT, IF APPLICABLE. THE BOARD SHALL EXECUTE THE PROVISIONS OF THE REPORT WITHIN THE TIME FRAMES IDENTIFIED IN THE APPROVED REPORT.

B. BEFORE CONSTRUCTING OR ACQUIRING ANY PUBLIC INFRASTRUCTURE AND BEFORE THE BOARD HAS HELD THE PUBLIC HEARING PRESCRIBED IN SUBSECTION A OF THIS SECTION, THE BOARD SHALL CAUSE THE STUDY OF THE FEASIBILITY AND BENEFITS OF THE PROJECT PRESCRIBED IN SUBSECTION A OF THIS SECTION TO BE PROVIDED TO THE AUTHORITY. IN ADDITION TO THE STUDY OF THE FEASIBILITY AND BENEFITS OF THE PROJECT PRESCRIBED IN SUBSECTION A OF THIS SECTION, THE BOARD SHALL CAUSE THE FOLLOWING INFORMATION TO BE PROVIDED TO THE AUTHORITY:

1. THE PROPOSED MAXIMUM PRINCIPAL AMOUNT OF BONDS TO BE ISSUED, THE MAXIMUM INTEREST RATE AND A PRELIMINARY DEBT SERVICE SCHEDULE FOR THE BONDS.

2. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS PROPOSED TO BE FINANCED WITH THE PROCEEDS OF GENERAL OBLIGATION BONDS, A REPORT INDICATING THE PROJECTED MARKET VALUE OF THE REAL PROPERTY AND IMPROVEMENTS IN THE DISTRICT AFTER THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED BY THE DISTRICT WITH THE PROCEEDS OF SUCH BONDS IS COMPLETED PLUS THE VALUE OF THE PUBLIC INFRASTRUCTURE OWNED BY THE DISTRICT AND TO BE CONSTRUCTED OR ACQUIRED BY THE DISTRICT WITH THE PROCEEDS OF SUCH BONDS.

3. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS PROPOSED TO BE FINANCED WITH THE PROCEEDS OF GENERAL OBLIGATION BONDS, A THIRD-PARTY MARKET STUDY THAT INCLUDES PROJECTIONS OF THE LIMITED PROPERTY VALUE OF REAL PROPERTY IN THE DISTRICT FOR EACH YEAR IN WHICH GENERAL OBLIGATION BONDS ARE PROPOSED TO BE OUTSTANDING, TOGETHER WITH A PROJECTION OF THE AD VALOREM TAX RATE THAT IS REQUIRED TO SUPPORT DEBT SERVICE ON THE GENERAL OBLIGATION BONDS{{~~, WHICH PROJECTED RATE~~}} {{AND THAT}} DOES NOT EXCEED THE MAXIMUM AUTHORIZED TAX RATE.

4. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS PROPOSED TO BE FINANCED WITH THE PROCEEDS OF ASSESSMENT BONDS, AN APPRAISAL INDICATING THE AGGREGATE AS-IS MARKET VALUE OF REAL PROPERTY IN THE DISTRICT AND THE PROJECTED MARKET VALUE OF THE REAL PROPERTY AND IMPROVEMENTS IN THE DISTRICT AFTER COMPLETION OF THE PUBLIC INFRASTRUCTURE PROPOSED TO BE FINANCED WITH SUCH ASSESSMENT BONDS.

5. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS PROPOSED TO BE FINANCED WITH THE PROCEEDS OF ASSESSMENT BONDS, THE MAXIMUM AGGREGATE ASSESSMENT AND THE MAXIMUM PER-LOT ASSESSMENT TO BE LEVIED IN CONNECTION WITH THE ASSESSMENT BONDS.

6. THE ANTICIPATED BUILD-OUT SCHEDULE AND ASSOCIATED VALUATION INCREASES.

7. THE CURRENTLY OUTSTANDING AGGREGATE PRINCIPAL AMOUNT OF ALL BONDS OF THE DISTRICT AND THE CURRENT AD VALOREM TAX RATE OF THE DISTRICT, IF ANY.

8. THE PROPOSED FINANCING TEAM, INCLUDING THE UNDERWRITER OR PLACEMENT AGENT AND THE DISTRICT'S BOND COUNSEL.

9. A CERTIFICATION AS TO THE REASONABLENESS OF ASSUMPTIONS THAT ARE USED IN THE MARKET VALUE AND GROWTH PROJECTIONS {{AND A CERTIFICATION THAT THE AD VALOREM TAX RATE LEVIED TO PAY THE DEBT SERVICE ON GENERAL OBLIGATION BONDS OF THE DISTRICT IN THE CURRENT AND IMMEDIATELY PRECEDING FISCAL YEAR IS NOT IN EXCESS OF THE MAXIMUM AUTHORIZED TAX RATE}}.

10. A CERTIFICATION THAT THE CONSTRUCTION OR ACQUISITION OF THE PUBLIC INFRASTRUCTURE, AS APPLICABLE, WILL NOT CONFLICT WITH ANY EXISTING AND APPLICABLE DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH THE MUNICIPALITY OR THE COUNTY THAT RELATES TO THE LAND INCLUDED WITHIN THE BOUNDARIES OF THE DISTRICT THAT WAS SUBMITTED TO THE AUTHORITY IN CONNECTION WITH THE PETITION.

C. THE AUTHORITY SHALL REVIEW THE INFORMATION SUBMITTED PURSUANT TO SUBSECTION B OF THIS SECTION TO CONFIRM, SOLELY ON THE BASIS OF THE INFORMATION SUBMITTED AND WITHOUT ANY INDEPENDENT DETERMINATION OF FEASIBILITY OR VALUE, THAT ALL INFORMATION REQUIRED PURSUANT TO SUBSECTION B OF THIS SECTION HAS BEEN SUBMITTED AND THAT THE CONSTRUCTION OR ACQUISITION OF THE PUBLIC INFRASTRUCTURE, OR BOTH, AS APPLICABLE, COMPLIES WITH THE FORMATION ORDER AND THE GENERAL PLAN AND DOES NOT OTHERWISE VIOLATE THE PROVISIONS OF THIS CHAPTER.

D. THE AUTHORITY SHALL PROVIDE WRITTEN NOTICE TO THE DISTRICT WITHIN THIRTY DAYS AFTER RECEIVING THE INFORMATION SUBMITTED PURSUANT TO SUBSECTION B OF THIS SECTION IF THE SUBMITTED INFORMATION IS INCOMPLETE OR HAS NOT BEEN SUBMITTED OR IF THE SUBMITTED INFORMATION INDICATES THAT THE CONSTRUCTION OR ACQUISITION OF THE PUBLIC INFRASTRUCTURE DOES NOT COMPLY WITH THE FORMATION ORDER OR THE GENERAL PLAN OR DOES NOT OTHERWISE COMPLY WITH THE PROVISIONS OF THIS CHAPTER{{~~, WHICH~~}}{{. THE}} WRITTEN NOTICE SHALL IDENTIFY ANY DEFICIENCIES. THE BOARD MAY NOT HOLD THE PUBLIC HEARING DESCRIBED IN SUBSECTION A OF THIS SECTION UNTIL THIRTY DAYS HAS ELAPSED SINCE THE SUBMISSION OF THE INFORMATION SUBMITTED PURSUANT TO SUBSECTION B OF THIS SECTION AND THE DISTRICT HAS NOT RECEIVED FROM THE AUTHORITY THE NOTICE PRESCRIBED IN THIS SUBSECTION.

E. FEES AND OTHER CHARGES THAT ARE ASSESSED BY THE AUTHORITY IN CONNECTION WITH THE REVIEW OF THE INFORMATION SUBMITTED PURSUANT TO SUBSECTION B OF THIS SECTION SHALL NOT EXCEED [~~$15,000~~] [$30,000] FOR EACH SUBMISSION. ANY SUCH FEES SHALL BE IN ADDITION TO THE FEES AND OTHER CHARGES THAT ARE ASSESSED BY THE AUTHORITY IN CONNECTION WITH THE SUBMISSION AND CONSIDERATION OF AN APPLICATION AND PETITION TO FORM A DISTRICT PURSUANT TO SECTION 48-7003, SUBSECTION J.

ARTICLE 2. FINANCIAL PROVISIONS

48-7021. General obligation bonds debt limitations; maximum authorized tax rate

A. THE TOTAL AGGREGATE OUTSTANDING AMOUNT OF GENERAL OBLIGATION BONDS AND ANY OTHER INDEBTEDNESS FOR WHICH THE AD VALOREM TAXES OF THE DISTRICT ARE PLEDGED SHALL NOT EXCEED SIXTY PERCENT OF THE AGGREGATE OF THE PROJECTED MARKET VALUE OF THE REAL PROPERTY AND IMPROVEMENTS IN THE DISTRICT AFTER THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED BY THE DISTRICT WITH THE PROCEEDS OF SUCH GENERAL OBLIGATION BONDS IS COMPLETED{{,}} PLUS THE VALUE OF THE PUBLIC INFRASTRUCTURE OWNED BY THE DISTRICT AND TO BE CONSTRUCTED OR ACQUIRED BY THE DISTRICT WITH THE PROCEEDS OF SUCH GENERAL OBLIGATION BONDS.

B. ANY AD VALOREM TAX LEVIED TO PAY THE DEBT SERVICE ON ALL GENERAL OBLIGATION BONDS OF THE DISTRICT SHALL NOT BE LEVIED AT A RATE THAT EXCEEDS THE MAXIMUM AUTHORIZED TAX RATE {{OF $5 PER $100 OF NET ASSESSED LIMITED PROPERTY VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE DISTRICT}}. THE MAXIMUM AUTHORIZED TAX RATE SHALL BE INDICATED IN THE PETITION AND THE FORMATION ORDER AND SHALL BE APPROVED AT AN ELECTION HELD PURSUANT TO SECTION 48-7041{{.}} {{~~EXCEPT THAT~~}} THE MAXIMUM AUTHORIZED TAX RATE {{IS THE MAXIMUM TAX RATE THAT MAY BE USED TO PRICE AND SIZE ANY ISSUE OF GENERAL OBLIGATION BONDS OF THE DISTRICT AND THE BOARD MAY NOT ASSUME AN ANNUAL GROWTH RATE FOR LIMITED PROPERTY VALUE IN EXCESS OF FIVE PERCENT. IF, IN ANY FISCAL YEAR, APPLICATION OF THE MAXIMUM AUTHORIZED TAX RATE TO THE NET ASSESSED LIMITED PROPERTY VALUATION OF REAL AND PERSONAL PROPERTY IN THE DISTRICT, TOGETHER WITH ANY MONIES FROM THE SOURCES DESCRIBED IN SECTION 48-7007, IS INSUFFICIENT TO PAY DEBT SERVICE ON THE BONDS IN THE FISCAL YEAR, THE DISTRICT SHALL LEVY SUCH ADDITIONAL AD VALOREM TAXES AS ARE NECESSARY TO PAY SUCH DEBT SERVICE WHEN DUE, EXCEPT THAT THE LEVY OF SUCH ADDITIONAL AD VALOREM TAXES}} SHALL NOT EXCEED {{~~$10~~}} {{A RATE OF $7.50}} PER $100 OF NET {{~~LIMITED~~}} ASSESSED {{LIMITED}} PROPERTY VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE DISTRICT{{~~, AND PROVIDED FURTHER THAT IF, AS OF THE DATE THE PETITION TO FORM THE DISTRICT IS SUBMITTED, THE TOTAL COUNTYWIDE PRIMARY AND SECONDARY TAX RATE PER $100 OF NET LIMITED ASSESSED PROPERTY VALUATION IN THE COUNTY IN WHICH THE DISTRICT IS LOCATED EXCEEDS ONE HUNDRED TWENTY-FIVE PERCENT OF THE STATEWIDE AVERAGE TOTAL COUNTYWIDE PRIMARY AND SECONDARY RATE, AS SHOWN IN THE MOST RECENT ABSTRACT OF THE ASSESSMENT ROLL OR SIMILAR REPORT PUBLISHED BY THE DEPARTMENT OF REVENUE, THEN THE MAXIMUM AUTHORIZED TAX RATE SHALL NOT EXCEED $6 PER $100 OF NET LIMITED ASSESSED PROPERTY VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE DISTRICT, UNLESS THE GOVERNING BODY OF THE MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED, OR IF THE DISTRICT IS LOCATED IN AN UNINCORPORATED AREA, THE COUNTY IN WHICH THE DISTRICT IS LOCATED, APPROVES A HIGHER MAXIMUM AUTHORIZED TAX RATE BY WRITTEN CONSENT OR BY RESOLUTION~~}}. THE AUTHORITY SHALL NOT OTHERWISE RESTRICT THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM ASSESSMENT ASSESSED BY A DISTRICT OR THE MAXIMUM AGGREGATE AMOUNT OF BONDS ISSUED BY A DISTRICT EXCEPT AS EXPRESSLY PROVIDED IN THIS CHAPTER.

48-7022. General obligation bonds; tax levy; security

A. AT ANY TIME AFTER THE FORMATION OF A DISTRICT, THE BOARD MAY FROM TIME TO TIME ORDER AND CALL A GENERAL OBLIGATION BOND ELECTION TO SUBMIT TO THE QUALIFIED ELECTORS OF THE DISTRICT OR TO THOSE PERSONS WHO ARE QUALIFIED TO VOTE PURSUANT TO SECTION 48-7041 THE QUESTION OF AUTHORIZING THE BOARD TO ISSUE GENERAL OBLIGATION BONDS OF THE DISTRICT TO PROVIDE MONIES FOR ANY PUBLIC INFRASTRUCTURE PURPOSES CONSISTENT WITH THE GENERAL PLAN AND THE QUESTION OF AUTHORIZING AN AD VALOREM TAX TO BE LEVIED.

B. IF GENERAL OBLIGATION BONDS ARE APPROVED AT AN ELECTION, THE BOARD MAY ISSUE AND SELL GENERAL OBLIGATION BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED THIRTY YEARS, SUBJECT TO THE LIMITATION THAT ANY AD VALOREM TAX LEVIED TO PAY THE DEBT SERVICE ON THE GENERAL OBLIGATION BONDS SHALL NOT BE LEVIED AT A RATE THAT EXCEEDS THE MAXIMUM AUTHORIZED TAX RATE{{, EXCEPT AS PRESCRIBED IN SECTION 48-7021, SUBSECTION B}}.

C. THE DISTRICT MAY ISSUE AND SELL REFUNDING BONDS TO REFUND ANY GENERAL OBLIGATION BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED THIRTY YEARS. IF GENERAL OBLIGATION BONDS ARE ISSUED TO REFUND ANY GENERAL OBLIGATION BONDS OF THE DISTRICT, AN ELECTION ON THE ISSUANCE OF SUCH REFUNDING BONDS IS NOT REQUIRED, BUT ANY AD VALOREM TAX LEVIED TO PAY THE DEBT SERVICE ON SUCH REFUNDING BONDS SHALL NOT BE LEVIED AT A RATE THAT EXCEEDS THE MAXIMUM AUTHORIZED TAX RATE{{~~. AD VALOREM TAXES LEVIED TO PAY GENERAL OBLIGATION BONDS OF A DISTRICT ARE LIMITED TAXES SUBJECT TO THE MAXIMUM AUTHORIZED TAX RATE APPROVED AT ELECTION AND DO NOT CONSTITUTE UNLIMITED AD VALOREM TAXES~~}}{{, EXCEPT AS PRESCRIBED IN SECTION 48-7021, SUBSECTION B}}.

D. AFTER THE BONDS ARE ISSUED, THE BOARD SHALL ENTER IN ITS MINUTES A RECORD OF THE BONDS SOLD AND THEIR NUMBERS AND DATES AND SHALL ANNUALLY LEVY AND CAUSE AN AD VALOREM TAX TO BE COLLECTED, AT THE SAME TIME AND IN THE SAME MANNER AS OTHER TAXES ARE LEVIED AND COLLECTED ON ALL TAXABLE PROPERTY IN THE DISTRICT, SUFFICIENT, TOGETHER WITH ANY MONIES FROM THE SOURCES DESCRIBED IN SECTION 48-7007, TO PAY DEBT SERVICE ON THE BONDS WHEN DUE. THE ANNUAL LEVY SHALL NOT EXCEED THE NET AMOUNT NECESSARY TO MEET ANNUAL PAYMENTS OF PRINCIPAL AND INTEREST, PROJECTED PAYMENTS OF PRINCIPAL AND INTEREST ON NEW DEBT PLANNED FOR THE ENSUING YEAR, A REASONABLE DELINQUENCY FACTOR, INCLUDING AN AMOUNT NECESSARY TO CORRECT PRIOR YEAR ERRORS OR SHORTAGES IN THE LEVY, IF APPLICABLE, AND ANY EXPENSES AND FEES REQUIRED IN CONJUNCTION WITH THE AUTHORIZATION PURSUANT TO SECTION 35-512. THE ANNUAL AD VALOREM TAX RATE LEVIED PURSUANT TO THIS SUBSECTION SHALL NOT EXCEED THE MAXIMUM AUTHORIZED TAX RATE{{, EXCEPT AS PRESCRIBED IN SECTION 48-7021, SUBSECTION B}}. THE LEVY SHALL BE THE NET OF ALL CASH IN EXCESS OF TEN PERCENT OF THE ANNUAL PAYMENTS OF PRINCIPAL AND INTEREST IN THE CURRENT FISCAL YEAR FROM THE PREVIOUS YEAR THAT REMAIN IN THE FUND OR FUNDS PRESCRIBED BY SUBSECTION E OF THIS SECTION.

E. MONIES DERIVED FROM THE LEVY OF THE TAX PROVIDED IN THIS SECTION WHEN COLLECTED CONSTITUTE FUNDS TO PAY THE DEBT SERVICE ON THE BONDS AND SHALL BE KEPT SEPARATELY FROM OTHER FUNDS OF THE DISTRICT. AMOUNTS LEVIED FOR DEBT SERVICE ON BONDS PAYABLE FROM THE SECONDARY TAX ARE AND SHALL BE

CONSIDERED SPECIAL REVENUES OF THE DISTRICT, SHALL BE KEPT IN A SPECIAL, SEGREGATED FUND, ARE NOT AND SHALL NOT BE GENERAL PROPERTY TAXES AND MAY NOT BE USED FOR ANY OTHER PURPOSE OF THE DISTRICT.

F. ALL GENERAL OBLIGATION BONDS, HERETOFORE AND HEREAFTER ISSUED, ARE SECURED BY A LIEN ON ALL REVENUES RECEIVED PURSUANT TO THE AD VALOREM TAX LEVY. THE LIEN ARISES AUTOMATICALLY WITHOUT THE NEED FOR ANY ACTION OR AUTHORIZATION BY THE DISTRICT OR THE BOARD. THE LIEN IS VALID AND BINDING FROM THE TIME OF THE ISSUANCE OF THE GENERAL OBLIGATION BONDS. THE REVENUES RECEIVED PURSUANT TO THE LEVY OF THE AD VALOREM TAX ARE IMMEDIATELY SUBJECT TO THE LIEN. THE LIEN ATTACHES IMMEDIATELY TO THE REVENUES AND IS EFFECTIVE, BINDING AND ENFORCEABLE AGAINST THE DISTRICT, THE DISTRICT'S SUCCESSORS, TRANSFEREES AND CREDITORS AND ALL OTHER PARTIES ASSERTING RIGHTS IN THE REVENUES, IRRESPECTIVE OF WHETHER THE PARTIES HAVE NOTICE OF THE LIEN, WITHOUT THE NEED FOR ANY PHYSICAL DELIVERY, RECORDATION, FILING OR FURTHER ACT.

48-7023. Assessments; assessment lien bonds; judicial review

A. AFTER APPROVAL OF THE ASSESSMENT AT AN ELECTION HELD AS PRESCRIBED BY SECTION 48-7041, AND PURSUANT TO THE PROCEDURES PRESCRIBED BY SECTIONS 48-576 THROUGH 48-589, AS NEARLY AS PRACTICABLE, OR SUCH OTHER PROCEDURES AS THE BOARD PROVIDES, THE BOARD{{~~,~~}} MAY LEVY BY RESOLUTION AN ASSESSMENT OF THE COSTS OF ANY PUBLIC INFRASTRUCTURE PURPOSE OR ANY OPERATION AND MAINTENANCE OF PUBLIC INFRASTRUCTURE ON ANY LAND IN THE DISTRICT THAT IS BASED ON THE BENEFIT DETERMINED BY THE BOARD TO BE RECEIVED BY THE LAND. BEFORE THE ISSUANCE OF ASSESSMENT BONDS, THE DISTRICT MAY ENTER INTO A WRITTEN AGREEMENT WITH A LANDOWNER AS TO THE MANNER IN WHICH THE ASSESSMENT IS TO BE ALLOCATED IF THE LAND IS TO BE DIVIDED INTO MORE THAN ONE PARCEL. IF AN ISSUE OF ASSESSMENT BONDS FINANCES MORE THAN ONE PURPOSE OR SERVICE, THE BENEFIT RECEIVED BY THE LAND, IN THE DISCRETION OF THE DISTRICT, MAY BE DETERMINED BY REFERENCE TO THE PURPOSES AND SERVICES AS A WHOLE OR INDIVIDUALLY. THE ASSESSMENT MAY BE BASED ON ESTIMATED COSTS AND AMENDED TO REFLECT ACTUAL COSTS, AND THE PREPARATION OF PLANS AND SPECIFICATIONS AND THE AWARDING OF THE CONTRACT ARE NOT A PREREQUISITE TO THE LEVYING OF THE ASSESSMENT. AN OWNER OF LAND ON WHICH AN ASSESSMENT HAS BEEN LEVIED MAY SEEK JUDICIAL REVIEW OF WHETHER THE LAND IS BENEFITED BY THE PROPOSED PUBLIC INFRASTRUCTURE, ON THE MERITS, BY SPECIAL ACTION FILED WITH THE COURT OF APPEALS, WITHIN THIRTY DAYS AFTER THE EFFECTIVE DATE OF THE RESOLUTION.

B. AFTER ADOPTION BY THE BOARD OF A RESOLUTION LEVYING AN ASSESSMENT ON PROPERTY IN THE DISTRICT, THE BOARD MAY ISSUE AND SELL ASSESSMENT BONDS, THE TERM OF WHICH MAY NOT EXCEED THIRTY YEARS, PAYABLE FROM AMOUNTS COLLECTED FROM THE ASSESSMENTS, FROM AMOUNTS AVAILABLE FROM TIME TO TIME IN ANY RESERVE FUND ESTABLISHED FOR THOSE BONDS AND FROM ANY OTHER AMOUNTS AVAILABLE FOR THOSE PURPOSES AS PRESCRIBED BY SECTION 48-7007. THE DISTRICT AND THE COUNTY TREASURER FOR THE COUNTY IN WHICH THE DISTRICT IS LOCATED MAY ENTER INTO AN AGREEMENT FOR THE COUNTY TREASURER TO COLLECT THE DISTRICT'S ASSESSMENTS IN THE MANNER AND BY THE OFFICERS PROVIDED BY LAW FOR THE COLLECTION AND ENFORCEMENT OF GENERAL TAXES. THE DISTRICT AND THE COUNTY TREASURER MAY PROVIDE BY AGREEMENT FOR THE PAYMENT OF THE COUNTY TREASURER'S COLLECTION EXPENSES DIRECTLY RELATED

TO THE LEVY OF THE ASSESSMENT AND, IF SO PROVIDED, THE LEVY OF THE ASSESSMENT MAY INCLUDE AN AMOUNT FOR COMPENSATION OF THE COUNTY TREASURER DIRECTLY RELATED TO THE COLLECTION OF THE ASSESSMENT. THE COMPENSATION RECEIVED BY THE COUNTY TREASURER PURSUANT TO THE AGREEMENT SHALL BE GOVERNED BY SECTION 11-496. THE BOARD MAY ALSO ISSUE AND SELL BOND ANTICIPATION NOTES PURSUANT TO THE PROCEDURES PRESCRIBED IN SECTION 48-2081 OR WITH PROCEDURES AS SIMILAR TO THOSE AS IS PRACTICABLE. THE ASSESSMENT SHALL BE A FIRST LIEN ON THE PROPERTY ASSESSED SUBJECT ONLY TO GENERAL PROPERTY TAXES AND PRIOR ASSESSMENTS. IN THE EVENT OF NONPAYMENT OF AN ASSESSMENT AND EXCEPT AS OTHERWISE PROVIDED IN AN AGREEMENT BETWEEN THE DISTRICT AND THE COUNTY TREASURER PURSUANT TO THIS SECTION, THE PROCEDURES FOR COLLECTION OF DELINQUENT ASSESSMENTS, SALE OF DELINQUENT PROPERTY AND ISSUANCE AND EFFECT OF THE DEED PRESCRIBED BY SECTIONS 48-601 THROUGH 48-607 APPLY, AS NEARLY AS PRACTICABLE, EXCEPT THAT THE DISTRICT, A MUNICIPALITY, A COUNTY OR THE STATE IS NOT REQUIRED TO PURCHASE THE DELINQUENT LAND AT THE SALE IF THERE IS NO OTHER PURCHASER. IF THE LANDOWNER OWNS MORE THAN ONE PARCEL IN THE DISTRICT, THE BOARD MAY PROVIDE PROCEDURES FOR THE COLLECTION AND ENFORCEMENT OF ASSESSMENTS AS THE BOARD DEEMS APPROPRIATE BY CONTRACT WITH A LANDOWNER TO ALLOW THE SALE OF ANY OR ALL OF THE LANDOWNER'S PARCELS IN THE DISTRICT IF THE LANDOWNER BECOMES DELINQUENT AS TO ANY PARCEL THAT THE LANDOWNER OWNS IN THE DISTRICT.

C. ON ADOPTION OF THE RESOLUTION, BUT BEFORE ISSUANCE OF THE ASSESSMENT BONDS, THE DISTRICT MAY DIRECT THE TREASURER TO MAKE DEMAND ON THE OWNERS OF THE PROPERTY SO ASSESSED, AS SHOWN ON THE PROPERTY TAX ROLL, FOR ADVANCE PAYMENT OF THE AMOUNT ASSESSED. THE DEMAND SHALL STATE A DATE NOT LESS THAN TWENTY DAYS AFTER THE DATE OF ADOPTION OF THE RESOLUTION AFTER WHICH THE TREASURER MAY REFUSE TO ACCEPT ADVANCE PAYMENTS OF THE ASSESSMENT. THE TREASURER SHALL CERTIFY TO THE CLERK ON OR AFTER THE DATE SPECIFIED IN THE DEMAND THE AMOUNT COLLECTED AND THE ASSESSMENTS REMAINING UNPAID AGAINST EACH PARCEL OF LAND ASSESSED. ASSESSMENT BONDS MAY NOT BE ISSUED IN AN AMOUNT IN EXCESS OF THE AMOUNT ASSESSED IN THE RESOLUTION OR, IF ADVANCE PAYMENTS ARE DEMANDED, THE AMOUNT CERTIFIED TO THE CLERK. THE DISTRICT MAY ADOPT PROCEDURES FOR PREPAYMENT AND PROVISIONS FOR PAYMENT AND REALLOCATION OF ASSESSMENTS.

D. THE DISTRICT MAY ISSUE AND SELL REFUNDING BONDS TO REFUND ANY ASSESSMENT BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED THIRTY YEARS.

48-7024. Revenue bonds

A. AT ANY TIME AFTER THE HEARING ON FORMATION OF THE DISTRICT, THE BOARD MAY HOLD A HEARING ON THE QUESTION OF AUTHORIZING THE BOARD TO ISSUE REVENUE BONDS OF THE DISTRICT TO PROVIDE MONIES FOR ANY INFRASTRUCTURE PURPOSES CONSISTENT WITH THE GENERAL PLAN.

B. IF REVENUE BONDS ARE APPROVED BY RESOLUTION, THE BOARD MAY ISSUE AND SELL REVENUE BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED THIRTY YEARS.

C. THE BOARD MAY PLEDGE TO THE PAYMENT OF ITS REVENUE BONDS ANY REVENUES OF THE DISTRICT OR REVENUES TO BE COLLECTED BY A MUNICIPALITY OR A COUNTY IN TRUST FOR THE DISTRICT AND RETURNED TO THE DISTRICT.

D. THE DISTRICT SHALL PRESCRIBE FEES AND CHARGES, AND SHALL REVISE THEM WHEN NECESSARY, TO GENERATE REVENUE SUFFICIENT, TOGETHER WITH ANY MONIES FROM THE SOURCES DESCRIBED IN SECTION 48-7007, TO PAY WHEN DUE THE PRINCIPAL AND INTEREST OF ALL REVENUE BONDS FOR THE PAYMENT OF WHICH REVENUE HAS BEEN PLEDGED. THE ESTABLISHMENT OR REVISION OF ANY RATES, FEES AND CHARGES SHALL BE IDENTIFIED AND NOTICED CONCURRENTLY WITH THE ANNUAL BUDGET PROCESS OF THE DISTRICT PURSUANT TO SECTION 48-7027.

E. IF, IN THE RESOLUTION OF THE BOARD, THE REVENUES TO BE PLEDGED ARE LIMITED TO CERTAIN TYPES OF REVENUES, ONLY THOSE TYPES OF REVENUES MAY BE PLEDGED AND ONLY THOSE REVENUES MUST BE MAINTAINED.

F. A HOLDER OF REVENUE BONDS ISSUED UNDER THIS CHAPTER MAY NOT COMPEL ANY EXERCISE OF THE TAXING POWER OF THE DISTRICT, A MUNICIPALITY, THE COUNTY OR THIS STATE TO PAY THE BONDS OR THE INTEREST ON THE BONDS. REVENUE BONDS ISSUED UNDER THIS CHAPTER ARE NOT A DEBT OF THE DISTRICT, A MUNICIPALITY, THE COUNTY OR THIS STATE, NOR IS THE PAYMENT OF REVENUE BONDS ENFORCEABLE OUT OF ANY MONIES OTHER THAN THE REVENUE PLEDGED TO THE PAYMENT OF THE BONDS.

G. THE DISTRICT MAY ISSUE AND SELL REFUNDING BONDS TO REFUND ANY REVENUE BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED THIRTY YEARS.

48-7025. Terms of bonds

A. WITH RESPECT TO ANY BONDS, THE BOARD SHALL PRESCRIBE THE DENOMINATIONS OF THE BONDS, THE SIZE OF EACH ISSUE AND THE FORM OF THE BONDS AND SHALL ESTABLISH THE MATURITIES, INTEREST PAYMENT DATES AND INTEREST RATES, WHETHER FIXED OR VARIABLE, NOT EXCEEDING THE MAXIMUM RATE STATED IN THE NOTICE OF THE ELECTION OR THE RESOLUTION OF THE BOARD{{, EXCEPT THAT THE BOARD SHALL NOT APPROVE AN ISSUANCE OF BONDS OTHER THAN REFUNDING BONDS IF THE AD VALOREM TAX RATE LEVIED TO PAY THE DEBT SERVICE ON GENERAL OBLIGATION BONDS OF THE DISTRICT IN THE CURRENT OR IMMEDIATELY PRECEDING FISCAL YEAR IS IN EXCESS OF THE MAXIMUM AUTHORIZED TAX RATE}}. THE BONDS MAY BE SOLD BY COMPETITIVE BID OR NEGOTIATED SALE FOR PUBLIC OR PRIVATE OFFERING AT, BELOW OR ABOVE PAR. IF THE BONDS ARE SOLD BELOW PAR, THE AGGREGATE AMOUNT OF DISCOUNT AND INTEREST TO BE PAID ON THE BONDS SHALL NOT EXCEED THE AMOUNT OF INTEREST THAT WOULD HAVE BEEN PAYABLE ON THOSE BONDS PURSUANT TO THE MATURITY SCHEDULE PRESCRIBED BY THE BOARD AT THE MAXIMUM RATE SET OUT IN THE BOND RESOLUTION.

B. IF GENERAL OBLIGATION BONDS OF THE DISTRICT ARE SOLD ABOVE PAR, THE AMOUNT OF NET PREMIUM ASSOCIATED WITH A GENERAL OBLIGATION BOND ISSUE MAY BE USED ONLY FOR THE FOLLOWING PURPOSES:

1. TO PAY ANY OR ALL COSTS INCURRED IN ISSUING THE GENERAL OBLIGATION BONDS.

2. AS A DEPOSIT IN A DEBT SERVICE FUND AND USED ONLY TO PAY INTEREST ON THE ISSUE OF GENERAL OBLIGATION BONDS.

C. IF USED FOR ANY PURPOSE OTHER THAN AS PRESCRIBED IN SUBSECTION B OF THIS SECTION, AND IF THE DISTRICT HAS GENERAL OBLIGATION BOND VOTER AUTHORIZATION AND AVAILABLE CAPACITY UNDER ITS DEBT LIMITATIONS PRESCRIBED BY SECTION 48-7021, SUBSECTION A, THE AMOUNT OF NET PREMIUM USED FOR THAT PURPOSE SHALL REDUCE IN AN EQUAL AMOUNT BOTH THE AVAILABLE AGGREGATE INDEBTEDNESS CAPACITY OF THE DISTRICT PRESCRIBED IN SECTION 48-7021,

SUBSECTION A AND THE PRINCIPAL AMOUNT AUTHORIZED AT THE GENERAL OBLIGATION BOND ELECTION FOR THE DISTRICT FROM WHICH THE ISSUE OF GENERAL OBLIGATION BONDS IS BEING SOLD. ANY NET PREMIUM THAT IS USED AS PRESCRIBED IN THIS SUBSECTION SHALL BE AMORTIZED FOR ALL DEBT LIMITATION PURPOSES ON A PRO RATA BASIS EACH YEAR BY MULTIPLYING THE NET PREMIUM USED BY A PERCENTAGE EQUAL TO THE PERCENTAGE OF THE TOTAL PRINCIPAL AMOUNT OF THE GENERAL OBLIGATION BOND ISSUE THAT MATURES IN THAT YEAR.

D. THE PROCEEDS OF THE SALES SHALL BE DEPOSITED WITH THE TREASURER, OR WITH A TRUSTEE OR AGENT DESIGNATED BY THE BOARD, TO THE CREDIT OF THE DISTRICT TO BE WITHDRAWN FOR THE PURPOSES PROVIDED BY THIS CHAPTER. PENDING THAT USE, THE PROCEEDS MAY BE INVESTED AS DETERMINED BY THE DISTRICT. THE BONDS MAY CONTAIN TERMS, CONDITIONS, COVENANTS AND AGREEMENTS AS THE BOARD DEEMS PROPER. THE BONDS MAY BE PAYABLE FROM ANY COMBINATION OF AD VALOREM TAXES, REVENUES OR ASSESSMENTS OF THE TYPES DESCRIBED IN THIS CHAPTER AND AS SPECIFIED IN THE BONDS IF ALL APPLICABLE REQUIREMENTS ARE MET.

48-7026. O/M taxes; election; annual financial estimate and budget; hearing

A. AT ANY TIME AFTER THE RECORDING OF A FORMATION ORDER, THE BOARD MAY CALL AN ELECTION TO SUBMIT TO THE PERSONS WHO ARE ELIGIBLE TO VOTE IN THE DISTRICT AS PRESCRIBED IN SECTION 48-7041 THE QUESTION OF AUTHORIZING THE BOARD TO LEVY AN O/M TAX ON THE NET {{~~LIMITED~~}} ASSESSED {{LIMITED}} PROPERTY VALUATION OF PROPERTY IN THE DISTRICT AT A RATE OR RATES THAT DO NOT EXCEED THE MAXIMUM RATE OR RATES SPECIFIED IN THE BALLOT. THE MAXIMUM RATE SPECIFIED IN THE ORIGINAL BALLOT MUST BE APPROVED BY A MAJORITY OF THE PERSONS WHO ARE ELIGIBLE TO VOTE IN THE DISTRICT AS PRESCRIBED IN SECTION 48-7041, VOTING IN A REGULAR OR SPECIAL ELECTION AT LEAST EVERY SEVEN YEARS AFTER THE DATE OF THE INITIAL IMPOSITION, IF AN ELECTION IS NOT REQUIRED TO LEVY AN O/M TAX AT THE RATE DETERMINED BY THE BOARD TO BE NECESSARY TO MAINTAIN THE DISTRICT'S FACILITIES AND IMPROVEMENTS AND ENSURE REPAYMENT OF THE DISTRICT'S OUTSTANDING BONDS AND OBLIGATIONS. ALL O/M TAXES SHALL BE USED FOR THE OPERATION AND MAINTENANCE EXPENSES OF THE DISTRICT, INCLUDING LEGAL EXPENSES AND EXPENSES THAT ARE ASSOCIATED WITH INSURANCE COVERAGE, AND SHALL NOT EXCEED AN AMOUNT EQUAL TO $.30 PER $100 OF ASSESSED VALUATION FOR ALL REAL AND PERSONAL PROPERTY IN THE DISTRICT. THE BOARD BY SIMPLE MAJORITY VOTE MAY REDUCE OR ELIMINATE ANY PORTION OF THE O/M TAX IMPOSED BY THE DISTRICT THAT THE BOARD DETERMINES IS NOT NECESSARY TO MAINTAIN THE DISTRICT'S FACILITIES AND IMPROVEMENTS. IF NO BONDS OR OBLIGATIONS REMAIN OUTSTANDING, A DISTRICT SHALL NOT LEVY AN O/M TAX IN ANY YEAR FOLLOWING COMPLETION OF ALL WORK TO BE PERFORMED UNDER THE DISTRICT'S GENERAL PLAN.

B. THE DISTRICT MAY NOT LEVY AN O/M TAX AT A RATE OR RATES IN EXCESS OF THE MAXIMUM RATE SPECIFIED IN THE FORMATION ORDER.

C. WHEN LEVYING AN O/M TAX, THE BOARD SHALL MAKE ANNUAL STATEMENTS AND ESTIMATES OF THE OPERATION AND MAINTENANCE EXPENSES OF THE DISTRICT AND THE AMOUNT OF ALL OTHER EXPENDITURES FOR PUBLIC INFRASTRUCTURE PROPOSED TO BE PAID FROM THE O/M TAX LEVY OR LEVIES, ALL OF WHICH SHALL BE PROVIDED FOR BY THE LEVY AND COLLECTION OF AD VALOREM TAXES ON THE ASSESSED VALUE OF ALL THE REAL AND PERSONAL PROPERTY IN THE DISTRICT. THE

BOARD SHALL FILE THE ANNUAL STATEMENTS AND ESTIMATES WITH THE CLERK. THE BOARD SHALL PUBLISH A NOTICE OF THE FILING OF THE ESTIMATE, SHALL HOLD HEARINGS ON THE PORTIONS OF THE ESTIMATE NOT RELATING TO DEBT SERVICE ON BONDS AND SHALL ADOPT A BUDGET. THE BOARD, ON OR BEFORE THE DATE SET BY LAW FOR CERTIFYING THE ANNUAL BUDGET OF THE COUNTY OR MUNICIPALITY, SHALL FIX, LEVY AND ASSESS THE AMOUNTS TO BE RAISED BY O/M TAXES OF THE DISTRICT AND SHALL CAUSE CERTIFIED COPIES OF THE ORDER TO BE DELIVERED TO THE BOARD OF SUPERVISORS AND TO THE DEPARTMENT OF REVENUE. ALL STATUTES RELATING TO THE LEVY AND COLLECTION OF GENERAL COUNTY TAXES, INCLUDING THE COLLECTION OF DELINQUENT TAXES AND SALE OF PROPERTY FOR NONPAYMENT OF TAXES, APPLY TO THE DISTRICT TAXES PROVIDED FOR BY THIS SECTION.

48-7027. Budget; hearing

ON OR BEFORE JULY 15 EACH YEAR, THE TREASURER SHALL PREPARE A PROPOSED BUDGET FOR THE ENSUING FISCAL YEAR TO BE SUBMITTED TO THE BOARD FOR APPROVAL. THE BOARD SHALL INDICATE ITS APPROVAL OF THE BUDGET BY RESOLUTION, WHICH SHALL PROVIDE FOR A HEARING ON THE BUDGET AS APPROVED. THE PARTICIPATING ENTITIES MAY REVIEW THE PROPOSED ANNUAL BUDGET AND MAY SUBMIT WRITTEN COMMENTS TO THE BOARD FOR ITS ASSISTANCE AND INFORMATION IN ADOPTING ITS ANNUAL BUDGET. AT THE CONCLUSION OF THE BUDGET HEARING, THE BOARD, BY RESOLUTION, SHALL ADOPT THE BUDGET AS FINALLY APPROVED BY THE BOARD. THE BUDGET SHALL BE ADOPTED BEFORE OCTOBER 1 EACH YEAR.

48-7028. Display of district taxes and assessments on property tax bills

A. ANY AD VALOREM TAX THAT IS LEVIED BY A DISTRICT PURSUANT TO THIS CHAPTER SHALL BE SHOWN ON EACH PROPERTY TAX BILL AS A SEPARATE LINE ITEM THAT:

1. STATES THAT THE DISTRICT IS "STATE-CERTIFIED" TO INDICATE THAT ITS FORMATION WAS APPROVED BY THE AUTHORITY.

2. IDENTIFIES THE NAME OF THE DISTRICT.

B. ANY ASSESSMENT THAT IS LEVIED BY A DISTRICT PURSUANT TO THIS CHAPTER AND THAT IS COLLECTED BY THE COUNTY TREASURER SHALL BE SHOWN ON EACH PROPERTY TAX BILL AS A SEPARATE LINE ITEM THAT:

1. STATES THAT THE DISTRICT IS "STATE-CERTIFIED" TO INDICATE THAT ITS FORMATION WAS APPROVED BY THE AUTHORITY.

2. IDENTIFIES THE NAME OF THE DISTRICT.

ARTICLE 3. OPERATIONS

48-7041. Notice and conduct of elections; eligible voters

A. ANY ELECTION UNDER THIS ARTICLE SHALL BE A NONPARTISAN ELECTION AND NOT A GENERAL ELECTION AND IS NOT SUBJECT TO THE REQUIREMENTS APPLICABLE TO ELECTIONS FOR GENERAL GOVERNMENTAL BODIES, INCLUDING ONE-PERSON-ONE-VOTE PRINCIPLES. AN ELECTION UNDER THIS ARTICLE SHALL BE CALLED BY POSTING NOTICES IN THREE PUBLIC PLACES WITHIN THE BOUNDARIES OF THE DISTRICT NOT LESS THAN TWENTY DAYS BEFORE THE ELECTION. ANY ELECTION MAY BE CONDUCTED AS A MAIL BALLOT ELECTION IN THE MANNER PRESCRIBED IN TITLE 16, CHAPTER 4, ARTICLE 8.1 AS NEARLY AS PRACTICABLE. IF THE ELECTION NOTICE IS NOT MAILED TO THE PROPERTY OWNERS AND, IF APPLICABLE, TO THE QUALIFIED ELECTORS, THE NOTICE SHALL ALSO BE PUBLISHED IN A NEWSPAPER OF GENERAL CIRCULATION IN THE MUNICIPALITY, OR IF THERE IS NO NEWSPAPER SO CIRCULATED IN THE MUNICIPALITY OR IF THE DISTRICT IS LOCATED

IN AN UNINCORPORATED AREA, IN A NEWSPAPER OF GENERAL CIRCULATION IN THE COUNTY IN WHICH THE DISTRICT IS LOCATED ONCE A WEEK FOR TWO CONSECUTIVE WEEKS BEFORE THE ELECTION. THE NOTICE SHALL STATE:

1. THE PLACE OF HOLDING THE ELECTION.

2. THE HOURS DURING THE DAY, NOT LESS THAN SIX, IN WHICH THE POLLS WILL BE OPEN.

3. IF IT IS A BOND ELECTION, THE AMOUNT OF BONDS TO BE AUTHORIZED FOR THE DISTRICT, THE MAXIMUM RATE OF INTEREST TO BE BORNE ON THE BONDS, THE MAXIMUM TERM OF THE BONDS, NOT EXCEEDING THIRTY YEARS, AND THE PURPOSES FOR WHICH THE MONIES RAISED WILL BE USED.

4. IF IT IS AN AD VALOREM TAX LEVY ELECTION PURSUANT TO SECTION 48-7022 OR 48-7023, THE MAXIMUM TAX RATE PER $100 OF NET ASSESSED LIMITED PROPERTY VALUATION TO BE IMPOSED, THE PURPOSES FOR WHICH THE MONIES RAISED WILL BE USED AND THE EXISTING MAXIMUM AUTHORIZED TAX RATE.

5. IF IT IS AN ASSESSMENT LEVY ELECTION PURSUANT TO SECTION 48-7023, THE MAXIMUM ASSESSMENT RATE TO BE IMPOSED, THE PURPOSES FOR WHICH THE MONIES RAISED WILL BE USED AND THE EXISTING MAXIMUM ASSESSMENT RATE, IF ANY.

6. THAT A GENERAL PLAN IS ON FILE WITH THE CLERK.

B. THE BOARD SHALL DETERMINE THE DATE OF THE ELECTION AND, IF APPLICABLE, THE POLLING PLACES FOR THE ELECTION AND MAY CONSOLIDATE PRECINCTS. THE CLERK {{~~OF THE BOARD~~}} SHALL PREPARE A LIST OF ELIGIBLE VOTERS IN THE ELECTION. A PROSPECTIVE LANDOWNER VOTER SHALL EXECUTE AN AFFIDAVIT STATING THAT THE VOTER IS THE OWNER OF LAND IN THE DISTRICT AND IS QUALIFIED TO VOTE PURSUANT TO THIS SECTION AND STATING THE PARCEL NUMBER OWNED BY THE VOTER. ELECTION BOARD MEMBERS MAY ADMINISTER OATHS OR TAKE ALL AFFIRMATIONS FOR THESE PURPOSES. AN ELECTION HELD PURSUANT TO THIS ARTICLE IS NOT SUBJECT TO TITLE 16, CHAPTER 2, ARTICLE 3.

C. ONLY THE OWNERS OF REAL PROPERTY IN THE DISTRICT AND THEIR DESIGNATED REPRESENTATIVES ARE ELIGIBLE TO VOTE IN AN ELECTION REGARDING AN AD VALOREM TAX LEVY ELECTION, AN ASSESSMENT ELECTION, AN O/M TAX ELECTION, AN ELECTION FOR THE BOARD OF DIRECTORS OF THE DISTRICT AND IN AN ELECTION FOR DISSOLUTION. VOTING ELIGIBILITY IS BASED ON OWNERSHIP OF REAL PROPERTY SUBJECT TO TAXATION OR ASSESSMENT BY THE DISTRICT. CORPORATIONS, PARTNERSHIPS AND OTHER BUSINESS ENTITIES ARE ELIGIBLE TO VOTE AS PROPERTY OWNERS, BUT ONLY ONE VOTE MAY BE CAST FOR EACH ONE-SEVENTH OF AN ACRE OF REAL PROPERTY IN THE DISTRICT, EXCEPT THAT ANY FRACTION OF OWNERSHIP OF REAL PROPERTY THAT IS LESS THAN ONE-SEVENTH OF AN ACRE ENTITLES THE OWNER TO CAST ONE VOTE. A MAJORITY OF THE ACREAGE AS REPRESENTED BY THE VOTES CAST AT AN ELECTION CONDUCTED SOLELY UNDER THE ACREAGE SYSTEM SHALL DETERMINE THE RESULT. AN ACREAGE SYSTEM ELECTION SHALL BE CONDUCTED PURSUANT TO THE PROCEDURES PRESCRIBED IN SECTIONS 48-3042 THROUGH 48-3051 AS NEARLY AS PRACTICABLE. QUALIFIED ELECTORS ARE ELIGIBLE TO VOTE IN AN ELECTION REGARDING GENERAL OBLIGATION BONDS.

D. EXCEPT AS OTHERWISE PROVIDED BY THIS ARTICLE, THE ELECTION SHALL COMPLY WITH THE GENERAL ELECTION LAWS OF THIS STATE, EXCEPT THAT THE WORDS TO APPEAR ON THE BALLOTS SHALL BE FOR A BOND ELECTION "BONDS, YES" AND "BONDS, NO", FOR A TAX ELECTION IF NO TAX IS IN PLACE "TAX, YES" AND "TAX, NO", FOR AN ASSESSMENT LEVY ELECTION "ASSESSMENT, YES" AND "ASSESSMENT,

NO" AND FOR A TAX ELECTION TO CHANGE AN EXISTING MAXIMUM OR ELIMINATE AN EXISTING TAX "TAX CHANGE, YES" AND "TAX CHANGE, NO". THE RETURNS OF ELECTION SHALL BE MADE TO THE BOARD.

E. WITHIN FOURTEEN DAYS AFTER AN ELECTION, THE BOARD SHALL MEET AND CANVASS THE RETURNS. IF THE MAJORITY OF ACREAGE AS REPRESENTED BY THE VOTES CAST AT THE ELECTION IS IN FAVOR OF IMPOSING THE TAX, THE BOARD SHALL ENTER THAT FACT ON ITS MINUTES. THE CANVASS MAY BE CONTINUED FROM TIME TO TIME. FAILURE OF A MAJORITY TO VOTE IN FAVOR OF THE MATTER SUBMITTED DOES NOT PREJUDICE THE SUBMISSION OF THE SAME OR SIMILAR MATTERS AT A LATER ELECTION. ANY CHALLENGE TO THE CONDUCT OR OUTCOME OF AN ELECTION HELD PURSUANT TO THIS CHAPTER MUST BE COMMENCED WITHIN THIRTY DAYS AFTER THE CANVASS OF THE ELECTION AND SHALL BE LIMITED TO WHETHER THE DISTRICT COMPLIED WITH THE PROCEDURAL REQUIREMENTS OF THIS CHAPTER.

F. IF A PERSON LISTED ON THE ASSESSMENT ROLL IS NO LONGER THE OWNER OF LAND IN THE DISTRICT AND THE NAME OF THE SUCCESSOR OWNER BECOMES KNOWN AND IS VERIFIED BY RECORDED DEED OR OTHER SIMILAR EVIDENCE OF TRANSFER OF OWNERSHIP, THE SUCCESSOR OWNER IS DEEMED TO BE THE OWNER FOR THE PURPOSES OF THIS ARTICLE.

G. NOTWITHSTANDING ANY OTHER PROVISION OF THIS ARTICLE, IF NO PERSON HAS REGISTERED TO VOTE WITHIN THE DISTRICT WITHIN FIFTY DAYS IMMEDIATELY PRECEDING ANY SCHEDULED ELECTION DATE, ANY ELECTION REQUIRED TO BE HELD PURSUANT TO THIS ARTICLE SHALL BE HELD WITH THE VOTE BY THE OWNERS OF LAND WITHIN THE DISTRICT WHO ARE QUALIFIED ELECTORS OF THIS STATE AND OTHER LANDOWNERS ACCORDING TO SECTION 48-3043. EACH OWNER HAS THE NUMBER OF VOTES OR PORTION OF VOTES EQUAL TO THE NUMBER OF ACRES OR PORTION OF ACRES ROUNDED UPWARD TO THE NEAREST ONE-FIFTH OF AN ACRE OWNED IN THE DISTRICT BY THAT PERSON.

H. NOTWITHSTANDING ANY OTHER PROVISION OF THIS ARTICLE, IF THE DISTRICT RECEIVES A CONSENT TO WAIVER SIGNED BY OWNERS OF ALL OF THE LAND IN THE DISTRICT, THE DISTRICT MAY WAIVE ANY OR ALL REQUIREMENTS OF POSTING, PUBLICATION, MAILING, NOTICE, HEARING AND LANDOWNER ELECTION OTHERWISE REQUIRED IN CONNECTION WITH ASSESSMENTS OR ASSESSMENT BONDS. ON RECEIPT OF SUCH CONSENT TO WAIVER, THE DISTRICT MAY LEVY THE ASSESSMENT AND ISSUE THE ASSESSMENT BONDS WITHOUT BEING REQUIRED TO COMPLY WITH THE PROVISIONS OF THIS ARTICLE FOR POSTING, PUBLICATION, MAILING, NOTICE, HEARING OR LANDOWNER ELECTION.

48-7042. Recording documents

THE DISTRICT SHALL FILE AND RECORD WITH THE COUNTY RECORDER THE FORMATION ORDER, THE GENERAL PLAN OF THE DISTRICT, THE CANVASS OF ANY GENERAL OBLIGATION BOND ELECTION AND ANY ASSESSMENTS LEVIED BY THE DISTRICT. COPIES OF ALL SUCH INFORMATION SHALL BE PROVIDED TO THE STATE REAL ESTATE DEPARTMENT.

48-7043. District website; required content; coordination with seller disclosures

A. THE BOARD SHALL ESTABLISH AND MAINTAIN AN OFFICIAL WEBSITE THAT IS ELECTRONICALLY SEARCHABLE BY THE PUBLIC AND THAT CONTAINS A COMPREHENSIVE DATABASE OF DISTRICT CONTRACTS, PUBLIC NOTICES, MEETING MINUTES, RESOLUTIONS AND ACCOUNTS SHOWING, ON AN AGGREGATE AND SUMMARY BASIS, ALL MONIES RECEIVED AND DISBURSED, THE ANNUAL BUDGET AND OTHER

RECORDS REQUIRED TO BE MAINTAINED BY LAW. THE BOARD SHALL PROVIDE A LINK TO THE DATABASE ON THE DISTRICT'S MAIN WEBSITE MAINTAINED BY THE BOARD AND SHALL PROVIDE A LINK TO THAT DATABASE TO THE DEPARTMENT OF ADMINISTRATION. THE DATABASE MAY NOT INCLUDE:

1. TAX PAYMENT OR REFUND DATA THAT INCLUDES CONFIDENTIAL TAXPAYER INFORMATION.

2. WORK PRODUCT IN ANTICIPATION OF LITIGATION OR OTHER INFORMATION THAT IS SUBJECT TO ATTORNEY-CLIENT PRIVILEGE.

3. ANY OTHER INFORMATION THAT IS DESIGNATED BY LAW AS CONFIDENTIAL.

B. THE DISTRICT SHALL KEEP THE WEBSITE CURRENT AND SHALL POST, IN ADDITION TO THE INFORMATION DESCRIBED IN SUBSECTION A OF THIS SECTION, ALL OF THE FOLLOWING INFORMATION:

1. THE DISTRICT'S LEGAL NAME, COMMON NAME, IF ANY, STATUTORY AUTHORITY, FORMATION DATE AND THE BOUNDARIES OF THE DISTRICT, INCLUDING AT LEAST ONE MAP IN A DOWNLOADABLE FORMAT.

2. A COPY OF THE FORMATION ORDER AND THE GENERAL PLAN.

3. A STATEMENT THAT THE FORMATION OF THE DISTRICT WAS REVIEWED AND APPROVED BY THE AUTHORITY DESIGNATED PURSUANT TO THIS CHAPTER, AND THAT THE DISTRICT IS A SEPARATE POLITICAL SUBDIVISION FROM THE MUNICIPALITY AND THE COUNTY IN WHICH IT IS LOCATED AND THAT ANY AD VALOREM TAXES, ASSESSMENTS, FEES OR CHARGES IMPOSED BY THE DISTRICT ARE LEVIED BY THE DISTRICT AND ARE NOT TAXES, ASSESSMENTS, FEES OR CHARGES OF THE MUNICIPALITY OR THE COUNTY.

4. A PLAIN-LANGUAGE DESCRIPTION OF THE PURPOSE FOR WHICH THE DISTRICT WAS FORMED AND THE PUBLIC INFRASTRUCTURE THE DISTRICT IS AUTHORIZED TO FINANCE, IDENTIFYING WHICH CATEGORIES OF PUBLIC INFRASTRUCTURE ARE REQUIRED BY THE APPLICABLE MUNICIPALITY OR COUNTY AND WHICH CATEGORIES ARE NOT REQUIRED BUT HAVE BEEN ELECTED TO BE FINANCED BY THE DISTRICT.

5. THE CURRENT YEAR'S ADOPTED BUDGET FOR THE DISTRICT AND THE TWO MOST RECENT PRIOR YEARS' ADOPTED BUDGETS.

6. A SCHEDULE OF ALL AD VALOREM TAXES, ASSESSMENTS, FEES AND CHARGES IMPOSED BY THE DISTRICT FOR THE CURRENT FISCAL YEAR.

7. A DESCRIPTION OF ALL OUTSTANDING BONDS AND OTHER LONG-TERM OBLIGATIONS OF THE DISTRICT, INCLUDING THE ORIGINAL PRINCIPAL AMOUNT, CURRENT PRINCIPAL BALANCE, IF REASONABLY AVAILABLE, MAXIMUM AUTHORIZED PRINCIPAL, FINAL MATURITY DATE AND A GENERAL DESCRIPTION OF THE REVENUE SOURCES PLEDGED FOR REPAYMENT.

8. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AUTHORIZED AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, THE MAXIMUM AGGREGATE ASSESSMENT AMOUNT AND THE MAXIMUM O/M TAX RATE.

9. THE NAMES, OFFICIAL TITLES AND CONTACT INFORMATION FOR THE BOARD, THE CLERK AND THE TREASURER.

10. NOTICES OF ALL REGULAR AND SPECIAL MEETINGS OF THE BOARD, AGENDAS AND MINUTES, POSTED IN A TIMELY MANNER.

11. ANY ANNUAL REPORTS, AUDITS OR FINANCIAL REVIEWS REQUIRED TO BE FILED WITH A COUNTY, THIS STATE OR ANY OTHER PUBLIC BODY AND ANY ADDITIONAL REPORTS THE DISTRICT ELECTS TO PROVIDE FOR PUBLIC TRANSPARENCY.

12. A SUMMARY OF THE ANTICIPATED COMMUNITY BENEFITS OF FORMING THE DISTRICT, INCLUDING EXPECTED IMPACTS ON PUBLIC INFRASTRUCTURE TIMING, HOUSING ATTAINABILITY AND ECONOMIC DEVELOPMENT, TOGETHER WITH A DESCRIPTION OF ANY MATERIAL RISKS ASSOCIATED WITH DISTRICT FORMATION AND IMPLEMENTATION OF THE GENERAL PLAN, INCLUDING POTENTIAL TAX, ASSESSMENT AND FISCAL IMPACTS ON OWNERS OF REAL PROPERTY IN THE DISTRICT.

C. THE DISTRICT SHALL ALSO MAKE AVAILABLE ON THE WEBSITE, IN A FORM THAT CAN BE DOWNLOADED AND PROVIDED TO A PURCHASER, A STANDARDIZED "DISTRICT DISCLOSURE NOTICE" THAT INCLUDES:

1. A BRIEF DESCRIPTION OF THE DISTRICT AND ITS POWERS TO LEVY AD VALOREM TAXES, ASSESSMENTS, FEES AND CHARGES.

2. THE MOST RECENT AD VALOREM TAX RATE OR ASSESSMENT RATE IMPOSED BY THE DISTRICT AND A SAMPLE CALCULATION OF THE ESTIMATED ANNUAL AD VALOREM TAX OR ASSESSMENT ON A HYPOTHETICAL RESIDENTIAL PROPERTY VALUE SELECTED BY THE BOARD.

3. A STATEMENT THAT ACTUAL AD VALOREM TAXES, ASSESSMENTS, FEES AND CHARGES ON A PARTICULAR PROPERTY MAY DIFFER BASED ON CHANGES IN TAX RATES, ASSESSED VALUE AND DISTRICT FINANCING DECISIONS.

4. A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THE DISTRICT IS AUTHORIZED TO FINANCE, IDENTIFYING WHICH CATEGORIES OF PUBLIC INFRASTRUCTURE ARE REQUIRED BY THE APPLICABLE MUNICIPALITY OR COUNTY AND WHICH CATEGORIES ARE NOT REQUIRED BUT HAVE BEEN ELECTED TO BE FINANCED BY THE DISTRICT.

5. A STATEMENT DIRECTING PROSPECTIVE PURCHASERS TO THE DISTRICT WEBSITE FOR ADDITIONAL AND UPDATED INFORMATION.

D. A SELLER OF PROPERTY LOCATED IN THE DISTRICT WHO IS REQUIRED BY LAW TO PROVIDE A DISTRICT DISCLOSURE TO A PURCHASER MAY SATISFY ANY REQUIREMENT TO DESCRIBE THE DISTRICT'S PURPOSES, POWERS, TAX RATES OR INDEBTEDNESS BY:

1. PROVIDING THE PURCHASER WITH A CURRENT COPY OF THE STANDARDIZED DISTRICT DISCLOSURE NOTICE DESCRIBED IN SUBSECTION C OF THIS SECTION.

2. IDENTIFYING IN WRITING THE DISTRICT'S WEBSITE ADDRESS ON OR BEFORE THE DATE THE PURCHASER SIGNS A BINDING CONTRACT TO ACQUIRE THE PROPERTY.

E. THE FAILURE OF THE DISTRICT TO TIMELY UPDATE ALL INFORMATION ON THE WEBSITE DOES NOT RELIEVE A SELLER FROM ANY DUTY UNDER OTHER APPLICABLE DISCLOSURE LAWS, BUT A SELLER WHO, IN GOOD FAITH, RELIES ON INFORMATION POSTED BY THE DISTRICT ON ITS WEBSITE AT THE TIME OF DISCLOSURE IS NOT LIABLE FOR AN INACCURACY IN THAT INFORMATION UNLESS THE SELLER HAD ACTUAL KNOWLEDGE OF THE INACCURACY.

48-7044. <u>Annual report; bond report</u>

A. NOT LATER THAN ONE HUNDRED EIGHTY DAYS AFTER THE END OF EACH FISCAL YEAR, THE DISTRICT SHALL SUBMIT TO THE AUTHORITY AN ANNUAL REPORT CONTAINING:

1. THE CURRENT YEAR'S ADOPTED BUDGET FOR THE DISTRICT AND THE TWO MOST RECENT PRIOR YEARS' ADOPTED BUDGETS.

2. A SCHEDULE OF ALL AD VALOREM TAXES, ASSESSMENTS, FEES AND CHARGES IMPOSED BY THE DISTRICT FOR THE CURRENT FISCAL YEAR.

3. A DESCRIPTION OF ALL OUTSTANDING BONDS AND OTHER LONG-TERM OBLIGATIONS OF THE DISTRICT, INCLUDING THE ORIGINAL PRINCIPAL AMOUNT, CURRENT PRINCIPAL BALANCE, IF REASONABLY AVAILABLE, MAXIMUM AUTHORIZED PRINCIPAL, FINAL MATURITY DATE AND A GENERAL DESCRIPTION OF THE REVENUE SOURCES PLEDGED FOR REPAYMENT.

4. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AUTHORIZED AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, THE MAXIMUM AGGREGATE ASSESSMENT AMOUNT AND THE MAXIMUM O/M TAX RATE.

5. THE NAMES, OFFICIAL TITLES AND CONTACT INFORMATION FOR THE BOARD, THE CLERK AND THE TREASURER.

6. A BRIEF DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THE DISTRICT HAS ACQUIRED OR CONSTRUCTED.

7. THE NUMBER OF RESIDENTIAL HOUSING UNITS CONSTRUCTED WITHIN THE DISTRICT.

B. NOT LATER THAN THIRTY DAYS AFTER THE ISSUANCE OF ANY BONDS, THE DISTRICT SHALL SUBMIT TO THE AUTHORITY A BOND ISSUANCE REPORT CONTAINING:

1. THE FINAL OFFERING DOCUMENT, IF ANY, PURSUANT TO WHICH THE BONDS WERE SOLD.

2. A DEBT SERVICE SCHEDULE FOR THE BONDS.

3. A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE FINANCED WITH THE PROCEEDS OF THE BONDS.

4. IF THE BONDS ARE GENERAL OBLIGATION BONDS, A PROJECTION OF THE AD VALOREM TAX RATE THAT IS REQUIRED TO SUPPORT DEBT SERVICE ON THE BONDS{{~~, WHICH PROJECTED RATE~~}} {{AND THAT}} DOES NOT EXCEED THE MAXIMUM AUTHORIZED TAX RATE.

5. IF THE BONDS ARE ASSESSMENT BONDS, THE MAXIMUM AGGREGATE ASSESSMENT AND THE MAXIMUM PER-LOT ASSESSMENT LEVIED IN CONNECTION WITH THE BONDS.

6. A DESCRIPTION OF ALL OUTSTANDING BONDS AND OTHER LONG-TERM OBLIGATIONS OF THE DISTRICT, INCLUDING THE ORIGINAL PRINCIPAL AMOUNT, CURRENT PRINCIPAL BALANCE, IF REASONABLY AVAILABLE, MAXIMUM AUTHORIZED PRINCIPAL, FINAL MATURITY DATE AND A GENERAL DESCRIPTION OF THE REVENUE SOURCES PLEDGED FOR REPAYMENT.

48-7045. Seller disclosure; form of notice

A. THIS SECTION APPLIES TO THE SALE OR OTHER CONVEYANCE OF ANY RESIDENTIAL REAL PROPERTY THAT IS LOCATED WITHIN THE BOUNDARIES OF A DISTRICT FORMED UNDER THIS CHAPTER AND THAT IS AUTHORIZED TO LEVY AN AD VALOREM TAX, ASSESSMENT, FEE OR CHARGE THAT APPEARS AS A SEPARATE LINE ITEM ON THE PROPERTY TAX BILL FOR THAT PROPERTY.

B. A SELLER OF RESIDENTIAL REAL PROPERTY TO WHICH THIS SECTION APPLIES SHALL PROVIDE TO EACH PROSPECTIVE PURCHASER A WRITTEN "DISTRICT DISCLOSURE NOTICE" THAT CONTAINS, AT A MINIMUM, THE INFORMATION DESCRIBED IN SECTION 48-7043, SUBSECTION C AND THAT SUBSTANTIALLY COMPLIES WITH THE FORM PRESCRIBED BY THE DISTRICT.

C. THE SELLER SHALL DELIVER THE DISTRICT DISCLOSURE NOTICE AS FOLLOWS:

1. FOR A TRANSACTION IN WHICH THE PURCHASER SIGNS A WRITTEN OFFER, THE SELLER SHALL DELIVER THE NOTICE TO THE PURCHASER ON OR BEFORE THE DATE ON WHICH THE PURCHASER SIGNS A BINDING PURCHASE CONTRACT FOR THE PROPERTY.

2. FOR ANY OTHER TRANSACTION, THE SELLER SHALL DELIVER THE NOTICE TO THE PURCHASER BEFORE THE PURCHASER BECOMES OBLIGATED UNDER ANY BINDING AGREEMENT TO ACQUIRE THE PROPERTY.

D. A DISTRICT DISCLOSURE NOTICE SATISFIES THE SELLER'S OBLIGATION UNDER THIS SECTION IF THE NOTICE:

1. IDENTIFIES THE DISTRICT BY LEGAL NAME AND COMMON NAME, IF ANY.

2. STATES THAT THE PROPERTY IS LOCATED WITHIN THE DISTRICT AND IS SUBJECT TO THE DISTRICT'S TAXING AND ASSESSMENT AUTHORITY.

3. INCLUDES A BRIEF DESCRIPTION OF THE DISTRICT'S PURPOSES AND POWERS, INCLUDING ITS AUTHORITY TO LEVY AD VALOREM TAXES, ASSESSMENTS, FEES OR CHARGES AND A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THE DISTRICT IS AUTHORIZED TO FINANCE, IDENTIFYING WHICH CATEGORIES OF PUBLIC INFRASTRUCTURE ARE REQUIRED BY THE APPLICABLE MUNICIPALITY OR COUNTY AND WHICH CATEGORIES ARE NOT REQUIRED BUT HAVE BEEN ELECTED TO BE FINANCED BY THE DISTRICT.

4. STATES THE CURRENT AD VALOREM TAX RATE OR ASSESSMENT RATE IMPOSED BY THE DISTRICT AND PROVIDES AN EXAMPLE OF THE ESTIMATED ANNUAL TAX OR ASSESSMENT ON A HYPOTHETICAL RESIDENTIAL PROPERTY VALUE.

5. STATES THAT ACTUAL TAXES, ASSESSMENTS, FEES AND CHARGES ON THE PROPERTY MAY CHANGE OVER TIME AND MAY DIFFER FROM THE EXAMPLE PROVIDED.

6. STATES THAT THE FORMATION OF THE DISTRICT WAS REVIEWED AND APPROVED BY THE AUTHORITY DESIGNATED PURSUANT TO THIS CHAPTER AND THAT THE DISTRICT IS A SEPARATE POLITICAL SUBDIVISION FROM THE MUNICIPALITY AND THE COUNTY IN WHICH IT IS LOCATED AND THAT ANY AD VALOREM TAXES, ASSESSMENTS, FEES OR CHARGES IMPOSED BY THE DISTRICT ARE LEVIED BY THE DISTRICT AND ARE NOT TAXES, ASSESSMENTS, FEES OR CHARGES OF THE MUNICIPALITY OR THE COUNTY.

7. PROVIDES THE INTERNET WEBSITE ADDRESS FOR THE DISTRICT AND ADVISES THE PURCHASER THAT ADDITIONAL AND UPDATED INFORMATION REGARDING THE DISTRICT'S FINANCES, MEETINGS AND OPERATIONS IS AVAILABLE ON THAT WEBSITE.

E. A SELLER MAY SATISFY THE DISCLOSURE REQUIREMENTS OF THIS SECTION BY:

1. PROVIDING THE PURCHASER WITH A CURRENT COPY OF THE STANDARDIZED DISTRICT DISCLOSURE NOTICE MADE AVAILABLE BY THE DISTRICT PURSUANT TO SECTION 48-7043, SUBSECTION C.

2. IDENTIFYING THE DISTRICT'S WEBSITE ADDRESS IN THE PURCHASE CONTRACT OR IN A SEPARATE WRITTEN DISCLOSURE DELIVERED WITH THE NOTICE.

F. A SELLER WHO, IN GOOD FAITH, RELIES ON INFORMATION CONTAINED IN THE STANDARDIZED DISTRICT DISCLOSURE NOTICE PROVIDED BY THE DISTRICT OR POSTED ON THE DISTRICT'S WEBSITE AT THE TIME OF DISCLOSURE IS NOT LIABLE FOR AN INACCURACY IN THAT INFORMATION UNLESS THE SELLER HAD ACTUAL KNOWLEDGE OF THE INACCURACY.

G. A SELLER'S COMPLIANCE WITH THIS SECTION DOES NOT SATISFY OR LIMIT ANY OBLIGATION OF A SUBDIVIDER OR OTHER SELLER TO OBTAIN AND DELIVER A SUBDIVISION PUBLIC REPORT UNDER TITLE 32, CHAPTER 20, ARTICLE 4, AND DOES NOT LIMIT ANY DISCLOSURE OBLIGATIONS IMPOSED BY SECTION 33-423 OR ANY OTHER PROVISION OF LAW.

48-7046. Change in district boundaries or general plan

A. AFTER FORMATION OF A DISTRICT, AN AREA MAY BE DELETED FROM THE DISTRICT ONLY FOLLOWING A HEARING AFTER NOTICE TO THE OWNERS OF LAND IN THE DISTRICT, ADOPTION OF A RESOLUTION OF INTENTION TO DO SO BY THE BOARD AND APPROVAL BY THE OWNERS OF LAND IN THE DISTRICT PURSUANT TO SECTION 48-7041, SUBSECTION C. DELETED AREAS REMAIN SUBJECT TO THE LEVY FOR DEBT SERVICE ON ANY BONDS ISSUED BEFORE THE DATE OF DELETION.

B. AFTER FORMATION OF A DISTRICT, AN AREA MAY BE ADDED TO THE DISTRICT ON APPROVAL BY THE BOARD FOLLOWING RECEIPT OF A PETITION FOR ADDITION SIGNED BY THE OWNERS OF ALL OF THE REAL PROPERTY IN THE PROPOSED ADDITION AREA. THE PETITION MUST INCLUDE A WAIVER OF ANY REQUIREMENT FOR A SEPARATE RESOLUTION OF INTENTION BY THE BOARD AND A WAIVER OF ANY REQUIREMENT OF POSTING, PUBLICATION, MAILING, NOTICE, HEARING AND ELECTION AS TO THAT ADDITION TO THE DISTRICT. THE ADDITION OF PROPERTY TO A DISTRICT PURSUANT TO THIS SECTION DOES NOT CONSTITUTE THE FORMATION OF A NEW DISTRICT AND DOES NOT REQUIRE COMPLIANCE WITH THE PROCEDURES APPLICABLE TO INITIAL DISTRICT FORMATION OR TO AMENDING THE FORMATION ORDER PURSUANT TO SECTION {{~~48-7041~~}} {{48-7003}}, SUBSECTION K.

C. FOLLOWING A HEARING ON NOTICE TO OWNERS OF LAND IN THE DISTRICT GIVEN IN THE MANNER PRESCRIBED FOR THE DELETION OF AN AREA FROM THE DISTRICT, THE BOARD MAY AMEND THE GENERAL PLAN IN ANY MANNER THAT IT DETERMINES WILL NOT SUBSTANTIALLY REDUCE THE BENEFITS TO BE RECEIVED BY ANY LAND IN THE DISTRICT FROM THE PUBLIC INFRASTRUCTURE ON COMPLETION OF THE WORK TO BE PERFORMED UNDER THE GENERAL PLAN.

D. THE AUTHORITY SHALL APPROVE THE ADDITION OR DELETION OF PROPERTY UPON DETERMINING THAT THE REQUIREMENTS OF THIS SECTION HAVE BEEN SATISFIED AND WILL AMEND THE FORMATION ORDER ACCORDINGLY.

48-7047. Other districts or improvements

A. THE FORMATION OF A DISTRICT UNDER THIS CHAPTER DOES NOT PREVENT THE SUBSEQUENT ESTABLISHMENT OF SIMILAR DISTRICTS OR THE IMPROVEMENT OR ASSESSMENT OF LAND IN THE DISTRICT BY THE MUNICIPALITY OR COUNTY PURSUANT TO{{~~,~~}} CHAPTER 4, ARTICLE 2 OF THIS TITLE OR THE EXERCISE BY THE MUNICIPALITY OR COUNTY OF ANY OF ITS POWERS ON THE SAME BASIS AS ON ALL OTHER LAND IN ITS CORPORATE BOUNDARIES.

B. NOTWITHSTANDING SUBSECTION A OF THIS SECTION, A DISTRICT MAY NOT BE FORMED IF ANY PORTION OF THE LAND TO BE INCLUDED WITHIN THE DISTRICT IS ALREADY INCLUDED WITHIN THE BOUNDARIES OF A COMMUNITY FACILITIES DISTRICT OR REVITALIZATION DISTRICT IF THE COMMUNITY FACILITIES DISTRICT OR REVITALIZATION DISTRICT HAS DEBT OUTSTANDING THAT IS SECURED BY AD VALOREM TAXES OR ASSESSMENTS.

48-7048. Perpetual succession; dissolution of district

A. THE DISTRICT HAS PERPETUAL SUCCESSION, EXCEPT THAT THE DISTRICT MAY BE DISSOLVED AS PROVIDED IN THIS SECTION AND, IF THE DISTRICT DOES NOT HAVE ANY BONDS OR OTHER OBLIGATIONS OUTSTANDING, SHALL BE DISSOLVED TEN YEARS AFTER THE DATE OF FORMATION UNLESS THE AUTHORITY BY RESOLUTION EXTENDS THE DISTRICT BY AN ADDITIONAL PERIOD OF TEN YEARS.

B. THE BOARD SHALL ADOPT A RESOLUTION DISSOLVING THE DISTRICT IF THE FOLLOWING CONDITIONS EXIST:

1. THE DISTRICT NO LONGER OWNS ANY REAL OR PERSONAL PROPERTY.

2. THE AUTHORITY VERIFIES THAT THE DISTRICT HAS NO BONDS OR OBLIGATIONS OUTSTANDING.

3. THE AUTHORITY APPROVES THE DISSOLUTION ORDER ON RECEIPT OF A DISSOLUTION PETITION EXECUTED BY THE OWNERS OF A MAJORITY OF THE REAL PROPERTY IN THE DISTRICT.

C. A DISTRICT SHALL BE DISSOLVED AUTOMATICALLY AND WITHOUT ANY ACTION FROM THE BOARD OR THE QUALIFIED ELECTORS IN THE YEAR THAT IS FIVE YEARS AFTER COMPLETION OF ALL WORK TO BE PERFORMED UNDER THE DISTRICT'S GENERAL PLAN, AS LONG AS THE AUTHORITY HAS VERIFIED THAT NO BONDS OR OBLIGATIONS REMAIN OUTSTANDING. IF ANY BONDS OR OBLIGATIONS REMAIN OUTSTANDING AFTER THE YEAR, THE DISTRICT SHALL BE DISSOLVED IN THE YEAR AFTER THE BONDS OR OBLIGATIONS ARE PAID IN FULL.

D. ON SATISFACTION OF THE CONDITIONS PRESCRIBED BY SUBSECTION B OR C OF THIS SECTION, THE AUTHORITY SHALL APPROVE THE DISSOLUTION AND ISSUE A DISSOLUTION ORDER. THE BOARD SHALL CAUSE THE DISSOLUTION ORDER TO BE RECORDED IN THE OFFICE OF THE COUNTY RECORDER AND SHALL CAUSE A COPY OF THE DISSOLUTION ORDER TO BE DELIVERED TO THE COUNTY ASSESSOR AND THE BOARD OF SUPERVISORS OF THE COUNTY IN WHICH THE DISTRICT IS LOCATED, TO ANY MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED AND TO THE DEPARTMENT OF REVENUE.

E. ALL PROPERTY IN THE DISTRICT, EXCEPT FEDERAL, STATE, COUNTY AND MUNICIPAL PROPERTY, REMAINS SUBJECT TO THE LIEN FOR THE PAYMENT OF AD VALOREM TAXES LEVIED, AND ANY PROPERTY SUBJECT TO AN ASSESSMENT LIEN REMAINS SUBJECT TO THE LIEN NOTWITHSTANDING DISSOLUTION OF THE DISTRICT. THE DISTRICT MAY NOT BE DISSOLVED IF ANY GENERAL OBLIGATION BONDS, REVENUE BONDS OR ASSESSMENT BONDS OF THE DISTRICT REMAIN OUTSTANDING UNLESS AN AMOUNT OF MONEY SUFFICIENT, TOGETHER WITH INVESTMENT INCOME THEREON, TO MAKE ALL PAYMENTS DUE ON THE BONDS EITHER AT MATURITY OR PRIOR REDEMPTION HAS BEEN DEPOSITED WITH A TRUSTEE OR ESCROW AGENT AND PLEDGED TO THE PAYMENT AND REDEMPTION OF THE BONDS. THE DISTRICT MAY CONTINUE TO OPERATE AFTER DISSOLUTION ONLY AS NEEDED TO COLLECT MONIES AND MAKE PAYMENTS ON ANY OUTSTANDING BONDS.

48-7049. Local involvement; preservation of municipal and county authority

A. A DISTRICT FORMED PURSUANT TO THIS {{~~ARTICLE~~}} {{CHAPTER}} HAS NO ZONING, SUBDIVISION, BUILDING CODE, PERMITTING OR OTHER LAND USE OR DEVELOPMENT APPROVAL AUTHORITY. ALL LAND USE REGULATION, DEVELOPMENT PLANNING, PLATTING, PERMITTING, INSPECTION AND CODE ENFORCEMENT AUTHORITY WITHIN THE BOUNDARIES OF A DISTRICT REMAINS EXCLUSIVELY WITH THE MUNICIPALITY OR COUNTY IN WHICH THE LAND IS LOCATED, AND ALL DEVELOPMENT WITHIN A DISTRICT IS SUBJECT TO THE SAME GENERAL PLANS, SPECIFIC OR AREA PLANS, ZONING ORDINANCES, SUBDIVISION REGULATIONS, ENGINEERING STANDARDS, BUILDING AND FIRE CODES AND OTHER APPLICABLE LAWS, STANDARDS AND PROCEDURES AS COMPARABLE DEVELOPMENT OUTSIDE A DISTRICT.

B. A MUNICIPALITY OR COUNTY RETAINS FULL AUTHORITY TO ADOPT, AMEND, ADMINISTER AND ENFORCE ITS GENERAL PLAN, SPECIFIC OR AREA PLANS, ZONING ORDINANCES, SUBDIVISION AND DEVELOPMENT REGULATIONS, ENGINEERING AND DESIGN STANDARDS, BUILDING AND FIRE CODES AND ANY OTHER LAWS, REGULATIONS OR POLICIES GOVERNING THE PLANNING, ENTITLEMENT, CONSTRUCTION, INSPECTION,

ACCEPTANCE, OPERATION OR MAINTENANCE OF PUBLIC INFRASTRUCTURE OR PRIVATE DEVELOPMENT WITHIN ITS JURISDICTION, WITHOUT REGARD TO WHETHER THE LAND IS LOCATED WITHIN A DISTRICT.

C. A DISTRICT MAY FINANCE, CONSTRUCT OR ACQUIRE PUBLIC INFRASTRUCTURE THAT IS INTENDED TO BE CONVEYED TO AND OWNED, OPERATED OR MAINTAINED BY A MUNICIPALITY OR COUNTY ONLY IF THE PUBLIC INFRASTRUCTURE IS DESIGNED AND CONSTRUCTED IN ACCORDANCE WITH THE GENERALLY APPLICABLE PLANS, ORDINANCES, CODES, STANDARDS, REGULATIONS AND STANDARD-FORM AGREEMENTS OF THE MUNICIPALITY OR COUNTY FOR COMPARABLE PUBLIC INFRASTRUCTURE IN THE JURISDICTION. A MUNICIPALITY OR COUNTY MAY ACCEPT OR REJECT ANY SUCH PUBLIC INFRASTRUCTURE IN ACCORDANCE WITH THE MUNICIPALITY'S OR COUNTY'S GENERALLY APPLICABLE ORDINANCES, CODES, STANDARDS, REGULATIONS, STANDARD-FORM SUBDIVISION OR IMPROVEMENT AGREEMENTS OR OTHER WRITTEN INSTRUMENTS, INCLUDING ANY APPLICABLE DEVELOPMENT AGREEMENT OR INTERGOVERNMENTAL AGREEMENT, AND IS NOT REQUIRED TO ACCEPT PUBLIC INFRASTRUCTURE THAT THE MUNICIPALITY OR COUNTY IS NOT OTHERWISE REQUIRED TO ACCEPT UNDER APPLICABLE LAW.

D. BEFORE A DISTRICT CONVEYS TO A MUNICIPALITY OR COUNTY ANY PUBLIC INFRASTRUCTURE THAT IS FINANCED, CONSTRUCTED OR ACQUIRED BY THE DISTRICT, THE DISTRICT SHALL OBTAIN A CERTIFICATION FROM THE ENGINEER OR OTHER OFFICIAL DESIGNATED BY THE MUNICIPALITY OR COUNTY STATING THAT THE PUBLIC INFRASTRUCTURE HAS BEEN COMPLETED IN ACCORDANCE WITH THE APPLICABLE PLANS, SPECIFICATIONS AND STANDARDS OF THE MUNICIPALITY OR COUNTY. THE TIMING, FORM AND CONTENT OF THE CERTIFICATION AND OF ANY CONVEYANCE INSTRUMENTS SHALL CONFORM TO THE MUNICIPALITY'S OR COUNTY'S GENERALLY APPLICABLE REQUIREMENTS FOR COMPARABLE PUBLIC INFRASTRUCTURE. ACCEPTANCE OF A DISCRETE SECTION OF PUBLIC INFRASTRUCTURE PURSUANT TO THIS SECTION DOES NOT MODIFY THE ASSURANCES AND WARRANTY REQUIREMENTS OF A MUNICIPALITY OR COUNTY PRESCRIBED BY A MUNICIPAL OR COUNTY CODE OR ORDINANCE OR AS OUTLINED IN A DEVELOPMENT AGREEMENT ENTERED INTO PURSUANT TO SECTION 9-500.05 OR 11-1101.

E. THE FORMATION OR EXISTENCE OF A DISTRICT DOES NOT CREATE ANY OBLIGATION FOR A MUNICIPALITY OR COUNTY TO PROVIDE SERVICES, FACILITIES OR FINANCIAL SUPPORT TO THE DISTRICT OR TO ANY LAND WITHIN THE DISTRICT THAT THE MUNICIPALITY OR COUNTY WOULD NOT OTHERWISE BE REQUIRED TO PROVIDE IF THE LAND WERE NOT LOCATED IN THE DISTRICT. A MUNICIPALITY OR COUNTY IS NOT REQUIRED, SOLELY BECAUSE A DISTRICT HAS BEEN FORMED OR PUBLIC INFRASTRUCTURE HAS BEEN FINANCED, CONSTRUCTED OR ACQUIRED BY A DISTRICT, TO ACCEPT OWNERSHIP, OPERATION OR MAINTENANCE RESPONSIBILITY FOR ANY PUBLIC INFRASTRUCTURE OR TO INCUR ANY ADDITIONAL FINANCIAL OBLIGATION OR LIABILITY WITH RESPECT TO A DISTRICT OR ITS PUBLIC INFRASTRUCTURE, EXCEPT TO THE EXTENT THAT THE MUNICIPALITY OR COUNTY EXPRESSLY AGREES IN A DEVELOPMENT AGREEMENT, INTERGOVERNMENTAL AGREEMENT OR OTHER WRITTEN INSTRUMENT THAT IS AUTHORIZED BY LAW.

F. THIS ARTICLE DOES NOT AUTHORIZE A DISTRICT TO PLEDGE THE FULL FAITH AND CREDIT OR THE TAXING POWER OF A MUNICIPALITY OR COUNTY. ANY BONDS OR OTHER OBLIGATIONS OF A DISTRICT ARE OBLIGATIONS ONLY OF THE DISTRICT AND ARE PAYABLE ONLY FROM THE SOURCES THAT ARE PLEDGED FOR THEIR PAYMENT.

G. ANY PUBLIC INFRASTRUCTURE FINANCED PURSUANT TO THIS CHAPTER THAT CONSTITUTES IMPROVEMENTS AS DEFINED IN SECTION 9-463 WILL REMAIN SUBJECT TO THE MUNICIPALITY'S AUTHORITY UNDER SECTION 9-463.01, INCLUDING REQUIREMENTS FOR PERFORMANCE BONDS, ASSURANCES OR OTHER SECURITY UNDER SECTION 9-463.01, SUBSECTION C, PARAGRAPH 8.

48-7050. District formation period; termination; bonds; applicability

[A. THE AUTHORITY MAY NOT ISSUE A FORMATION ORDER FOR A DISTRICT UNDER THIS CHAPTER AFTER JUNE 30, 2036.

B. THIS SECTION DOES NOT AFFECT THE CONTINUED EXISTENCE, POWERS OR OPERATIONS OF ANY DISTRICT THAT IS FORMED UNDER THIS CHAPTER ON OR BEFORE JUNE 30, 2036.

C. THIS SECTION DOES NOT IMPAIR THE VALIDITY OR ENFORCEABILITY OF ANY BONDS OR OTHER OBLIGATIONS ISSUED OR INCURRED BY A DISTRICT THAT IS FORMED UNDER THIS CHAPTER ON OR BEFORE JUNE 30, 2036, OR ANY PLEDGE OF TAXES, ASSESSMENTS OR OTHER REVENUES MADE TO SECURE THOSE BONDS OR OBLIGATIONS.

Sec. 6. Legislative findings; purpose

A. The legislature finds and declares that:

1. The provision of public infrastructure in advance of development is essential to housing affordability, economic development and orderly growth.

2. State affordability infrastructure districts provide a uniform, statewide mechanism for financing public infrastructure in a manner that:

(a) Protects taxpayers through limited tax rates and debt limitations.

(b) Ensures transparency and public accountability.

(c) Facilitates early delivery of public infrastructure at lower cost.

3. The Arizona finance authority is the appropriate statewide certification authority to ensure uniform financial, engineering, and statutory compliance for such districts.

4. The certification and oversight functions provided in this chapter constitute governmental functions serving valid public purposes.

B. The legislature further finds and declares that:

1. State affordability infrastructure districts exercise limited, special-purpose governmental powers relating solely to the financing, construction, operation and maintenance of public infrastructure.

2. The financial obligations of a district, including ad valorem taxes, assessments, and liens, are borne directly and proportionally by real property within the district.

3. Because the powers and financial burdens of a district disproportionately affect real property owners, it is reasonable and constitutionally permissible to allocate voting power in district elections based on land ownership and acreage.

4. Elections conducted pursuant to this chapter are fiscal determinations relating to property-based obligations and are not general political elections.

Sec. 7. Short title

This act may be cited as the "State Affordability Infrastructure District Act".

Enroll and engross to conform

Amend title to conform

J.D. MESNARD

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